How to Open a Pastry Shop

Production kitchen, permits and numbers: the complete opening playbook · US edition 2026

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Twenty chapters, a dated regulatory appendix, eight Excel tools with live formulas, a filled-in sample business plan and twelve opening decisions already worked through, for anyone who has NOT opened yet: the home baker who sells cakes from her kitchen and wants to go legal, the one who already sells but doesn't dare take on a storefront, the career changer, and the owner who already has a space and is going after the permits. It isn't a recipe book, it isn't a technique course and it doesn't replace the plans and specifications your designer submits for plan review: it's the order in which the decisions get made and the numbers you make them with. Every figure in the worked example comes from the workbooks in this same pack, so the text and the spreadsheets say the same thing. The legal frame is the US one, federal rules plus four example states (California, Texas, New York and Florida), with the bonus Equivalents Guide for readers in the UK, Canada and Australia; every legal point names its agency or code section, the appendix links to the official source, and the legal facts were checked against official US sources in October 2026.

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1. What Business Are You Opening: the Eleven Formats and Which One Is Yours

The Eleven Formats, Compared

“Bakery” is one word for eleven different businesses, and sorting out which one you're opening comes before you look at a single storefront or a single oven. Baking at home under your state's cottage food law and selling straight to your customers is one business; a large shop on a prime street with its own production kitchen and a front counter is another. The startup cost runs from one end of a very long scale to the other, and deciding where on that scale you're playing is the first decision, ahead of the lease and ahead of the equipment dealer's catalog. The table at the end of this chapter puts ten of the eleven side by side (the eleventh has nothing to build, as you'll see below); here's how to read it.

The case that runs through this whole guide, the one behind every figure and every spreadsheet, is the core format: a European-style pastry shop with Spanish and Mexican holiday specialties, with its own production kitchen and a front counter, in an unnamed mid-size city in Texas. It's a modeled case, not an industry average. Texas, because the case works there without recalculating anything: its pay rates, from $8.60 to $12.50 an hour, clear the $7.25 federal minimum wage that Texas applies, although they'd fall below the minimum wage in California, New York or Florida, which is why chapter 13 asks for your own figures; its cottage food law is broad; and its Mexican bakery tradition fits the case's seasonal items, from the Rosca de Reyes on January 6 to the Day of the Dead. The other formats are tabulated deviations from that case, each with its own coefficient for build-out, equipment, storefront and permits. When you bake at home and sell direct with no storefront, the build-out and storefront coefficients drop almost to zero; when the space is large or on a prime street, build-out and rent go up; when you can't vent a Type I hood, the equipment coefficient goes up because you make up for it with all-electric enclosed ovens that need only a Type II hood, or none if they're listed as ventless.

With the pack's own figures: the core format, a mid-size pastry shop with its own kitchen and storefront, needs an opening investment of $165,800 and a total investment, working capital included, of $227,916, before the sales tax you pay on equipment (chapter 4 explains why that tax is a cost in the US). The home-based format starts at $14,966. The small bake-off shop, which finishes frozen product instead of making it, starts at $85,997. And the ventless pastry shop, which makes up for the missing Type I hood with all-electric ovens under a Type II hood, comes to $167,180.

One warning before you go on: the ranges you'll see in the table next to these figures are third-party, and only three of the eleven formats have a published US range we could match to them. The other eight don't, and we say so instead of filling them in by eye. The ones that exist, always labeled for what they are, third-party estimates with no line-by-line breakdown you can check, not quotes: Zenind (2026) puts a home-based bakery at $15,000 to $25,000, an online bakery at $20,000 to $40,000, a small retail bakery at $50,000 to $100,000 and up, and a production bakery at $75,000 to $150,000 and up; Toast puts the average bakery startup at $10,000 to $50,000, which describes a small bakery with no major build-out. Published bakery startup figures run from about $10,000 to well over $150,000 because they describe different businesses, not because someone got it wrong. The core case lands above the small retail range, even before working capital, because it prices a full production kitchen and the display cases line by line.

Each format also brings its own catch. Add seating and you move toward a restaurant, a different league: RestaurantOwner.com's figures, cited by DoorDash, put the median restaurant opening at $375,500, with a range of $175,000 to $750,000 and up. Seating also changes your sales tax (pastries sold to go are generally exempt in the four example states; what's eaten at your tables generally isn't) and, in New York and Florida, the agency that permits you. The bake-off shop doesn't bake from scratch, so it can't say it does: “baked fresh daily” on product you only thaw and finish is a misleading-claim risk, not a defined term. The wholesale production kitchen, selling to restaurants and cafés in volume and on credit terms, is where you cross the line that matters most: once more than half of your food sales by value go to businesses instead of consumers, you're no longer a retail food establishment in the FDA's eyes and you generally have to register your facility with the FDA (21 CFR 1.226 and 1.227, checked in October 2026). The ventless shop saves the Type I hood, the duct and the fire suppression (one published estimate puts the hood at $5,000 to $28,000 installed, plus $3,000 to $12,000 for suppression) in exchange for all-electric ovens and a menu with no frying; we won't put a figure on that trade-off because no source breaks it down in a way you can check. On franchises, entry figures vary widely by brand and format; we won't present them as audited data, so here they stay qualitative. And the eleventh format isn't in the table because there's nothing to build: renting time in a licensed commissary or shared kitchen. WebstaurantStore puts typical rent at $250 to $750 a month, and $1,000 to $1,250 in Manhattan or Los Angeles. It's the usual stepping stone when you outgrow cottage food but aren't ready to sign a lease; ask the kitchen and your local health department which permit you need to bake there.

What This Pack Includes and What's Sold Separately

This pack builds the decision you make before you open, and it does it with eight Excel workbooks that share one data set. Two have already come up: kitchen-capacity-and-site.xlsx, where you always start, because it tells you how many square feet the production kitchen needs and how many the sales floor needs, and startup-cost-calculator.xlsx, which produces the opening figures for each format you've just read. Next comes opening-menu-and-recipe-costing.xlsx, where you set up the reference menu and cost every item batch by batch. Then permits-and-licenses-checklist.xlsx, which puts every permit in order, with the agency that issues it and the date it has to be done by. Then equipment-and-suppliers-checklist.xlsx, with every piece of equipment, its example price and the suppliers by category; staff-schedule-and-labor-cost.xlsx, with the case's team and weekly schedule; and seasonal-peaks-planner.xlsx, which measures the six peaks of the year against your capacity. At the end of the line, 3-year-financial-plan.xlsx pulls capacity, startup costs, menu and staff into a single projected profit picture. The pack doesn't squeeze this into six steps with six workbooks: there are eight because the equipment list and the seasonal peaks each get their own, so what you buy doesn't get mixed up with what you sell, and the busiest weeks of the year don't get lost inside the annual plan. Alongside the workbooks come this guide, the bonus 12 Opening Decisions, Solved, the Sample Business Plan for a Pastry Shop, filled in with the case, and the US · UK · Canada · Australia Hospitality Equivalents Guide.

What this pack doesn't build, and why other AI Chef Pro products sit next to it: the day-to-day control of a kitchen that's already open (temperature logs, cleaning records, the allergen matrix for the display case) is the HACCP Food Safety Kit Pro. Costing a single item down to the cent, in US units, is the Food Cost Kit Pro, which already includes three items from this case: the butter croissant, the raspberry macarons and the 70% dark chocolate cake. Menu engineering, that is, deciding which cake to push and which to drop once you have real sales, is the Food Cost + Menu Engineering Guide. And if you want a business plan built on your own numbers to take to the bank, that's the Bakery Business Plan Kit. The line between them fits in one sentence you can keep and repeat: once you're open, your checklists and logs tell you what to do each day; this guide is everything you have to decide before.

Your Problem, Its Chapter and Its Tool

Nobody reads this guide cover to cover, and you don't need to. The table at the end of this chapter matches your problem with the chapter that covers it and the workbook that solves it, so the way to use the pack is to find your situation in the left-hand column and jump straight to the right-hand one.

Three ways in come up more than the rest. The first is the home baker who already sells custom cakes and wants to go legal: start with chapter 9 and permits-and-licenses-checklist.xlsx, and while you're at it, check this chapter's formats to confirm which one you're really in, because “selling from home” means different things depending on whom you sell to. Selling direct to your own customers is cottage food; selling to cafés and shops from home is allowed in some states (California with a Class B permit, New York within the state) and banned in others (Florida). The second is the person with a space in view who doesn't know if it works: go straight to kitchen-capacity-and-site.xlsx, which turns the square footage of the space into the pieces a day that the equipment you can fit inside will produce. The third is the person with a set amount of money who needs to know if it's enough: start with startup-cost-calculator.xlsx and finish in 3-year-financial-plan.xlsx, which is where you see whether the numbers match what's in the bank.

The eight workbooks share one data set (the same space, the same equipment, the same reference menu), so you can jump straight to the chapter you need without losing the thread of the numbers: what the capacity workbook says is what the startup cost workbook uses, and what the staff workbook says is what reaches the financial plan.

What You WON'T Find Here

Four things, said plainly, and all four left out on purpose. There are no recipes or baking techniques: the weights and costings in the examples are there so the model has something to calculate, not as a recipe book, because teaching how to bake a cake and teaching how to decide whether the business will pay are two different trades. There are no plans and specifications for plan review: your designer, architect or engineer prepares those, and this guide tells you what the plan reviewer will ask for (the menu, the expected volume, the layout, the equipment with make and model, the finishes); it doesn't replace their work. There's no copy of your city's or county's code: every jurisdiction has its own, it changes over time, and a guide published in 2026 can't keep it current; what you get is the federal and state map, with each rule and its section, and the list of what to ask your city, your county and your health department. And there's no promise of profit: nobody here will tell you that you'll earn a given figure, because that depends on your space, your menu and how you run them; what you get is the model you calculate your own number with.

The regulatory frame running through this guide is the US one: federal rules (FDA, Department of Labor, IRS) plus your state, county and city. The four states in the tables, California, Texas, New York and Florida, are examples of how much the process changes from one state to the next, not a closed list; in two of them, New York and Florida, a bakery that bakes and sells to go is licensed by the state Department of Agriculture rather than the health department, which tells you how far it can vary. The economic structure (how the investment splits among build-out, equipment, storefront and permits, how an item is costed, how a financial plan is built) works in any country. The health and permit framework, on the other hand, has to be adapted to wherever you open: what this guide cites is the US rule, with its code section, and it says so. If you're opening in the UK, Canada or Australia, the bonus Equivalents Guide tells you which word and which rule to use instead.

What We Call Things Here

This guide is written in US English, and we fix the vocabulary here, in chapter one: where British, Canadian or Australian kitchens use a different word, it appears in parentheses the first time, and after that we always use the US one. Eight words will come up on nearly every page: pastry shop, production kitchen, recipe costing, display case, cake, custom order, cost and line item. The words that change across the four countries are mostly counter and back-office words: to go (takeaway in the UK and Australia), schedule (rota in the UK, roster in Australia), inventory (stock in the UK and Australia), average ticket (average spend), sales tax (VAT in the UK, GST or HST in Canada, GST in Australia, where menu prices include the tax, as they do in the UK), walk-in cooler (cold room in the UK, cool room in Australia), sheet pan (baking tray in the UK and Australia), powdered sugar (icing sugar), superfine sugar (caster sugar in the UK and Australia), all-purpose flour (plain flour in the UK and Australia) and heavy cream (double or whipping cream in the UK, whipping cream in Canada, thickened cream in Australia).

One word deserves a warning of its own because it's the most dangerous in the vocabulary: biscuit. A British or Australian customer who asks for biscuits wants what an American calls cookies; on a US menu, and on New York's cottage food list next to breads and rolls, a biscuit is a soft quick bread. If you read “biscuit” in a British recipe or supplier catalog, don't assume it's the same thing. And a false friend worth flagging before you research the market: US statistics split “retail bakeries” (NAICS 311811, which bake and sell to consumers: 9,473 establishments in 2024, according to BLS) from “baked goods retailers” (NAICS 445291, which sell what someone else bakes: 2,605), so if you pull the wrong code you'll be counting a different business. When this guide says “pastry shop” or “bakery”, it always means a business that bakes and sells its own products, whatever you call it where you live.

The formats and what each one costs to open (startup-cost-calculator.xlsx, "Format Variant" sheet)

Format	Main permit (ch. 9)	Opening investment ($)	With working capital ($)	Published low ($)	Published high ($)	What else changes
Mid-size pastry shop: its own production kitchen and a front counter on the street (this guide's case)	Retail food permit	$165,800	$227,916	$50,000	$100,000+	It's the core case: every coefficient is 1.00, so the opening investment is exactly the total on the "Startup Costs by Block" sheet minus working capital, and the next column adds it back to give the total. The published range is for a small retail bakery; the case lands above it because it prices a full production kitchen line by line.

Format	Main permit (ch. 9)	Opening investment ($)	With working capital ($)	Published low ($)	Published high ($)	What else changes
Home-based bakery under cottage food, selling direct to customers	Your state's cottage food rules	$14,966	$27,389	$15,000	$25,000	It isn't a storefront: it's your home, under your state's cottage food law, with its list of allowed foods and its sales cap (2026: California $88,878 for Class A and $177,756 for Class B, Texas $150,000, Florida $250,000; New York's page lists no cap). A registration, a permit or nothing at all, depending on the state. No build-out, no storefront and no lease deposit; the "Cottage Food Route" sheet in permits-and-licenses-checklist.xlsx is the one that rules.
Closed-door production kitchen, no retail counter	Food permit; FDA registration once wholesale passes half of sales	$70,585	$101,643	$75,000	$150,000+	No display case or retail fixtures, but the 50% line hangs over you: once more than half of your food sales by value go to businesses rather than consumers, you're no longer exempt from FDA food facility registration. The "Selling Wholesale" sheet in permits-and-licenses-checklist.xlsx walks you through it.
Storefront with a counter but no kitchen of its own	Retail food permit	$57,948	$95,217			You buy finished or par-baked product: almost all the production equipment goes and the display case stays whole. If you don't bake from scratch, don't say you do: “baked fresh daily” on product you only thaw and finish is a misleading-claim risk.

Format	Main permit (ch. 9)	Opening investment ($)	With working capital ($)	Published low ($)	Published high ($)	What else changes
Bakery-café with its own kitchen	Food service permit (another agency in NY and FL)	$200,732	$275,270			Adds seating, a coffee bar, an espresso machine and customer restrooms. The moment people eat at your tables, two things change: sales tax (pastries to go are generally exempt in the four example states; what's eaten on site generally isn't) and, in New York and Florida, the agency that permits you.
Small bake-off shop	Retail food permit	$85,997	$129,478			Bakes off frozen product: ovens and a display case, yes; a real production kitchen, no. It doesn't bake from scratch, so it can't claim to either.
Large or prime-location shop	Retail food permit	$265,154	$358,327			Build-out and rent dominate the investment, and the rent that doesn't show here eats the margin every month. Run the "Takeover vs New Build" sheet with the real rent before you fall in love with the street.
Bakery franchise	Retail food permit	$177,427	$245,754			Entry figures vary widely by brand and format: get the franchisor's own numbers in writing. And this sheet leaves out what only the franchisor can tell you: the initial franchise fee and the monthly royalty, which is a cost every month, not part of the investment.

Format	Main permit (ch. 9)	Opening investment ($)	With working capital ($)	Published low ($)	Published high ($)	What else changes
Wholesale production kitchen for restaurants and cafés	Food permit + FDA food facility registration	$224,393	$305,143			No published investment figure. Volume production, invoices on credit terms and almost no display. This is the format where wholesale passes half of your food sales by value, so FDA food facility registration applies (21 CFR 1.227).
Ventless pastry shop (no Type I hood)	Retail food permit; hood answer in writing	$167,180	$229,295			It has no published range because it isn't a business format but a constraint of the space: you skip the Type I hood, the duct and the fire suppression in exchange for all-electric enclosed ovens that need only a Type II hood (or none, if listed to UL 710B) and a menu with no frying. Get the answer in writing from the building department and check it on the "Site Visit Checklist" sheet in kitchen-capacity-and-site.xlsx before you sign.

The coefficients behind each format are model ASSUMPTIONS, and seven rows carry no published range because we found none we could match. The published columns are third-party figures (Zenind, 2026), there for contrast, not as a target. The eleventh format, a rented commissary kitchen, has no row: there's nothing to build, only a monthly rent.

Your problem, the chapter that covers it and the tool that solves it

If your problem is...	Chapter	Pack tool
I don't know if this space works for me	5 and 6	kitchen-capacity-and-site.xlsx
I don't know how many pieces a day the equipment I'm buying can handle	7	kitchen-capacity-and-site.xlsx
I don't know what it costs to open	4	startup-cost-calculator.xlsx
I don't know if taking over an existing bakery beats building new	6	startup-cost-calculator.xlsx
I don't know what to put on the menu	3	opening-menu-and-recipe-costing.xlsx

If your problem is...	Chapter	Pack tool
I don't know what to charge or what each item costs me	12	opening-menu-and-recipe-costing.xlsx
I don't know which permits I need or in what order	9 and 10	permits-and-licenses-checklist.xlsx
I want to start at home and don't know if I can	9	permits-and-licenses-checklist.xlsx
I don't know what equipment to buy or from whom	8 and 11	equipment-and-suppliers-checklist.xlsx
I don't know how many people I need or what they cost	13 and 14	staff-schedule-and-labor-cost.xlsx
I don't know if I can keep up with the holiday peaks	15	seasonal-peaks-planner.xlsx
I don't know if the business holds up	18 and 19	3-year-financial-plan.xlsx
I don't know when I can open	20	permits-and-licenses-checklist.xlsx

The eight workbooks share one data set, so you can jump to the chapter you need without losing the thread of the numbers.

2. Your Customer and Your Market: Who Buys Pastry and When

What US Households Spend and What Income Changes

Before you look at a single storefront, look at the number underneath it all: how much US households spend on bread and bakery goods. According to the BLS Consumer Expenditure Survey, the average household (a "consumer unit" in BLS terms) spent $539 on bakery products for home in 2024. The figure moves from year to year ($497 in 2022, $574 in 2023), but it never goes away. It's a broad market figure, not a bakery-shop figure: it counts every loaf of sandwich bread and every box of muffins bought for home, wherever it was bought, the supermarket included. Even so, it tells you something you need to be clear on from day one: the demand is there, and it isn't a passing whim but a habit built into the grocery budget.

What that figure DOESN'T tell you is that you'll live off big purchases. $539 a year spread over the calendar comes to about $10 a week per household, which makes it, by definition, small, repeat spending: the customer walks in, buys two or three pieces and comes back a few days later. It isn't a furniture ticket or an appliance ticket; it's a coffee-shop ticket. Whoever opens a pastry shop picturing customers who drop fifty dollars in one go is in for a surprise, and you plan for that surprise in the number of customers you need each day, not in how much each one spends.

Inside that average there's a point about income that does change one concrete decision. The $539 is an average across every household, and it lumps supermarket sandwich bread together with pastry from a production kitchen, so it doesn't tell you how much a given neighborhood spends at a bakery like yours: how much bread a neighborhood eats doesn't predict the ticket you'll ring up there. What does change with the income of the neighborhood is the price it's willing to pay per piece and how often it places a custom order instead of buying from the display case. Put another way: the location you choose moves your average ticket more than the menu you put on the counter. You can sell the same strawberries & cream cake in two shops fifteen minutes apart and charge different prices for it because the neighborhoods pay differently, and that room to maneuver is worth more than any recipe tweak.

Brought down to the case modeled in this guide's pack, annual sales at cruising speed are $322,198, with an average ticket of $5.87 before sales tax and 2.6 pieces per ticket. That ticket doesn't come from any industry average: we found no public, checkable figure for the average ticket at a US bakery, so treat any number that circulates under that name without a source as a guess. The case's ticket comes from its own menu mix, its own prices and its own assortment of pieces, and that's exactly what you have to build with your own menu before you trust anyone else's number. When you change your product mix, your ticket changes with it; there's no "market" ticket to converge on.

Only a Small Share of Spending Reaches the Specialty Bakery

There's no official US figure for how much of that household bakery spending goes through specialty bakeries and how much through supermarkets, big-box stores and everything else, and we won't make one up. Any split you see quoted online should be treated as an order of magnitude at best, never as a basis for sizing your business or for working out how many people you need to attract. What you can use is the shape, not the decimal: the $539 is spent wherever households buy their groceries, so the weekly loaf, the bagged rolls and the box of muffins go into the same cart as the rest of the shopping, in the supermarket aisle or at its in-store bakery, and only a fraction of that money ever reaches an independent bakery that bakes its own products.

The commercial consequence is direct: the specialty shop doesn't compete for the family's weekly shopping. That weekly purchase is already settled in the supermarket aisle, at a low price and with no line. What the production kitchen can win is the occasion: the birthday, Sunday lunch, guests coming over, the First Communion, Christmas. That explains why weekends and peak seasons weigh so heavily in a pastry shop's sales and why an ordinary Monday weighs so little: on Monday there's no occasion, there's routine, and the supermarket already has the routine covered.

There's a mistake that comes up again and again in what you read for free online, and it needs saying plainly: multiplying the households around your shop by a national spending average does NOT give you your market. The $539 is all the bread and bakery goods bought for home, supermarket included, and the $3,945 the average household spent on food away from home in 2024 (same survey) is every restaurant meal, coffee and snack eaten out, not your category. They're different categories with different buying behavior, and mixing them leads to the wrong conclusions about how many people "should" be buying at your shop. The figure that matters here is the specific one for your category and your location, labeled with how reliable it is, not the generic one for the whole shopping cart.

The Real Competitor Is Frozen Dough

If the supermarket takes the routine purchase, you have to ask who else is taking the morning sale, the coffee with something sweet before work. The answer isn't the bakery across the street: it's the supermarket's in-store bakery and the café on the corner baking off frozen product. The closest official series is the BLS count for frozen cakes, pies and other pastries manufacturing (NAICS 311813): 309 plants and 13,541 jobs in 2024, up from 236 plants and 12,619 jobs in 2018 (BLS Quarterly Census of Employment and Wages, QCEW). In plants, that's 31% more in six years; in jobs, 7% more. Over the same years, retail bakeries, the shops that bake and sell to the public (NAICS 311811), went from 7,787 establishments to 9,473 (22% more) and from 86,819 jobs to 104,527 (20% more).

That long series is what changes the conversation, as long as you read both lines. It counts plants and jobs, not sales, so it gives you a direction, not a market size, and the direction is clear: this isn't one good year for the frozen industry but a trend sustained over six years, adding plants faster than the shops that bake by hand add storefronts, and putting ready-to-bake trays in every in-store bakery, every convenience store with a coffee counter and every café that wants to sell pastries without a kitchen of its own. It's a competitor with industrial capacity, economies of scale and a presence in places where you'll never be able to open a shop. The good news is in the other line: the shops that bake on site are growing too, and they're adding people faster than the plants are.

You don't compete with that competitor on price or on volume: you'd lose on both, guaranteed. You compete on product that doesn't survive industrial freezing and thawing (laminated dough fresh out of the oven, cream whipped that morning, the filling that breaks down if you freeze it), on custom orders that need a personal touch, and on the peaks that call for concentrated volume over a few days, which industry can't deliver with the freshness the customer expects. Everything that can be frozen, shipped and baked off in an in-store bakery has already been taken from you by someone with more scale than you; what can't be done that way is exactly where your business lives.

Here's a storefront lever that's yours and costs nothing: saying where your product is made. “Baked here every morning” or “made from scratch in our kitchen” can only be said truthfully by whoever bakes the product in their own production kitchen, and it's precisely what the in-store bakery and the café baking off frozen trays can't say with the same truth. It isn't a defined legal term in the US; what applies is the general ban on false or misleading labeling (FD&C Act §403(a)), which is why “baked fresh daily” on product you only thaw and finish is a risk, as chapter 17 on channels explains. It's free, it's legitimate if you bake, and it's the simplest commercial argument you have against a competitor that wins on scale but loses on origin.

Why a Production Kitchen Doesn't Compete on Volume

All of the above has to be translated into real capacity, because a commercial argument is useless if you don't have pieces to sell. The equipment in the case modeled in this guide has a ceiling of pieces a day: that's what there is, and working faster or pushing the team doesn't fix it. When you get close to that ceiling, the only lever left isn't making more pieces (the oven has nothing more to give) but making every piece that leaves the kitchen bring in more margin: a better menu mix, a better price for each occasion, more weight on custom orders against impulse buys at the display case. It's the same logic that separates the production kitchen from the frozen competitor: you don't win on quantity, you win on what each unit leaves behind.

That logic of limited capacity fits another reality of the business that you have to plan for from day one: seasonality. In the modeled case, the highest month of the year is January, carried by the Rosca de Reyes, with $35,979 in sales, 11.2% of the annual total; the lowest is August, with $17,452, 5.4% of the year (the case closes for two weeks that month). January brings in more than twice what August does, and it's worth reading next to the figure for an average day of the year, which brings in $1,074: a business with that curve isn't planned around the monthly average but around real cash, month by month, because the slow month comes anyway and you need cash to carry you through it even if the strong month makes up for the whole year. December (1.24) and November (1.08) pick up Christmas and Thanksgiving, the two big US holiday rushes, which the case counts in its monthly curve rather than as peaks of their own. The table below breaks down each month's weight in the total, and it's worth a calm look before you sign any lease with the good month in mind.

And here comes the location decision that closes this line of reasoning. Before you sign anything, go out and count how many bakeries that bake from scratch there are within the walk (or, in a city where people drive, the short drive) your customers will actually make to your future shop, not how many “bakeries” show up on a map search. That search lumps the real production kitchen together with the counter that sells reheated frozen trays under a sign that says “bakery”: they're different businesses, with different cost structures, and only one of the two can honestly say “baked here every morning”. The official statistics draw the same line: in 2024 the US had 9,473 retail bakeries (NAICS 311811), the ones that bake and sell, 615 of them in Texas, 1,378 in California, 988 in New York and 457 in Florida, against 2,605 baked goods retailers (NAICS 445291) that sell what someone else bakes (BLS QCEW). Count your competition wrong and you start the business with the wrong map in your hand.

The year month by month in the modeled case (seasonal-peaks-planner.xlsx, "Share of the Year" sheet)

Month	Coefficient vs. the average month	Sales for the month ($)	Share of the year (%)	Peaks that fall in the month
January	1.34	$35,979	11.2%	Día de Reyes (Three Kings Day)
February	0.93	$24,970	7.8%	Valentine's Day
March	0.97	$26,044	8.1%	-
April	1.04	$27,924	8.7%	Easter (Holy Week)
May	1.07	$28,729	8.9%	Mother's Day, First Communions and graduations
June	0.97	$26,044	8.1%	-
July	0.85	$22,822	7.1%	-

Month	Coefficient vs. the average month	Sales for the month ($)	Share of the year (%)	Peaks that fall in the month
August	0.65	$17,452	5.4%	-
September	0.91	$24,433	7.6%	-
October	0.95	$25,507	7.9%	-
November	1.08	$28,998	9.0%	All Saints' Day and Día de los Muertos
December	1.24	$33,294	10.3%	-
TOTAL YEAR	12.00	$322,198	100.0%	

The twelve coefficients are ASSUMPTIONS of the modeled case and add up to twelve, so the average for the year matches cruising speed. Replace them with your own as soon as you have a full year on the books.

What the US market data says, and where each figure comes from

What it measures	What the data says	Source
Household spending on bakery products for home	$539 per household in 2024 ($574 in 2023, $497 in 2022), bought anywhere, supermarket included	BLS Consumer Expenditure Survey, 2024
Household spending on food away from home	$3,945 per household in 2024: every meal and snack eaten out, not your category	BLS Consumer Expenditure Survey, 2024
Share of bakery spending that reaches specialty bakeries	No official US figure: use it for the shape, never to size your business	None published
Retail bakeries that bake and sell (NAICS 311811)	9,473 establishments and 104,527 jobs in 2024	BLS QCEW, 2024
Retail bakeries in the four example states	California 1,378 · New York 988 · Texas 615 · Florida 457 establishments	BLS QCEW, 2024
Baked goods retailers that sell what others bake (NAICS 445291)	2,605 establishments in 2024	BLS QCEW, 2024
Frozen cakes, pies and other pastries manufacturing (NAICS 311813)	309 plants and 13,541 jobs in 2024, up from 236 plants (+31%) and 12,619 jobs (+7%) in 2018	BLS QCEW, 2018 and 2024
Comparison with the shops that bake by hand	Retail bakeries grew from 7,787 to 9,473 establishments (+22%) and from 86,819 to 104,527 jobs (+20%) over the same years	BLS QCEW, 2018 and 2024

Each row is cited in the text with its source and year. None of these figures is a target for your business: they're the size and direction of the market you're entering.

3. The Opening Menu: Thirty Items and Why These

How to Decide an Opening Assortment

An opening assortment isn't decided by taste or by what you're best at making. I've seen whole menus built around the head pastry chef's specialty burn through the cash in the first few months because nobody stopped to look at the other two filters. The order matters, and it goes like this: first, what fits in your production kitchen with the equipment and the hands you'll have on day one; second, what holds up in the display case without losing color, texture or margin to what you throw away; and third, what actually leaves a margin, not what sounds good in your head. If an item doesn't pass all three filters in that order, it doesn't go on the opening menu, however well you make it.

This chapter's modeled case works with thirty items spread across five families, and it needs saying right away: they're example data, not the menu you have to copy. Your shop will swap seasonal items for local ones (king cake, pan de muerto, Thanksgiving pies); the costing method is the same. Three of the thirty come straight from the Food Cost Kit Pro (the 05-bakery-cake-pricing workbook, its "Croissants", "Macarons" and "Chocolate Cake" sheets), on purpose, so that if you own both products you're costing the same croissant with the same recipe, there in US units, instead of two versions of it; the other twenty-seven are assumptions built so the model has something to calculate. There isn't a single recipe or kitchen process in here: what this chapter decides is what you sell and at what margin, not how you make it.

And here's the first judgment call, the one that saves the most money in year one: opening with fewer items than you think you need is almost always right. Every item you add multiplies ingredients in the walk-in, time in the kitchen and the risk of waste in the display case, and your first-month customer doesn't choose among thirty options: they choose among the four or five they see first and that you've taught them are always there. Thirty items is already a tight assortment for a case with defined capacity; if your team is smaller, the list gets shorter, not longer.

So you don't decide by eye, the workbook includes a menu traffic light on the "Menu Decision" sheet. Across the modeled case's thirty items, the verdicts split like this: 27 items come out as Keep, 1 as Review price and 2 as Drop. The ones you keep, you leave alone: they stay in the case exactly as they are, because they meet margin and turnover at the same time. With the one that needs a price review, the problem isn't the item itself; it's that its current price isn't capturing the margin its turnover would allow: you raise the selling price and check the mix again, without touching the recipe costing. And with the ones to drop, the decision is literal: they don't go on the opening menu, because neither margin nor turnover holds them up, and keeping them just to round out the assortment means financing a loss with the cash from the ones that work. The table below, with the thirty items, their margin and their verdict, runs this logic row by row; here we only explain how to read it.

The Five Families and the Role of Each

The five families on the opening menu don't compete with each other for space in the display case; each one does a different job, and confusing those jobs is the most expensive mistake I've seen first-time owners make:

- **Viennoiserie.** It brings the customer in every morning and builds repeat business: the butter croissant, the custard *napolitana* (cream-filled laminated pastry), the *ensaïmada* (Mallorcan spiral pastry), the kind of piece a customer buys without thinking because they already know it's good and that it's always there. It isn't the family that leaves the most margin per unit, but it's the one that keeps the door swinging.

- **Individual pastries.** This is where the ticket goes up: the display piece with the highest unit price, the one the customer adds to the breakfast pastry or buys on its own in the afternoon. It's the engine of the modeled case's average ticket.
- **Cakes and entremets.** This is the custom order and the peak season: birthdays, celebrations, the busiest weeks of the year. It isn't daily counter sales; it's scheduled sales, and that's why you manage its capacity differently from the everyday display case.
- **Breads.** Its job is traffic, not margin: it brings in the customer who only came for a baguette and walks out with a croissant or a pastry as well. And it has one detail you can't overlook: bread is the item you're most likely to sell bagged, and anything you package yourself needs a full label.
- **Seasonal.** Rosca de Reyes (Three Kings bread), almond turrón (nougat), *Mona de Pascua* (Catalan Easter cake), panettone: this is where the year is won or lost. A well-run seasonal push can outweigh the rest of the menu combined in those weeks' sales, and a badly run one leaves you with expensive waste right when ingredient costs peak.

If you decide to put bread on your opening menu, be clear about what it changes and what it doesn't. What it changes: the sandwich loaf, sliced and bagged, is food you package yourself, and packaged food needs a full label with its common name, ingredients by weight, net quantity, your name and address and the major allergens (FDA Food Code 3-602.11), which this guide's regulatory appendix covers. What it doesn't change, unlike under a VAT system: your tax rate. In the four example states, bread and pastries sold to go are generally exempt from sales tax alike, and what makes either one taxable is how you sell it (on a plate, at your tables), which chapter 19 covers. It isn't just a display-case decision, so if you're going to include bread, read those two sections before you set the price.

Now for the column that turns all of this from a list of intentions into a number: the mix column. The percentage of units you expect to sell of each item is an editable cell, not a fixed figure in the workbook. You decide how much weight each of the thirty items gets based on your location, your hours and your customers, and from that column (not from an industry average, which we couldn't find as reliable public data for bakeries) come the average ticket and the food cost of the whole menu. Change the mix and both numbers change. That's why the modeled case's average ticket, $5.87 before sales tax, is the result of one specific mix, not a figure you can carry over to your own pastry shop without running it through your own mix column first.

A Single Item Can Bring In Almost a Third of the Register

Here's the figure that should most change the way you look at your own menu. At Hofmann, a well-known pastry shop in Barcelona, a single item, the mascarpone croissant, at roughly 3,000 units a week, accounts for close to 30% of the shop's total sales, according to The New Barcelona Post (February 2026). It isn't a rare case or the quirk of a famous name: in pastry, sales concentrated in a handful of items are the rule, not an accident. There are almost always one or two pieces that pull the rest of the menu along, and the rest are there to give variety, not to bring in the same money.

And from that comes the operational consequence that changes how you treat your star item from day one: if one piece brings in that share of your register, its recipe costing, its supplier and your production capacity stop being kitchen details and become business risk. A costing error on your best seller isn't a small mistake repeated thirty times a month; it's a big one repeated thousands of times. A single supplier for its key ingredient, with no alternative, is a point of failure that can stop your most profitable product overnight. And kitchen capacity stretched to the limit for that item is the first thing to break when seasonal demand climbs. Before you settle your opening assortment, figure out which of your thirty (or of the ones you define) is going to play that role, and treat it with the care you give to what holds up the register, not the care you give to one more piece in the case.

On seasonal trends, one point worth keeping in mind, with only the numbers we can stand behind: in the US, the Rosca de Reyes isn't a one-day item. It's the same rosca that Mexican bakeries across the country sell for Three Kings Day, and it shares the calendar with the king cake, whose season runs from Epiphany (January 6) to Mardi Gras; US searches average about 90,500 a month for “rosca de reyes” and 110,000 for “king cake” (DataForSEO, October 2026). If your opening menu includes seasonal items, plan for a season that stretches past its date on the calendar. Smaller sizes and gluten-free or dairy-free versions are worth trying too, but we have no US figure for how big that demand is, so test them before you commit production to them.

Margin by Family: the Cookie Earns Twice What the Cake Does

The most common mistake when you look at a menu is to focus on each item's margin without looking at how much that item weighs in the mix. A piece with a big unit margin that hardly anyone buys contributes little to the register; a piece with a tight margin that sells all day long can contribute more than the first one. What sorts the assortment decision table is the weighted margin: each item's margin multiplied by its weight in the mix, not the margin on its own. That's why two items with the same contribution margin per piece can get opposite verdicts on the menu traffic light: the one that turns over stays, and the one that doesn't gets a price review or gets dropped.

In the modeled case, the average contribution margin per piece across the whole menu is $1.07, and the weighted average selling price is $2.26 before sales tax. They're averages of the full mix, and here's the distinction you really need to understand before you go on with the rest of this guide: the ingredient food cost of the whole menu is 17.6%, but the served food cost, the one that includes display-case waste and to-go packaging, climbs to 20.3%. Those almost three points of difference are the first proof that an item's recipe costing, calculated with ingredients alone, isn't the real cost of your business. What you throw out of the case and what the box or bag the product leaves in costs you are as much a cost as flour or butter, and anyone who sets prices from the recipe costing alone is working with a number that falls short. For contrast, third-party estimates put a typical US bakery's food cost at 28% to 35% of sales (Toast); the case's percentages come from its own modeled prices and ingredient costs, so check yours on the "Batch Costing" sheet before you lean on them.

That also explains why, at the same percentage margin, the small, repeat piece of viennoiserie or individual pastry usually does more for the register than a cake or a custom entremet. A cake carries far more labor per unit sold: each cake is practically a one-off from start to finish, while the small piece is made by the batch and spreads that kitchen time over many units. That difference in labor per unit is laid out in detail in the recipe costing chapter, line by line; here it's enough to know that a cake's percentage margin doesn't tell the whole story unless you put the labor it took to make right next to it.

The decision rule that closes this section is the same one that's already been showing up in the menu traffic light: you drop what reaches neither margin nor turnover, because it adds nothing to the register and does take up space in the case and in the kitchen. You review the price of what has a low margin but turns over well, because there's room there to capture more margin without losing sales. And you don't touch what already turns over and already leaves a margin: those are the items that hold up your menu, and touching them for no reason is the kind of decision you regret six months later. How this rule becomes menu engineering, with a full matrix and a batch costing method, is the subject of the Food Cost + Menu Engineering Guide; here we've only set the criterion you use to decide what goes on your opening menu and what doesn't.

The thirty items, their margin and their assortment verdict (opening-menu-and-recipe-costing.xlsx, "Menu Decision" sheet)

Ref	Item	Family	Food cost (%)	Margin per unit ($)	Mix (% of units)	Weighted margin ($)	Verdict
B1	Butter croissant	Viennoiserie	16.2%	$0.40	12.0	$0.05	Keep
B2	Pain au chocolat (chocolate croissant)	Viennoiserie	24.9%	$0.44	8.0	$0.04	Keep
B3	Custard *napolitana*	Viennoiserie	21.0%	$0.36	7.0	$0.03	Keep
B4	Palmier	Viennoiserie	14.2%	$0.83	4.5	$0.04	Keep
B5	Raisin snail (pain aux raisins)	Viennoiserie	18.2%	$0.48	3.5	$0.02	Keep
B6	*Ensaïmada*	Viennoiserie	10.2%	$0.28	3.0	$0.01	Keep
PI1	Napoleon (mille-feuille)	Individual pastries	13.7%	$1.58	4.0	$0.06	Keep
PI2	Éclair	Individual pastries	11.6%	$1.76	3.5	$0.06	Keep
PI3	Raspberry macarons	Individual pastries	10.3%	$0.92	7.0	$0.06	Keep
PI4	Fruit tart	Individual pastries	15.2%	$1.66	3.0	$0.05	Keep
PI5	Cream puff (profiterole)	Individual pastries	9.5%	$1.44	3.0	$0.04	Keep
PI6	Individual entremet (mousse cake)	Individual pastries	20.2%	$1.49	1.5	$0.02	Keep
T1	70% dark chocolate cake	Cakes and entremets	35.2%	$1.00	1.2	$0.01	Review price
T2	Cheesecake	Cakes and entremets	29.5%	$1.43	1.5	$0.02	Keep
T3	Apple tart	Cakes and entremets	14.7%	$1.48	1.1	$0.02	Keep
T4	Carrot cake	Cakes and entremets	25.1%	$1.13	0.9	$0.01	Keep
T5	Sachertorte	Cakes and entremets	25.8%	$1.19	0.8	$0.01	Keep
T6	Strawberries & cream cake	Cakes and entremets	23.8%	$1.18	1.0	$0.01	Keep
PA1	Baguette	Breads	14.9%	$0.72	16.0	$0.12	Keep
PA2	Ciabatta	Breads	13.9%	$0.95	4.0	$0.04	Keep
PA3	Sourdough boule	Breads	15.8%	$2.16	3.5	$0.08	Keep
PA4	Sandwich loaf (pullman)	Breads	26.4%	$1.37	2.5	$0.03	Keep
TP1	Rosca de Reyes (Three Kings bread)	Seasonal	17.3%	$10.16	1.2	$0.12	Keep
TP2	*Torrijas* (Spanish Easter French toast)	Seasonal	11.9%	$1.22	1.3	$0.02	Keep
TP3	*Buñuelos de viento* (Spanish cream-filled fritters)	Seasonal	11.7%	$0.91	1.0	$0.01	Keep
TP4	*Huesos de santo* (marzipan "saints' bones")	Seasonal	18.8%	$0.77	0.8	$0.01	Keep
TP5	*Panellets* (almond and pine-nut cookies)	Seasonal	41.0%	$0.54	0.7	$0.00	Drop

Ref	Item	Family	Food cost (%)	Margin per unit ($)	Mix (% of units)	Weighted margin ($)	Verdict
TP6	Polvorones (Spanish shortbread)	Seasonal	14.4%	$0.60	1.3	$0.01	Keep
TP7	Almond turrón (nougat)	Seasonal	32.4%	$5.48	0.5	$0.03	Drop
TP8	*Mona de Pascua*	Seasonal	16.4%	$8.55	0.7	$0.06	Keep

The verdict crosses margin with turnover: the margin WEIGHTED by the mix rules, not the margin per piece. Selling prices (before sales tax) and portion weights are example data from the modeled case; price yours against the bakeries around you.

The five families on the opening menu and the role of each

Family	Items	Why it's on the menu
Viennoiserie	6	Brings in the morning and the repeat purchase; it's your Monday-to-Friday traffic
Individual pastries	6	Raises the ticket without taking up more refrigerated case space
Cakes and entremets	6	Custom orders, celebrations and peak seasons: high ticket and high labor
Breads	4	Traffic and the daily purchase; watch out: bagged bread needs a full label
Seasonal	8	Where the year is won or lost: Three Kings Day, Easter and the Day of the Dead

The split is the modeled case's. Opening with fewer items than you think you need is almost always the right call in year one: every item adds purchasing, waste and display-case space.

4. What It Costs to Open: Real Startup Costs, Line by Line

Why Published Figures Contradict Each Other, and What Each One Assumes

Search “how much does it cost to open a bakery” and you'll find ranges that sit a factor of two, three, sometimes more apart. Toast puts the average bakery startup at $10,000 to $50,000. Zenind (2026) breaks it down by model: $15,000 to $25,000 for a home-based bakery, $20,000 to $40,000 for an online bakery, $50,000 to $100,000 and up for a small retail bakery and $75,000 to $150,000 and up for a production bakery. And once seating and a full kitchen come in, RestaurantOwner.com's figures, cited by DoorDash, put the median restaurant opening at $375,500, anywhere from $175,000 to $750,000 and up.

None of these figures is lying. The problem is that none of them states the four assumptions that would make them comparable. First, square footage: a 538-sq-ft production kitchen isn't a 1,615-sq-ft one, because the build-out scales directly with the floor area. Second, the market: build-out prices, key money and rent in a big city look nothing like a small town's. Third, the condition of the space: whether it's a cold dark shell where everything has to be built from scratch, a vanilla shell, or a second-generation food space with systems you can reuse from the previous tenant. And fourth, whether the cash cushion (the months you'll be paying payroll and rent before you've rung up a single sale) is inside that investment figure or is a separate expense nobody mentions. Without those four assumptions on the table, an investment figure tells you nothing about your project: it tells you something about someone else's.

That's why this guide doesn't give you an investment number. It gives you the model you calculate your own with, with every assumption written down before a single dollar shows up.

The Three Build-Out Scenarios

The case we model in this edition starts from a 969-sq-ft space, empty (no existing business taken over, no systems from a previous tenant to reuse), with working capital included in the total cash you need. On that space, startup-cost-calculator.xlsx works with three build-out scenarios, and the difference between them isn't cosmetic: it's the assumption about the condition the space is in when you get the keys.

The low scenario assumes the space already comes with systems you can use (an existing hood and duct, enough electrical service, a sound slab and drains) and you only have to adapt and finish. Its price is $55.74 per square foot. The high scenario assumes just the opposite: demolition, a new slab and drains, electrical and plumbing run from scratch, and the whole exhaust system built from the ground up. There the price climbs to $111.48 per square foot, double. Between those two extremes sits the middle scenario, the one we use as this edition's central case because it's the most realistic description of a street-level retail space that has been empty for a while or comes from another use: neither fully equipped nor completely raw. One honest warning: these per-square-foot prices are the case's assumptions, not US benchmarks. We found no checkable published figure for a bakery build-out per square foot in the US, so the only number that counts is the one in your contractor's bid.

For the modeled case (969 sq ft, middle scenario), the build-out comes to $81,000. It's by far the biggest line in the whole startup budget, and it's also the one that moves most when you change the square footage: add or take away square feet and this line scales almost in a straight line, much more than the equipment or the fixtures do.

And here's the warning almost everyone skips when they budget by eye: the per-square-foot build-out price does NOT include the hood and its duct up to the roof, the electrical service upgrade a kitchen with ovens and blast chillers needs, or the permits and inspections for those systems (mechanical, electrical and, for a Type I hood, the fire marshal's). Those three go separately. One published estimate puts a complete hood at $5,000 to $28,000 installed, plus $3,000 to $12,000 for fire suppression; and if your local plumbing code calls for a grease interceptor, another puts its installation at $2,000 to $8,000. Whoever folds those lines into the per-square-foot price, or worse, forgets them altogether, finds the overrun the day the contractor's real bid arrives.

The check on this model can't rest on a single source either. There's no published US case of a pastry shop this size with its own production kitchen, broken down line by line, that we could set ours against, so what we can compare is the order of magnitude. Before working capital, the case's opening investment is $165,800: above Zenind's small retail range ($50,000 to $100,000 and up), at the top of its production bakery range ($75,000 to $150,000 and up) and well below the $375,500 median for a restaurant with seating. That's where a shop with a full production kitchen and a front counter but no seating ought to land, and that's how to read it: as a cross-check on the order of magnitude, not as a coincidence or as a mistake on either side. The third-party ranges are estimates with no line-by-line breakdown you can check, not an industry average: they come into this guide only with that label.

The Sales Tax Column, or Why Your Startup Budget Comes Out Wrong

Here's the flaw that wrecks more homemade budgets than you'd think. US equipment dealers list their prices before sales tax, and the tax only shows up on the invoice; add up list prices and your total comes out short, on a full production kitchen by several thousand dollars. And unlike VAT in the UK, GST/HST in Canada or GST in Australia, which a registered business generally gets back on what it buys, US sales tax on the equipment and taxable build-out you buy for the business doesn't come back: you don't net it against the sales tax you collect from your customers. It's a cost, part of what each item costs you. That's why every line in the startup cost calculator carries its own tax column with its own rate, shipped at 0% so you can enter yours. And if you're opening in the UK, Canada or Australia, where you do recover VAT or GST, the "VAT-GST & Cash" sheet is the one that tracks the tax you pay up front and the month it comes back.

Once that's sorted out, the modeled case gives three numbers, and all three are different because they do different jobs. Startup costs before sales tax come to $227,916: that's the figure you compare quotes with, the one that measures what you're actually buying. The sales tax on top depends on your rate and on which lines your state taxes. In the case, the lines that can carry it (equipment, fixtures, build-out, packaging, plans and marketing) add up to $161,480; at the maximum combined rate in Texas, 6.25% state plus up to 2% local, or 8.25%, that's about $13,322 you pay on the invoices and never get back. Equipment and fixtures are generally taxed; build-out labor, design fees and marketing services vary from state to state, and some states exempt part of a bakery's production equipment (in a 2024 advisory opinion, TSB-A-24(19)S, New York treated production equipment used mostly, more than 50%, to make food sold to go as exempt), so check yours with a CPA or your state's tax agency. And the cash out the door, the sum of the two, is the figure you have to have in the account the day you sign the orders. In the case as modeled, with the workbook's rate left at 0%, it's $227,916, the figure the financial plan and the rest of this guide use; in your own budget, it's that plus your sales tax.

Mixing up these three numbers, or worse, blending them into one sum to “round things off”, is exactly the mistake this chapter is calling out. And two more lines often land in the wrong bucket: permit and plan-review fees and the lease security deposit carry no sales tax, so applying your rate across the board to every line overstates the total too.

The Cash Cushion Is a Line Item, Not a Tip

Working capital isn't a gesture of caution you add if there's budget left over: it's a startup cost line, calculated, with its own amount. In the modeled case, working capital comes to $62,115: four months of fixed costs (rent, payroll, utilities) at $15,529 a month, without needing to ring up a single sale. It's the difference between riding out a slow opening, which almost all of them are, and having to close before you've had time to get going.

Of the total cash you need, part is covered by whatever bank financing you can get (an SBA-backed loan, for example, as chapter 19 explains), and the rest has to come out of your own pocket. How much the bank covers depends on your project, your credit, your collateral and your lender, so there's no single split that works for everyone; what is universal is the order in which you look at that math. The first number to check in the whole calculator isn't startup costs before tax or the build-out: it's the cash verdict, the one that compares what you need to pay out with what you actually have and with what the bank is willing to put in.

The decision order is this, and there are no shortcuts: first, work out the total cash you need (the $227,916 of the modeled case, before sales tax; in your project, the number your own sheet gives you, plus your sales tax); then subtract the bank financing you're actually going to get; and only then, with what's left in front of you, do you know whether the project fits the money you have. Doing it backward (working out first how much rent you can afford and then adjusting the investment to make it fit) is the most common way to end up signing a lease the cash can't carry when the second or third month comes around with barely any sales.

Startup costs by block in the modeled case, with an 8.25% sales tax for illustration (startup-cost-calculator.xlsx, "Startup Costs by Block" sheet)

Block	Pre-tax cost ($)	Sales tax at 8.25% ($)	Total with sales tax ($)	Share of the pre-tax total (%)
Build-out and building systems	$81,000	$6,683	$87,683	35.5%
Production kitchen equipment	$54,296	$4,479	$58,776	23.8%
Storefront and display	$12,684	$1,046	$13,731	5.6%
Permits, plans and fees	$7,920	$495	$8,415	3.5%
Security deposit	$2,400	$0	$2,400	1.1%
Opening packaging	$2,500	$206	$2,706	1.1%
Opening marketing	$5,000	$413	$5,413	2.2%
Working capital	$62,115	$0	$62,115	27.3%
STARTUP COSTS TOTAL	$227,916	$13,322	$241,238	

Permit and plan-review fees, the security deposit and working capital carry no sales tax, so their tax is zero. The workbook ships with the tax rate at 0%: out of the box its tax column reads zero and the total is the pre-tax $227,916, the case's figure. The two tax columns here show what it returns once you type 8.25%, the Texas maximum, into "Settings" (rounded to the dollar). Working capital isn't a purchase: it's the cash that lets you pay your fixed costs until the sales come in.

The investment line by line, with its tax treatment and where each figure comes from (startup-cost-calculator.xlsx, "Startup Costs by Block" sheet)

Block	Line item	Buying it?	Source	Price includes sales tax?	Your amount ($)	Pre-tax cost ($)	Total with 8.25% sales tax ($)
Build-out and building systems	Build-out for the chosen scenario	Yes	Build-out scenario	No	$81,000	$81,000	$87,683
Production kitchen equipment	Convection oven, 6 trays	Yes	Example price	No	$2,772	$2,772	$3,001
Production kitchen equipment	Convection oven, 4 trays	Yes	Example price	No	$2,077	$2,077	$2,249
Storefront and display	Refrigerated bakery display case, curved glass, about 5 ft	Yes	Example price	No	$2,284	$2,284	$2,473
Storefront and display	Rear sliding doors for the display case (accessory)	No	Example price	No	$120		
Production kitchen equipment	Blast chiller, 4 trays - Irinox MultiFresh line	Yes	Example price	No	$10,037	$10,037	$10,865
Production kitchen equipment	Dough sheeter, up to 16 in wide	Yes	Example price	No	$1,215	$1,215	$1,315
Production kitchen equipment	Planetary mixer, 20 qt	Yes	Example price	No	$595	$595	$644
Production kitchen equipment	Chocolate tempering machine, 12 kg (26 lb)	No	Example price	No	$7,400		
Production kitchen equipment	Modular deck oven, 1 to 5 decks	No	Assumption	No	$12,000		
Production kitchen equipment	Retarder-proofer (roll-in)	Yes	Assumption	No	$8,500	$8,500	$9,201
Production kitchen equipment	Stainless steel exhaust duct	Yes	Assumption	No	$6,500	$6,500	$7,036
Production kitchen equipment	Spiral mixer, 25 kg (55 lb) of dough	Yes	Assumption	No	$5,200	$5,200	$5,629
Production kitchen equipment	Modular walk-in cooler (8 m³, about 283 cu ft)	Yes	Assumption	No	$4,800	$4,800	$5,196
Production kitchen equipment	Reach-in freezer, 0 °F	Yes	Assumption	No	$1,900	$1,900	$2,057
Production kitchen equipment	Refrigerated worktable with drawers (6.5 ft)	Yes	Assumption	No	$2,400	$2,400	$2,598
Production kitchen equipment	Stainless steel worktables and shelving (lot)	Yes	Assumption	No	$2,800	$2,800	$3,031
Production kitchen equipment	Three-compartment sink, hand sink and mop sink	Yes	Food Code + assumption	No	$1,400	$1,400	$1,516
Storefront and display	Front-counter fixtures (counter, shelving, interior sign)	Yes	Assumption	No	$7,500	$7,500	$8,119

Block	Line item	Buying it?	Source	Price includes sales tax?	Your amount ($)	Pre-tax cost ($)	Total with 8.25% sales tax ($)
Storefront and display	POS terminal and software	Yes	Assumption	No	$1,300	$1,300	$1,407
Storefront and display	Ambient display case	Yes	Assumption	No	$1,600	$1,600	$1,732
Production kitchen equipment	Vacuum packer, sealer and smallwares (lot)	Yes	Assumption	No	$3,200	$3,200	$3,464
Production kitchen equipment	Probe thermometers, scales and temperature data loggers	Yes	Assumption	No	$900	$900	$974
Permits, plans and fees	Plans and specifications for plan review	Yes	Example price	No	$5,000	$5,000	$5,413
Permits, plans and fees	Professional advice (CPA, attorney)	Yes	Example price	No	$1,000	$1,000	$1,083
Permits, plans and fees	City and county permit fees (building permit, certificate of occupancy)	Yes	Assumption	No	$1,800	$1,800	$1,800
Permits, plans and fees	Health department plan review and food permit application	Yes	Assumption	No	$120	$120	$120
Security deposit	Lease security deposit (2 months)	Yes	Assumption	No	$2,400	$2,400	$2,400
Opening packaging	First packaging order: bags, boxes and labels	Yes	Assumption	No	$2,500	$2,500	$2,706
Opening marketing	Opening marketing	Yes	Example price	No	$5,000	$5,000	$5,413
Working capital	Cash cushion (months of fixed costs)	Yes	Assumption	No	$62,115	$62,115	$62,115

Lines marked Assumption are NOT dealer list prices: they're default values so the model works, and you replace them with the three quotes you get. Example prices are the case's (the two convection ovens at $2,772.00 and $2,077.20 before tax), not US quotes, and several sit well below what US dealers listed in October 2026 (WebstaurantStore: $849 and up for a 20-qt planetary mixer, $27,937.80 for a one-section roll-in retarder-proofer, about $10,000 to $17,000 for an 8 × 10 ft walk-in cooler; $5,499 for an Avantco reach-in blast chiller and $21,729 for an Irinox MultiFresh Next S): chapter 8 has the full ranges. Permit fees are local: Austin, for example, charges $312 for plan review of a new food establishment and $178 for the pre-opening inspection (FY 2025-26). Lines with "No" in the "Buying it?" column are left out of the total on purpose, and the last column applies the 8.25% of the illustration above; the workbook ships at 0%.

5. The Space: Square Footage, Zones and the Site Visit Checklist

The Seven Zones and the One-Way Flow

Before you look at decor plans, look at flow plans. A pastry shop isn't laid out however you'd like or however makes the display case look prettiest: it's laid out to keep the stages of the process apart, and in the case's plan that takes seven zones: the sales floor, the production kitchen, dry storage, the walk-in cooler, finished goods storage, the staff restroom and lockers, and the trash area. US codes don't hand you a list of seven by name, but each one answers something the health department checks in plan review before you build (Food Code 8-201.11 and 8-201.12 ask for the layout, the equipment and the finishes): where food is stored and how cold, where people wash their hands, where staff change and use the restroom, where the trash goes. Seven, not one fewer, however small the space: your designer will draw them all the same, because they aren't an interior-design preference, they're what your plans need to get approved.

The reason for seven zones rather than one open room is the one-way flow principle, and it fits in a sentence: ingredients come in at one end of the kitchen, finished product leaves at the other, and the dirty path and the clean path never cross. The classic mistake, the one that sinks layout after layout, is trash going through the kitchen: the empty cardboard box, the day's trim loss, the packaging that has to go out, all of it moving down the same aisle the tray of sponge cake fresh from the oven just went down. If the trash area doesn't have its own way out, or if someone has to cross the prep area to take out the garbage, the flow stops being one-way and turns into a crossing, which is exactly what the designer drawing your plans will try to avoid from the first sketch.

In the modeled case, the space is 969 square feet in all, of which 484 are production kitchen: exactly half, 50% of the space given over to production, with 237 square feet of sales floor and the storage and staff areas making up the rest. That 50% isn't a quirk of the model: it's the house rule. Below that share of the space for the kitchen, the space doesn't work, however much window it has on the street or however good the location. You can have the best glass on the avenue and a display case that stops people in their tracks, but if there's no room behind it for a kitchen that respects the seven zones and the one-way flow, that space isn't a pastry shop, it's a counter selling somebody else's product. The 484 square feet of kitchen and the 237 of sales floor are on the "Zones and Square Feet" sheet of kitchen-capacity-and-site.xlsx, and you need to have them in your head before you walk into any space: if the landlord shows you 969 square feet but the kitchen they're proposing is 269, you already know that space needs more than a cosmetic remodel.

Surfaces, Coved Corners and Hand Sinks

The plan review asks for your finish schedule (Food Code 8-201.12), and what the health department looks for in it comes down to the same three things every time. Surfaces that are smooth, durable and easily cleanable (Food Code 6-201.11). Floor-to-wall junctions that are coved, that is, rounded and sealed instead of a square corner where dirt and cleaning water collect: closed to no more than 1/32 inch (1 mm) where floors aren't cleaned by flushing with water (6-201.13). And hand sinks where people actually work: at least one, plus as many as it takes for staff to use them easily in the prep and warewashing areas (5-203.11), alongside the three-compartment sink for washing by hand (4-301.12) and a mop sink (5-203.13). In Texas, where the case is set, the state rules add that walls and ceilings in prep areas, walk-in coolers, warewashing areas and restrooms be light in color, or approved by the health department (25 TAC §228.171). This isn't a list of good intentions: it's what your designer has to show on the plans and what the inspector checks on the day of the pre-opening inspection.

And here's the part that really matters for your wallet: this is a budget decision, not a matter of taste. A space with cracked tile in the kitchen area, or with square corners where the walls meet the floor instead of coved base, isn't a space that needs “a touch-up”: it's a space that turns into a construction job. And construction, as you saw in the last chapter, is the biggest line in the whole opening. If the space you're visiting has a floor that's perfect for a clothing store but a square corner at the base of every wall, you're not saving money by taking it over another one: you're pushing the cost of the build-out into the remodel, where it usually comes out more expensive than if the space had come ready.

What gets forgotten most when measuring a small space, and what most often forces you to redo the whole floor plan later, is the staff restroom and changing area. When you work out the square footage for kitchen, sales floor and walk-in by eye, it's easy to leave out the space for the team to change and have their own restroom, because it isn't an area anyone sees from the street and it doesn't sell anything. But it's one of the seven zones, and if there's no room left for it at the end of the plan, the fix isn't to do without it: it's to redo the layout of the whole space, with the cost in time and money that implies. Measure it from the first visit; don't leave it for after you've signed the lease.

Electrical Service for the Ovens and the Hood's Airflow

This is where a lot of spaces fall out on the first pass without the would-be tenant understanding why. How much power the ovens alone draw varies a lot from one kitchen to the next, depending on the type and number of units, so there's no single figure that works for every project: always get the exact number from the manufacturer's spec sheets or your electrician before you sign anything, and check it against what the space can deliver. In the modeled case, the ovens alone come to 34 kilowatts, and the kitchen's total connected load, adding ovens, refrigeration, mixers and the rest of the equipment, is 62 kilowatts.

That first figure, the ovens', is the one that rules spaces out on the first pass. A space wired for an ordinary store (a clothing boutique, a stationery shop) won't carry a pastry kitchen without an electrical service upgrade, and that upgrade comes with lead times and costs you need to ask the utility and an electrician about before you put down a deposit. If the landlord or the broker tells you the space “has plenty of power” without giving you the service size, in amps and volts, and whether it's three-phase, ask for it in writing: it's the first technical fact to check, even before you look at the storefront. Your electrician will tell you what service 62 kilowatts of connected load calls for.

The second number to have written down is the hood's exhaust airflow, which in the modeled case is 800 CFM. That number doesn't come from a fixed rule: it comes from a sizing rule of thumb, the one that ties the airflow you need to the installed oven power and to whether the equipment runs on gas or electricity (the airflow climbs faster when gas is involved), and that's why it's flagged as a design assumption, not a legal threshold to demand of the space. What is code, and what you do have to check in every space you visit, is the hood type, which follows the appliance, its listing and the mechanical code your jurisdiction has adopted (IMC 507): a Type I hood, with its grease duct and fire suppression, where appliances give off grease or smoke, which usually means deck and pizza-style ovens; a Type II hood, for heat and steam, which can be enough for enclosed electric convection or rack ovens; and no hood at all for a single light-duty electric oven or an electric appliance listed to UL 710B. Get the answer in writing from the building or mechanical department before you sign. If the broker tells you “there's already a hood,” that sentence on its own tells you nothing: ask which type it is and whether it will be approved for your ovens, because a Type II where your ovens need a Type I means a new hood, duct and fire suppression system you have to budget.

Clear Ceiling Height and Floor Load

The "Site Visit Checklist" sheet asks for a minimum clear ceiling height of 9.8 feet (3.0 m), and the reason is easy to see once it's drawn: the hood, the duct running up from it and the dropped ceiling that hides the duct eat up part of the height that almost nobody subtracts when looking at an empty space. You walk in, you see a ceiling that looks generous, and you don't realize that once the duct and the ceiling that covers it are in, the real clear height underneath drops noticeably. That's why clear height isn't judged by eye from the door: you measure it with a tape, already thinking about where the hood goes and where the duct runs, and you compare it with those 9.8 feet before you fall for the space.

Beyond height, any space you consider for a production kitchen is going to put heavy equipment (walk-in coolers, ovens, the hood itself and its duct) on a floor structure that may have gone years without anyone thinking about that use. It isn't something you can check by looking at the ceiling: it's a question for a structural engineer or an architect before you commit, like any other question that depends on the specific building rather than on a general rule. Don't sign the lease assuming the floor will take it; have an engineer confirm it on the actual plans for that space, not on a similar one you saw last week.

All of this (the seven zones, the one-way flow, the surfaces, the power, the airflow, the clear height) is exactly what the "Site Visit Checklist" sheet covers, with 18 items, 8 of them deal-breakers. The checklist doesn't grade the space, as if it were an average score: it rules it out. If a space fails a single one of those 8 deal-breakers, no amount of good location or pretty storefront makes up for it. Print it and take it to every visit: measuring from memory, or trusting what the broker tells you about the power or the height, is the same as not measuring. The table below lists the seven zones of the kitchen, their square footage in the modeled case and what each one has to meet.

The seven zones, their square footage and what each one has to meet (kitchen-capacity-and-site.xlsx, "Zones and Square Feet" sheet)

No.	Zone	Block	Square feet	Share of the space (%)	Workflow step	What it has to meet
1	Production kitchen	Production kitchen	484	50.0%	3	Prep area, off-limits to customers. One-way flow: ingredients come in at one end and finished product leaves at the other without crossing them. Hand sinks where people work (Food Code 5-203.11).
2	Sales floor (front counter)	Front counter	237	24.4%	5	Counter, refrigerated display case, ambient display and room for a line, with a stretch of counter at least 36 inches long and no more than 36 inches high (ADA Standards 904.4.1).
3	Dry storage	Cold and dry storage	54	5.6%	1	Flour, sugar and dry goods on shelving, never on the floor.

No.	Zone	Block	Square feet	Share of the space (%)	Workflow step	What it has to meet
4	Walk-in cooler	Cold and dry storage	43	4.4%	2	Filled pastries held at 41 °F or below (Food Code 3-501.16).
5	Finished goods storage	Cold and dry storage	32	3.3%	4	Shelf-stable product and assembled packaging.
6	Staff restroom and lockers	Restrooms and lockers	86	8.9%	7	Staff restroom and a place to change, with lockers; your local plumbing code sets how many restrooms you need.
7	Trash and recycling	Restrooms and lockers	32	3.3%	6	Enclosed, with labeled bins and its own way out: trash never crosses the production kitchen.

Checked October 2026 · FDA Food Code 2022, sections 3-501.16, 5-203.11, 8-201.11 and 8-201.12, and ADA Standards for Accessible Design, 904.4.1 (links in the Regulatory Appendix). The workflow step column is the one that checks the one-way flow: ingredients come in at step one, product moves forward to the counter at step five and trash goes out at step six, without ever crossing finished product.

6. Before You Sign the Lease: the Chapter That Saves You Money

The Deal-Breaker Checklist

Before you sign anything, look at the space with an elimination mindset, not a crush. Some checks can't be offset by anything else: a space where you can't run a hood duct up to the roof isn't fixed by a good rent, a low asking price or a storefront on the main street. If that point fails, the rest of the checklist no longer matters.

The site visit checklist has eight deal-breaker items. They aren't eight things that “add up points”: they're eight doors that, if they're shut, shut the whole project down that route. In the case this guide models, the visit ends with zero reasons to rule the space out and two points still to check. That's how you read a verdict with open items: as long as a deal-breaker is still unanswered, the verdict isn't “yes” and it isn't “no,” it's don't decide yet. Signing with a deal-breaker open is betting the key money, the build-out and the first months of rent that the answer will be the one you need.

That's why the process takes three visits, always in this order, and nobody skips one:

- The first one is to rule things out. You go alone, with the checklist, and walk the eight deal-breakers by eye: where the hood duct could run, whether you can get to the roof from that space, whether there's a shopping center or a building association with its own rules on top of the landlord, and whether the use on record (the current certificate of occupancy, what the last tenant did there) fits what you want to set up. If a deal-breaker is already visibly broken from the doorway, the visit is over and so is the space.
- The second one is with the mechanical contractor or the engineer who'll design the hood system. This visit already costs money and time, so you only make it if the first one didn't find a broken deal-breaker. The contractor measures the possible duct, works out the real route to the roof, tells you which hood type your ovens call for and whether the hood and exhaust fan you need fit where you pictured them.
- The third one is to negotiate. By then you know the space passes the technical screen, and what's left is to talk about rent, the security deposit, free rent while you build out, the tenant improvement (TI) allowance and who pays for which part of the hood and duct work, first in the letter of intent (LOI), which isn't binding but sets the terms the lease will be drafted from.

Nobody signs at the first visit, and nobody should sign at the second one either: the second visit is the one that gives you the facts, and the third is the one that uses those facts to negotiate with the landlord from a position of strength, not from the itch to close on the space. And when you do sign, the lease should carry the clauses that protect the plan: a use clause that says “bakery with on-site production and retail sales,” a permit and zoning contingency that lets you walk away if the permits don't come through, an exclusive against another bakery in the same center, and a personal guarantee you've negotiated down, with a cap or a burn-off.

The Hood, the Duct to the Roof and the Landlord's Written OK

Here's the technical requirement in the trade's own words: your production kitchen's exhaust has to leave the building through a duct of its own, usually up to the roof, unless your ovens qualify for a ventless setup. How far above the roof that duct has to end, and how far from property lines, air intakes and openings into the building, isn't something you can carry from one city to the next as a universal figure: it's set by the mechanical code your jurisdiction has adopted (and, for a Type I grease duct, by NFPA 96), so it's a question for the building department, and you'll see it in the next section.

Here's a confusion that has cost more than one project money: reading the hood exceptions as if they were yours. The mechanical code does let some equipment skip a hood: an electric appliance whose exhaust, tested to UL 710B, stays at or under 5 mg/m³ of grease skips the Type I hood (that's what the trade sells as “ventless”), and a single light-duty electric convection, bread or rethermalizing oven of 3.7 kW or less can skip the Type II hood, as long as the HVAC design accounts for its heat and moisture (IMC section 507, as worded in one state's adoption, Minnesota Rule 1346.0507). If someone quotes you one of those exceptions for a deck oven, or for a kitchen with several ovens, they're quoting the rule for a different appliance, not yours.

The rule that does apply to you is the mechanical code your jurisdiction has adopted, in many places the International Mechanical Code (IMC), section 507: a Type I hood where appliances produce grease or smoke, which usually means deck and pizza-style ovens, with a grease duct built to NFPA 96 and a fire suppression system the fire marshal inspects; a Type II hood where there's heat, steam or combustion products but no grease or smoke, which is what fully enclosed ovens generally need. And a Type I exhaust doesn't share: the IMC requires the ducts serving a Type I hood to be independent of all other exhaust systems, normally one grease duct per hood (the section number varies by edition: check yours). In practice: your production kitchen needs its own exhaust duct, separate from the rest of the building, and that duct is exactly the one that has to reach the roof.

The risk that sinks more projects than the code itself isn't in the code: it's in the lease and in the rules that come with the building. The roof usually isn't yours to cut into: it's the landlord's, and a hole for your duct takes the landlord's written approval. In a shopping center, the center's CC&Rs or rules (the covenants that bind every tenant) can ban exterior ducts, rooftop equipment or cooking odors; in a mixed-use or condo building, so can the owners' association. If those rules forbid an exhaust duct running up the facade or through the courtyard, that ban outweighs any favorable report your contractor writes. You can have the best hood design in the world and not be able to build it, because the landlord or the center decided, before you ever showed up, that the duct doesn't go in.

That's why, before you sign the lease, there are three things you ask for in writing, and they don't all come from the same desk:

- From the landlord, the existing mechanical plans (the as-builts), to know which ducts and shafts are already there and where they start.
- From the landlord, and from the center or the building's association if there is one, the CC&Rs or rules in force and a written approval for the hood, the duct route and the roof penetration, to confirm there's no ban and no later decision that limits it.
- From the mechanical contractor, the spec sheet for the hood and exhaust fan they're going to install, with the hood type (Type I, Type II, or the UL 710B listing if it's ventless) and the proposed duct route, so you can take it as is to the landlord when you ask for approval.

Asking for these three documents before you sign costs you a few days. Not asking for them can cost you the whole deal, key money and build-out included, if the landlord or the center says no once the lease is already signed.

The Questions for the City or County Before You Sign

Neither the mechanical code nor any federal rule tells you whether a bakery with its own production kitchen fits in that particular space. That's decided by each city's or county's zoning, which sets the uses allowed district by district, and sometimes parcel by parcel. There's no national shortcut for this question: you ask the planning or zoning department, in writing (ask whether they issue a zoning verification letter), and you keep the answer with the rest of the space's paperwork.

The script for that inquiry is word for word, and you take it in exactly like that, without improvising in front of whoever is at the counter that day. Three questions, always the same:

- Whether the zoning at that address allows a food production use, that is, a bakery that bakes on site, and not just retail sales.
- What setting up that use triggers: a change of use, a building permit, a new certificate of occupancy, and the health department's plan review before any construction (Food Code 8-201.11; in California, the building department won't issue the building permit without it). And which agency permits a bakery there: in New York and Florida, a bakery that bakes and sells to go is licensed by the state Department of Agriculture, not by the health department.
- What the building department requires of your hood and duct under the mechanical code it enforces, and what the local noise ordinance says about rooftop exhaust fans and early-morning deliveries, because neither one is the same in any two cities.

These three questions always go in as questions, never as a general requirement you can take for granted from one space to the next. What the city tells you for one address may not hold for the space next door if the zoning district changes, and it certainly won't hold the same way in another city or county. Keep the answer in writing: it's the proof that you asked before you invested, and it's the first thing your architect, your attorney or your lender will ask for if something goes sideways later.

Three Doors: New Build, Taking Over a Bakery or a Franchise

With the space technically and zoning-wise viable, what's left is deciding how you get in: a new build with a full build-out, taking over a bakery that's already set up, or the franchise door. The case modeled in this guide compares the first two with real numbers from the calculator, and it's worth looking at them before deciding anything by eye.

In the modeled case's comparison, the takeover on the table has an asking price of $43,000 (what the seller wants for the business, its equipment and the lease, the key money in markets where that's the custom), with rent of $1,250 a month, and you have to add $25,000 to get it ready: paint, sign, display case and whatever machine is missing. That rent works out to about $16 per square foot per year on its 915 square feet, below the national average asking rent for retail space (CBRE put it at $24.79 per square foot per year in the second quarter of 2026): put your own rent in. And the assumption that drives the whole comparison goes first: the takeover is counted with the production kitchen already installed, while the new build carries the full build-out and equipment, $160,900. If the space you take over comes empty, this math flips. Over the calculator's comparison horizon, the total cost of the takeover route is $144,250, against $237,700 for the new-build route over the same horizon. The difference between the two routes, as the sheet calculates it, is -$93,450: the minus sign says the new build comes out more expensive than the takeover in this particular case, not the other way around.

And here's the advice that makes the difference, the same one a pastry chef with nearly fifty employees on his payroll gives: the right comparison is never “asking price vs. build-out cost.” That comparison pits one entry number against another entry number and tells you nothing useful. The right comparison is total cost over several years, with the monthly rent added month by month within that horizon (in a triple-net, or NNN, lease, with the property taxes, insurance and CAM charges on top of base rent) and with the months you're not selling while you remodel or wait on permits also inside the math. A takeover with high rent can come out more expensive over five years than a new build with lower rent; a new build with long permitting can eat up, in months without revenue, what it seemed to save on the build-out. It's the view most guides don't bother to give, because it takes putting the rent and the dead time into the same calculation instead of comparing them separately.

Before you fill in the listings table further down, a warning that bears repeating every time these numbers come up: what you'll collect are ASKING prices from listings, not prices paid. Nobody knows what any of them finally closed for, and most listings don't publish the monthly rent next to the asking price, so most of them won't even let you work out the total cost the way we did with the modeled case. That's why the sheet comes with only one row filled in, the space the case is looking at, and fourteen empty rows for you. Pull a dozen current listings of bakeries and cafés for sale in your area, from business-for-sale sites such as BizBuySell or BizQuest or through a local business broker, and fill in the same columns: the sheet returns the lowest, highest and average asking price and how far the price you're being asked sits from that average. That average works as a negotiating reference, as a starting point to tell whether you're being asked for something reasonable or something outlandish, but never as a market value: turning it into “this is what a bakery takeover is worth” would be taking what sellers ask for what actually gets paid. Expect asking prices and rents all over the map, rent left out of most listings, small shops and businesses with decades behind them sitting side by side. No set of listings lets you talk about a single market price: all it lets you do is gauge whether what you're being asked falls inside that range of asking prices or far outside it.

That leaves the third door, the franchise. It exists, and for some people it's the sensible route: you come in with a known brand, an operations manual and support from the franchisor. In the US, the franchisor has to hand you its Franchise Disclosure Document (FDD) at least 14 days before you're asked to sign anything or pay any money; Items 5 to 7 set out the initial and ongoing costs, Item 19 covers financial performance representations, Item 20 has the figures on the franchise system and its franchisees, and Item 21 holds the franchisor's three most recent audited annual financial statements (FTC, A Consumer's Guide to Buying a Franchise, 2020). But the investment figures brands put in their marketing aren't audited data, and this guide doesn't present them as such: you won't find a comparison table of franchise fees or royalties here, because what circulates about those figures varies with who's telling it and there's no source that verifies it independently. What does make sense is the questions to ask a franchisor before you sign anything, and to check against its FDD: what minimum square footage it requires for the space, what exactly the initial franchise fee includes and what it leaves out, how the monthly royalty is calculated and on what base, whether there's a lower-cost model with terms different from the standard one, and how long the franchise agreement really runs and what its exit terms are. With those answers in writing, the franchise can be compared with the new build and the takeover on equal terms: total cost over the same horizon, with the rent and the start-up months inside the math, exactly as we did above with the other two doors.

The site visit checklist, item by item (kitchen-capacity-and-site.xlsx, "Site Visit Checklist" sheet)

No.	What you check	Deal-breaker?	How to check it	Verdict in the modeled case
1	There's a route for the hood's own duct up to the roof	Yes	Go up on the roof with the landlord and look at where the duct would run; it can't tie into the restroom or front-of-house exhaust. Get it in writing before you sign.	OK

No.	What you check	Deal-breaker?	How to check it	Verdict in the modeled case
2	The hood type the space has (or can take) matches your ovens	Yes	Type I with fire suppression for deck ovens, Type II for enclosed electric convection: get the answer in writing from the building or mechanical department. Ask for the mechanical plans or open the dropped ceiling to see what's there.	OK
3	The available exhaust airflow covers what your ovens need	No	Measure it, or ask for the spec sheet of the existing exhaust fan. The threshold is calculated on the "Settings" sheet from your connected load and your fuel type.	OK
4	The electrical service available covers what you're going to install	Yes	Ask for the service size (amps, voltage, single- or three-phase) and ask the utility what capacity the building's service can deliver.	OK
5	Zoning allows a bakery with on-site production at that address	Yes	Ask the planning or zoning department, in writing and for that specific address, not over the phone.	OK
6	The landlord and the center's CC&Rs or rules allow the use, the hood and the roof penetration	Yes	Get the landlord's written approval and read the CC&Rs or the center or association rules. A restaurant next door isn't proof enough.	OK
7	The clear ceiling height reaches the height you've set	No	Laser measure from the finished floor to the underside of the structure, at the lowest point, not the highest.	OK
8	The usable floor area covers the square feet you've allotted by zone	No	Real usable area, not counting walls or shafts; a listing's square footage isn't always that. Compare it with the total on the "Zones and Square Feet" sheet.	OK
9	The production kitchen can be closed off so customers can't get in	Yes	Draw the seven zones on the floor plan before you sign. If they don't fit with the door where it is, they don't fit.	OK

No.	What you check	Deal-breaker?	How to check it	Verdict in the modeled case
10	The seven zones fit with a one-way flow and no crossings	No	Check the route on the "Zones and Square Feet" sheet: ingredients, production kitchen, finished goods, counter.	OK
11	There's hot and cold water and a drain where the equipment goes	No	Find the existing drains. Moving a drain means cutting up the slab across the whole space.	OK
12	Floors and walls can take a smooth, durable, easily cleanable finish, with coved floor-wall junctions	No	Look at the real condition: cracked tile, bare drywall, raw concrete. A kitchen finish is construction, not paint.	OK
13	There's room for a staff restroom and changing area	No	Count the square feet and find where the drain stacks are; your local plumbing code sets how many restrooms you need. A new restroom with no stack nearby is a big job.	OK
14	Deliveries can come in without crossing the customer area	No	Go at the hour you'd take deliveries, not at noon. Check for a loading zone or a back door, and whether the building allows it.	OK
15	Trash goes out without opening into the production kitchen	No	Find the trash room or enclosure and its door. It has to be closed, with labeled bins.	OK
16	The space is accessible or can be made accessible	No	Measure the entry step and the door width. A step at the entrance may be the landlord's or the city's call, not yours.	OK
17	If you'll bake on gas, the gas service and piping can carry your ovens	Yes	Ask the gas utility for the meter size and pressure at the space, and ask the building department what permit and inspection new gas piping needs.	Pending
18	The lease and what comes with the space are clear before you sign	Yes	Read the whole lease: use clause, permit contingency, CAM and NNN charges, personal guarantee, and who pays for the build-out (TI allowance).	Pending

As long as a single deal-breaker is unanswered, the space's verdict is “don't decide yet.” The checklist doesn't score: it rules out.

Takeover vs. new build over the comparison horizon (startup-cost-calculator.xlsx, "Takeover vs New Build" sheet)

Item	Amount ($)
Cost of the takeover over the horizon	$143,000
Cost of the new build over the horizon	$232,900
Rent paid before you're selling, takeover	$1,250
Rent paid before you're selling, new build	$4,800
TOTAL for the takeover	$144,250
TOTAL for the new build	$237,700
Difference (takeover minus new build)	-$93,450

The right comparison isn't “asking price vs. build-out cost”: it's total cost over several years, with the rent paid and the months without sales inside it. The months of build-out without sales are a model assumption.

Your local takeover listings: the case plus fourteen rows for your area (startup-cost-calculator.xlsx, "Takeover vs New Build" sheet)

City or area	Type of business	Square feet	Asking price ($)	Monthly rent ($)	Dollars per square foot	Source
The space you're looking at (the modeled case)	Pastry and cake shop	915	$43,000	$1,250	$47	The seller's listing
Listings 2 to 15: your area	Bakeries, cake shops and bakery-cafés for sale near you	yours	yours	if published	the sheet works it out	Business-for-sale sites or a business broker, with the date you read them

These are ASKING prices, not prices paid, and most listings leave the rent out. They're for negotiating, never as a market value. And no listing says why the business is for sale: that's your first question.

7. Inside the Production Kitchen: Cold, Heat and Workflow

Why Pastry Runs on Freezing, Not on the Oven

In a newly opened pastry shop, almost everyone looks at the oven first: how many sheet pans fit, how many bakes it gets through, which brand to buy. It's the wrong question. The modeled case's six-tray convection oven allows 1,920 pieces a day, far more than any mid-size production kitchen needs. The real bottleneck is on the cold side, in the blast chiller and the retarder-proofer, not in the heat.

The reason is that cold is the only thing that lets you decouple production from sales. Without a blast chiller or a retarder-proofer with a cold program, you have to make every piece the same day you sell it, on the same shift, with the same crew. With well-sized cold capacity, you produce overnight what you sell during the day, you move the dough that needs to proof to the hour that suits you and not the one the store hours impose, and you carry one of those peaks that pack sales into a few days without doubling your staff on those days. The oven only bakes what the cold has already gotten ready to bake.

In the modeled case this isn't a hunch, it's arithmetic. The business wants to turn out 476 pieces a day at cruising speed, and the kitchen's equipment as a whole allows 480, a cushion of 4 pieces over a normal day. That razor-thin cushion isn't set by the oven, which has room to spare; it's set by the lowest-yielding of the three cold and heat units, and that's what the rest of this section works through.

Blast Chiller, Retarder-Proofer and Freezing Entremets

Without getting into the technique of each item, there are three cold functions that do three different jobs in a production kitchen's flow:

- The blast chiller brings the core temperature of a piece down fast, with a cycle that runs from very hot to very cold. That's what sets the structure before the piece loses quality through slow cooling, and it's what lets you stop a dough's production at the exact point you decide, not the one the room temperature decides.
- The retarder-proofer gives you back control of the clock: instead of the dough proofing at whatever speed the kitchen's temperature sets, you put it on a program that holds back or speeds up fermentation so the piece is ready when you decide to bake it, not when it decides it's ready.
- Freezing entremets is what makes a peak possible: you can produce weeks ahead of a big date, store the product already assembled and bring it out when you need it, without all of those days' production having to come out of a single shift.

In the modeled case, 40% of the assortment goes through the blast chiller. It isn't a secondary piece of equipment that touches a few odd items: four out of every ten pieces on the menu depend on it to reach the display case in good shape. And of the kitchen's three cold and heat units, the blast chiller is the one that allows the fewest kitchen pieces: 480 a day, against 1,543 for the retarder-proofer and 1,920 for the oven. It's the piece of equipment that calls the shots, and that's why it's the first one you have to size right.

That leads to a very concrete buying decision. The blast chiller is the most expensive single purchase in the case's kitchen: a four-tray model with cycles from +185 °F to -40 °F comes in at $10,037 before tax in the case, an example price, and in October 2026 WebstaurantStore listed reach-in blast chillers at, for example, $5,499 (Avantco SF-10) and $21,729 (Irinox MultiFresh Next S). It's also the piece of equipment that gets put off most often when the opening budget has to be cut. Putting it off, or buying the small version to save at opening, has a cost that isn't just the purchase price: it's a ceiling on pieces per day you won't be able to raise without investing again. Roll-in retarder-proofers also span a very wide price range, from entry-level to high-end: WebstaurantStore listed a one-section Doyon roll-in at

$27,937.80 and a two-section at $33,099.00 in October 2026, usually shipping in 6 weeks from the manufacturer, well above the case's $8,500 assumption. So the same reasoning applies: buying the wrong size today sets how much you'll be able to sell two or three years from now.

A Chest Freezer Isn't a Blast Chiller

Here's a mix-up that gets expensive: a household chest freezer, or even a commercial one that isn't built to pull temperature down fast, doesn't do the job of a blast chiller. The rule that shows why is the Food Code's cooling rule: cooked TCS food, such as pastry cream or a custard base, has to go from 135 °F to 70 °F within 2 hours and down to 41 °F within a total of 6 hours (Food Code 3-501.14). A chest freezer gets cold, but not that way with a full, warm batch inside, and that's why it doesn't count as a blast chiller even if the thermometer ends up reading plenty cold. A household unit also isn't usually certified to NSF/ANSI standards, the simple way to show the inspector your equipment complies (Food Code 4-205.10).

This ties in with the cold-holding rule: TCS food is held at 41 °F or below (Food Code 3-501.16), and frozen product stays frozen, which in practice means a freezer running at 0 °F (-18 °C) or colder. Cream fillings and custards are the classic TCS items in a pastry shop, but whether a given piece is TCS isn't decided by how it looks: it's decided by its pH and water activity (the tables in Food Code 1-201.10), and the "Egg & TCS Decision" sheet in opening-menu-and-recipe-costing.xlsx walks you through it item by item. The cold chain doesn't stop at your door either: TCS product you deliver or ship has to stay at 41 °F or below until it reaches the customer, and that's on you. The line between TCS and shelf-stable is what decides whether a piece needs the refrigerated display case or can sit on a counter at room temperature.

The paperwork side follows directly. Label every frozen batch with the date it was made and the date it went into the freezer: it's the cheapest record you'll keep, and it's what keeps your date marking honest, since ready-to-eat TCS food held refrigerated for more than 24 hours has to be marked and can be held at 41 °F or below for no more than 7 days, with the day it was made counting as day one, and a component keeps the date of its oldest ingredient (Food Code 3-501.17). Thaw in the walk-in or a reach-in, never on the bench at room temperature. And if you sell something that was frozen and is now thawed, don't present it as fresh: calling it fresh is a misleading-claim risk under the general ban on false or misleading labeling (FD&C Act §403(a)), so say what you actually do.

And there are two house rules worth treating as non-negotiable: don't refreeze anything that has already been thawed unless you first turn it into a different preparation, and don't sell as fresh anything that went through the freezer and was thawed for sale. A chest freezer, on top of not being any good for freezing properly, doesn't excuse you from either of those two rules if you use it to store product you later sell.

Capacity by Equipment and the One That Limits You

The capacity of every piece of equipment in the kitchen is calculated the same way, with four numbers: how many pieces fit in one cycle, how many minutes that cycle lasts, how many cycles fit in the production day, and what share of the total assortment actually goes through that equipment. Multiplying the first three gives you the equipment's raw capacity; applying the fourth tells you how many kitchen pieces, not pieces through that unit, that link in the chain allows.

That's the key to why the blast chiller, with only 40% of the assortment going through it, ends up supporting more kitchen pieces than it seems at first glance: since only part of the menu depends on it, each chilling cycle covers pieces that don't need to go back through the same unit, so its capacity is spread over the whole assortment and not just over its own production line. Its 4 cycles of 48 pieces chill 192 pieces a day, and because those are only 40% of what the kitchen makes, they support 480. That's why the number that matters isn't how many pieces the blast chiller chills on its own, but how many kitchen pieces the blast chiller allows given that only 40% of the menu goes through it: 480 a day, in the modeled case.

That calculation rests on the productive minutes available each day, which in the modeled case come to 408. That figure doesn't come straight from the shift hours: it's the shift hours multiplied by the share of the workday that goes to production, after taking out the time that goes to tasks that aren't direct production. It's the figure that limits how many cycles fit in the day on each of the nine pieces of equipment entered in the modeled case, and it's usually lower than you'd figure in your head counting only the hours on the shift.

The buying decision that comes out of this whole section is simple to state and expensive to ignore: if the equipment that's limiting your production is exactly the one you're about to buy in its smallest version to save at opening, today's savings turn into your sales ceiling for the next few years. It isn't a problem you notice day to day in a normal month: with 480 pieces of capacity for a target of 476, everything adds up. But you notice it the day demand spikes, and that's what the chapter on the six peaks of the year is about, where this same capacity ceiling is put to the test when Three Kings Day and its Rosca de Reyes come around.

How many pieces a day each piece of kitchen equipment allows (kitchen-capacity-and-site.xlsx, "Capacity by Equipment" sheet)

Equipment	Category	Have it?	Pieces per cycle	Minutes per cycle	Cycles per day	Share of the assortment that goes through it (%)	Kitchen pieces per day it allows
Spiral mixer, 25 kg (55 lb) of dough	Mixing	Yes	490	30	13	55%	11,582
Planetary mixer, 20 qt	Mixing	Yes	160	25	16	30%	8,533
Automatic dough sheeter, up to 16 in wide	Sheeting	Yes	60	20	20	25%	4,800
Convection oven, 6 trays	Heat	Yes	72	25	16	60%	1,920
Convection oven, 4 trays	Heat	Yes	48	25	16	25%	3,072
Retarder-proofer (roll-in)	Refrigeration	Yes	180	120	3	35%	1,543
Blast chiller, 4 trays	Freezing	Yes	48	90	4	40%	480
Walk-in cooler, 8 m³ (about 283 cu ft)	Refrigeration	Yes	560	400	1	45%	1,244
Refrigerated bakery display case	Storefront and display	Yes	121	120	3	35%	1,036
Modular deck oven	Heat	No	56	35	11	20%	3,080

The last column isn't the equipment's capacity: it's how many kitchen pieces it lets you turn out, given that only part of the assortment goes through it. That's why the equipment with the fewest pieces per cycle isn't necessarily the one that limits you.

8. Equipment: What to Buy, What to Lease and What Can Wait

Real Prices by Tier, with Brand and Model

The table right below these lines lists the modeled case's full equipment package: twenty-two lines, each with its price and, where we could pin one down, its brand and model. I won't walk through it line by line here, because that's what the table is for, but I do want you to understand how it's built before you look at it, because not every figure is born the same way. Some are example prices, anchored on a specific piece of equipment from a European dealer's listing: they give the model a real reference point, but they aren't US quotes, and we name the brand only where we could confirm it's sold in the US; otherwise the table describes the spec. Others are model assumptions: a reasonable estimate for a line that has no uniform public price, or one that varies so much from one manufacturer to the next that it made no sense to pin down a brand. The table marks which is which, and you need to read it with that same distinction in mind: negotiating against a published price isn't the same as negotiating against a number we put in so the model adds up.

To see the real range you'll run into in the US, look at what a single national dealer listed in October 2026 (WebstaurantStore): a 20-qt planetary mixer from $849 (MainStreet CMIX20) to $8,232.70 (Hobart HL200), and a 60-qt one from $14,425.90 (Vollrath) to $26,194.70 (Hobart); a reach-in blast chiller from $1,909 for a countertop Avantco to $21,729 for an Irinox MultiFresh Next S; a rotating rack oven from $20,710.80 (Baxter OV310E mini) to $71,446.65 (Doyon SRO1E); a one-section roll-in retarder-proofer at $27,937.80 (Doyon KDPR11); and an 8 × 10 ft walk-in cooler for about $10,000 to $17,000. No pastry deck oven came up with a price; the electric pizza-style deck ovens listed ran from $6,749 for one deck to $32,376.50 for three. For convection ovens, dough sheeters, reach-in freezers and display cases we found no comparable price: those go straight to quotes. Note that the same piece of equipment can cost ten times more from one brand to the next. None of these list prices, seen in October 2026 and to be checked before you budget, is a number to copy into your sheet: they're the context, so you're not caught off guard when the quotes arrive.

Now, the example prices behind real lines in the package. The curved-glass refrigerated bakery display case, just under 5 ft long with 452 liters (about 16 cu ft) of capacity, sits in the case at $2,284.10, and the listing it's based on carried a 30% promotional discount off list, the kind that can expire any day: one more reason not to treat it as a quote. Add the rear sliding doors for that same case and it's $120.40 more. The four-tray Irinox blast chiller from the MultiFresh line, with cycles from above 185 °F down to -40 °F, comes in starting at $10,037; for reference, the Irinox MultiFresh Next S listed at $21,729 at a US dealer in October 2026. The automatic dough sheeter, for dough up to 16 inches wide, is $1,215.00. A 20-qt planetary mixer is in at $595.04, below the cheapest one that US dealer listed ($849), so treat that line as optimistic. And if your shop is going to have a bonbon or chocolate line, the 12-kg (26-lb) chocolate tempering machine is $7,400.00; since it's optional equipment that only applies to one specific concept, it stays out of the comparable subtotal of a standard package.

The reference total before sales tax for the critical lines in this package is $66,980, and the pre-tax total for the whole package, adding what isn't essential on day one, climbs to $86,501. The gap between those two numbers is the one that really matters: the critical lines are what you need to open the doors, and the rest can wait without the menu suffering. And here's the warning to repeat every time equipment prices come up: none of these figures is a quote. They're example prices or model assumptions, and before you commit a single dollar you need three quotes for every critical line, with the delivery lead time in writing.

The Sales Tax Trap: What the Dealer's List Price Leaves Out

Here's the specific flaw that causes the most headaches once you start comparing quotes. US dealers and manufacturers list their prices before sales tax (Unox's US site, for example, shows its oven prices with taxes excluded), so the tax only shows up on the invoice. And tax isn't the only thing the list price leaves out: there's freight (heavy equipment ships by truck, so ask whether liftgate and inside delivery are included), installation and start-up by a licensed electrician or plumber, and the electrical spec, because the same oven comes in different voltage and phase versions. The case's two convection ovens are the clearest example: the European models behind their prices are three-phase units at 380-415 V and 400 V, while some of Unox's US models are listed at 480 V three-phase, and a model that doesn't match your electrical service isn't a bargain, it's a return. Three quotes, three ways of presenting the number: one includes freight, another says "plus freight", a third leaves the installation to you. Put them all in the same column without reading the fine print and your total can drift by several thousand dollars without a single math error, just a reading one.

That's why the equipment sheet doesn't have just one price column: it has a column that says, line by line, what basis that price is on: pre-tax, including sales tax, or not stated. In the case it reads "pre-tax" on every line, because US dealers list before tax (the two ovens included, at $2,772.00 and $2,077.20 before tax). The other two options aren't an oversight on our part: they're there for the quote that rolls everything into one delivered figure, or the used-equipment seller who doesn't say, and I'd rather you see them flagged that way than take a price one way or the other without checking.

Across the whole package, the sheet's sales tax rate ships at 0%, so its cash-out line equals the pre-tax total: $86,501. That's the case's figure, not yours: at the Texas maximum combined rate of 8.25%, the tax on the full list comes to about $7,136 more (about $5,526 on the critical lines alone), before freight and installation, which the sheet doesn't price. And unlike VAT or GST in other countries, US sales tax on equipment doesn't come back: it's part of what each machine costs you (chapter 4). If you plan your cash counting only the pre-tax number, you'll come up short of cash in exactly the weeks you need it most, the ones before you open.

The negotiating rule that follows from all this is easy to state and easy to forget the moment you sign: always compare pre-tax against pre-tax and delivered against delivered, never a delivered, installed price against a bare list price thinking you're comparing apples to apples, and always ask for the quote broken out: equipment, freight, installation and start-up as separate lines, sales tax on its own line, and the voltage and phase written next to each model. A serious dealer gives you that without your having to insist; the one who resists breaking it out is the first sign you need that third quote.

The Ventless Setup as a Business Advantage

Going without a Type I hood isn't a technical detail the installer decides at the end: it's a business decision you make much earlier, the moment you start looking at spaces. A Type I hood with its grease duct to the roof and its fire suppression can be a major expense on its own (one published estimate puts a complete hood at $5,000 to $28,000 installed, plus $3,000 to $12,000 for suppression), and that requirement is what narrows the range of spaces you can consider from the start: many retail spaces, especially in buildings with apartments above, have no workable way to run a duct up to the roof, or doing it blows up the build-out before you've bought a single machine. Going ventless widens the number of spaces in your search and, in many cases, gets you access to more reasonable rents, precisely because that space doesn't work for the restaurants that do need a Type I hood. In the US this is a real option as long as your ovens qualify: hood type follows the appliance, its listing and the mechanical code your jurisdiction has adopted (IMC 507), so an enclosed electric convection or rack oven may need only a Type II hood, for heat and steam, or none at all if it's a single light-duty electric oven (3.7 kW or less) or an electric appliance listed to UL 710B, while deck and pizza-style ovens usually go under a Type I hood with fire suppression. Get that answer in writing from the building or mechanical department before you sign.

And it isn't just the space: it changes the reference equipment investment too. The ventless variant of this same modeled case, on the "Format Variant" sheet of equipment-and-suppliers-checklist.xlsx, comes to $60,480, against $66,980 for the base case with a storefront; the gap is exactly the $6,500 stainless steel exhaust duct line. That difference isn't free savings: along the way you lose part of the product and the capacity you'd have with the base case's equipment, because some of what a kitchen with a Type I hood can make depends on that very system (anything fried, to start with, and the deck oven, which usually needs one). Nor is it a saving across the whole opening: in chapter 1, the startup cost calculator's ventless format comes out at $167,180, a little above the core case's $165,800, because all-electric ovens and their Type II hood cost more. Before you go for this variant, be very clear about the menu you want to offer, because it isn't a universal solution that works equally well for every pastry concept: it works for some, and for others it's a limitation that the savings on rent and equipment don't make up for.

If your project also needs a roll-in retarder-proofer, keep in mind that it's one of the categories with the widest price range in the whole package, and the case's $8,500 is an assumption well below what a US dealer listed in October 2026: $27,937.80 for a one-section roll-in Doyon KDPR11, $33,099.00 for the two-section KDPR21, and $12,553.75 for a proofer-only cabinet with no retarding (Doyon DRIP1). It's another line where getting three quotes, and not trusting the first one, makes the difference between keeping the investment in check and blowing it up.

Used Equipment and the Lead Times That Move Your Opening

Used equipment has its place in this package, but not on every line equally. It makes sense for sturdy, long-life equipment, where a serious inspection buys you years of trouble-free service: kitchen worktables and shelving, some refrigeration, pieces that don't work under the daily pressure of critical production. It makes much less sense for the machinery that will be running all day and that your ability to serve the menu depends on directly, because there a breakdown in the first week closes your display case, it doesn't just ruin your day. And for any piece of used equipment there are three things you always ask for, no exceptions: the original purchase invoice; the maintenance history; and, on the unit itself, the certification mark (NSF/ANSI or another ANSI-accredited program: equipment certified that way is deemed to comply with the Food Code's equipment rules, 4-205.10) along with the data plate showing model, voltage and phase, because your plans list every piece by make and model (8-201.12). If it runs on gas, add a licensed installer and whatever gas permit your building department asks for. Without those papers, what looks like a bargain can leave you owning a unit you have to prove complies on your own, and no discount, however big, makes up for that.

Of all the variables in this chapter, delivery lead time is the one that gets the least cool-headed attention and squeezes hardest at the end. The critical lead time in this package is nine weeks, and the retarder-proofer sets it: it's the first thing to order, even if it's the last thing you install. (The lead times in the sheet are assumptions; for reference, one US dealer listed a one-section roll-in retarder-proofer as usually shipping in 6 weeks from the manufacturer.) When each block of the investment gets paid is in 3-year-financial-plan.xlsx, and how equipment fits the rest of the opening milestones is in the "Timeline and Critical Path" sheet of permits-and-licenses-checklist.xlsx: have both in front of you before you call any dealer. What I can give you here is the margin you have left before the planned opening: the case counts 20 weeks to opening and keeps a two-week safety cushion, which leaves nine weeks. That number is your opening date written in weeks, and every week a dealer says "we've got it" without confirming it in writing comes off that margin.

The working rule this section closes with is the one that saves the most money and grief: you order equipment as soon as your plans are final, not when the build-out ends. Your plans already list each piece by make and model for plan review, so the order depends on the plans, not on the permit: equipment and build-out run in parallel, not one after the other, and if you wait for the last wall to go up before calling the oven dealer, you've already lost weeks you won't get back. How this lead time fits with the rest of the opening milestones is worked out in chapter 20, on the timeline, but the decision about when you pick up the phone to ask for quotes gets made here, with the equipment table in front of you.

The full equipment package, line by line, with brand, model, price basis and lead time (equipment-and-suppliers-checklist.xlsx, "Equipment" sheet)

Line item	Brand	Model	Priority	Reference price ($)	Price basis	Pre-tax price ($)	Lead time (weeks)
Convection oven, 6 trays	Not named	Electric, with humidity, 6 trays (600 × 400 mm)	Critical	$2,772.00	pre-tax	$2,772.00	5
Convection oven, 4 trays	Not named	Electric, with humidity, 4 trays (600 × 400 mm)	Critical	$2,077.20	pre-tax	$2,077.20	5
Refrigerated bakery display case, curved glass, about 5 ft	Not named	452 L (about 16 cu ft)	Critical	$2,284.10	pre-tax	$2,284.10	6
Rear sliding doors for the display case (accessory)	Not named	Accessory for the case above	Optional	$120.40	pre-tax	$120.40	6
Blast chiller, 4 trays	Irinox	MultiFresh line	Critical	$10,037.00	pre-tax	$10,037.00	8
Dough sheeter, up to 16 in wide	Not named	Automatic, up to 16 in (40 cm)	Critical	$1,215.00	pre-tax	$1,215.00	4
Planetary mixer, 20 qt	Not named	20 qt (20 L) bowl	Critical	$595.04	pre-tax	$595.04	3
Chocolate tempering machine, 12 kg (26 lb)	Not named	12-kg (26-lb) tank	Optional	$7,400.00	pre-tax	$7,400.00	7
Modular deck oven, 1 to 5 decks			Optional	$12,000.00	pre-tax	$12,000.00	12
Retarder-proofer (roll-in)			Critical	$8,500.00	pre-tax	$8,500.00	9
Stainless steel exhaust duct			Critical	$6,500.00	pre-tax	$6,500.00	6
Spiral mixer, 25 kg (55 lb) of dough			Critical	$5,200.00	pre-tax	$5,200.00	6
Modular walk-in cooler (8 m³, about 283 cu ft)			Critical	$4,800.00	pre-tax	$4,800.00	7
Reach-in freezer, 0 °F			Critical	$1,900.00	pre-tax	$1,900.00	4
Refrigerated worktable with drawers (6.5 ft)			Critical	$2,400.00	pre-tax	$2,400.00	5
Stainless steel worktables and shelving (lot)			Critical	$2,800.00	pre-tax	$2,800.00	4

Line item	Brand	Model	Priority	Reference price ($)	Price basis	Pre-tax price ($)	Lead time (weeks)
Three-compartment sink, hand sink and mop sink			Critical	$1,400.00	pre-tax	$1,400.00	3
Front-counter fixtures (counter, shelving, interior sign)			Critical	$7,500.00	pre-tax	$7,500.00	8
POS terminal and software			Critical	$1,300.00	pre-tax	$1,300.00	3
Ambient display case			Critical	$1,600.00	pre-tax	$1,600.00	6
Vacuum packer, sealer and smallwares (lot)			Critical	$3,200.00	pre-tax	$3,200.00	4
Probe thermometers, scales and temperature data loggers			Critical	$900.00	pre-tax	$900.00	2

Lines with no brand or model are model ASSUMPTIONS, not dealer prices: replace them with the three quotes you get. Lines marked "Not named" carry an example price anchored on a European dealer's listing for a model we couldn't confirm is sold in the US, so the table gives the spec instead of the brand. The price basis column reads "pre-tax" on every line because US dealers list before sales tax; what it doesn't tell you is freight, installation or voltage, so ask for all three with every quote.

9. Permits, Health Department and Licenses: the Complete Path

Your Permit: a Local Food Permit, Not an FDA Registration

Let's start with the mistake that costs the most money and grief in this business: no, your pastry shop doesn't register with the FDA. Federal food facility registration exempts retail food establishments (21 CFR 1.226(c)), and the definition fits a pastry shop with its own kitchen that sells to the public: its primary function is selling food directly to consumers, which the rule measures by value, as long as annual sales directly to consumers are larger than sales to all other buyers, and "consumers" doesn't include businesses (21 CFR 1.227; checked in October 2026). And if you sell online too: if more than half of your food sales, by value, go directly to consumers, at your counter or shipped to their door, you're generally still a retail food establishment, so your web shop doesn't put you on FDA's list.

What you need instead is more down to earth, though no less mandatory: a food establishment permit, a retail food permit, from whoever regulates food retail where you are. In most places that's your county or city health department; in some states it's a state agency, as you'll see below with New York and Florida. If you're starting from home, what governs you is your state's cottage food law instead, which closes this chapter. In the case modeled for this guide, the health department plan review and food permit application is budgeted at $120, a placeholder you'll replace with your county's fee.

Now the part nobody tells you up front, and the one that really matters: sending in the application doesn't let you open, and neither does getting your plans approved. The food permit is issued after plan review and the pre-opening inspection (Food Code 8-201.11 and Part 8-3), and you need it in hand to open the doors. And it doesn't replace the other track: the building permit, the certificate of occupancy (with a change of use if the space wasn't a food business before) and the business license come from your city or county, with their own process, their own fees and their own zoning code in each of the thousands of jurisdictions across the country. There's no national rule for that part, so you always ask your city and county. Health and building are two separate tracks, and you need both.

To give you a sense of the real size of the whole file for the case we've modeled in this guide: 30 steps in six phases, 8 of them flagged as varying by state. P1 asks whether the space can work before you sign anything: zoning, the hood type and duct route, the landlord's written OK, the electrical service, and the seven zones with their sinks. P2 sets up the business: LLC or sole proprietor and DBA, EIN and bank account, state sales tax permit and employer registration, stamped plans, and a lease with a permit contingency. P3 is plan review, the building permit and change of use, the business license and the sign permit. P4 is the build-out: construction, the equipment order with lead times in writing, the fire marshal (hood suppression, Class K extinguisher), the electrical permit and an ADA counter. P5 brings the food permit and pre-opening inspection, the FDA registration check for wholesale, the food safety plan with a certified food protection manager as person in charge, the training log, the written allergen notice and timekeeping. And P6 is opening: hiring at your state's minimum wage or above, minors on the early shift, a POS that tags sales as to-go or for-here, labels on what you package in the shop, sales tax setup and insurance. You have the full breakdown, step by step, on the "Permits Checklist (P1-P6)" sheet of permits-and-licenses-checklist.xlsx, which also shows which steps depend on where you are; certificates and cards go on the "Training Log" sheet (chapter 10), and the twelve milestones, M1 to M12, on the "Timeline and Critical Path" sheet (chapter 20).

When FDA Registration Comes Back: the Gateway and the Three Checks

Everything above holds as long as you sell to your customers from your counter. But there's a gateway that can bring FDA registration back into the picture, and it goes in front of everything else, because if it doesn't apply to you, the rest of this section doesn't either: you sell food you make to other BUSINESSES (a café, a restaurant, a specialty food store, a caterer, anyone that isn't your own shop). Selling to consumers, even online and shipped to their door, isn't wholesale. If your kitchen only feeds your own display case, skip this section and go on to the next one.

If you're in because you do want to sell to other businesses, the "Selling Wholesale" sheet puts you through three checks: the FDA line, the cold chain and the labels. They don't weigh the same, and it's worth knowing why: only the first one decides whether you register with the FDA. The other two don't change your permit, but they're what your accounts and the inspector expect, and the sheet only gives you a green light when all three pass.

The FDA line can be measured two ways, and one is enough, because both measure the same thing (21 CFR 1.227; checked in October 2026): either the share of your food sales that goes to businesses stays below half (the sheet seeds a cautious working line of 25%, our own, not the law's, so you see the legal 50% coming long before you reach it), or, in dollars, your direct-to-consumer food sales in a typical week stay above your food sales to businesses that same week. This has a consequence that isn't intuitive: a kitchen that sells a lot over its own counter can wholesale a lot in absolute terms and still be a retail food establishment, as long as consumers take more than half of its food sales by value. And the flip side: what counts isn't kilos or one good week, it's value over the whole year, so check it with your POS figures and your invoices, not by eye.

The cold chain is the second check: can you deliver every wholesale order yourself, or with your own staff, keeping TCS items (cream fillings, custards, cheesecake) at 41 °F or below until the account receives them (Food Code 3-501.16; checked in October 2026)? The maximum delivery radius you type into the sheet, in miles, is your own figure, not a legal one: how far you can drive and still arrive at 41 °F or below. The sheet compares it with the distance to your farthest account, because it's the farthest one that decides.

And labels are the check that breaks most easily of the three: a single account without them is enough to fail it. Packaged items need the full label (common name, ingredients by weight, net quantity, your name and address, and the source of each major allergen, Food Code 3-602.11(B)); unpackaged items need an allergen sheet so the café can give its own customers the written notice the Food Code asks for (3-602.12(C)), and the paperwork isn't optional either: keep a record of each account (what, how much and when), and ask your CPA about resale certificates for what you sell to accounts that resell it. Watch the 50% line whenever one account grows, because a single hotel or chain can tip it. And two state notes: in New York, the Article 20-C license already covers wholesale bakery operations; in Florida, ask FDACS whether your volume calls for its Wholesale/Manufactured Food Establishment Permit.

A Central Kitchen and Your Own Shops: One Owner, Several Sites

And here's the growth lever that changes the math on everything above if your plan is to open more than one shop: a single production kitchen baking for your own storefronts. As long as it's all under the same owner, what you bake and then sell over your own counters reaches consumers, not businesses; your own shop isn't a business you sell to, so on a plain reading it doesn't add to the wholesale side of your FDA line the way a café down the street does. One caution before you build a plan on that: FDA's test is applied establishment by establishment, and we didn't find the rule's text spelling out how it treats a production kitchen in a separate building that sells only through its owner's own shops. If that's your setup, put the question to FDA or a food attorney before you sign for the space.

Now the obligation that comes attached to that good news, because there always is one: each shop goes through the process on its own, even if the whole network is yours. Plan review and the pre-opening inspection look at a physical place, so expect each new shop to go through them, and ask your agency before you open the second one whether it needs its own permit and how it treats food you bake at one site and sell at another (that's the third question on the "Which Permit Do I Need" sheet). In New York, the Article 20-C license already names wholesale and retail in-store bakery operations; in Florida, ask FDACS whether supplying several shops calls for its Wholesale/Manufactured Food Establishment Permit. Keep three conditions in view for the setup to hold: the same owner across the kitchen and every shop, the cold chain between sites at 41 °F or below for TCS items (Food Code 3-501.16), and the written allergen notice at every counter that sells unpackaged product (3-602.12(C)). If a shop changes hands, or belongs to a partner's separate company, it stops being yours for this purpose: it's a business, and what you send it goes back to the rules of the previous section.

Four Example States, and How to Find Yours

Let's get specific. Here are four states as examples, not all fifty: the food permit is issued by a county or city health department in most places and by a state agency in others, and each state enforces its own edition of FDA's model Food Code (per FDA's 2024 adoption list, California has its own code, Texas and Florida enforce the 2017 edition, and New York's retail food stores the 2001 one). A fifty-state table, let alone one by county, would be out of date within months, so what follows is how to read the system, not a closed map. Learn to read one agency's page and you can read them all.

Texas is the case's state and makes a good template. Your permit comes from the local health department, city or county, where there is one, and from the Department of State Health Services (DSHS) where there isn't. Plans go in before you build: the Food Code (8-201.11) asks for plans and specifications before construction or remodeling, and it's the local department that reviews them. Fees are local too: Austin charges $312 for plan review of a new food establishment and $178 for the pre-opening inspection (FY 2025-26), and Williamson County's plan review runs $882. And the order matters more than the fee: you submit plans before the build-out, you pass the pre-opening inspection when it's finished, and only then is the permit issued; nobody opens on an application. California is the strictest about timing: plan review by the county or city environmental health department is mandatory before construction, the building department won't issue a building permit without the health department's approval, and the health department has 20 working days to review the plans or they're deemed approved (Health and Safety Code §114380).

New York and Florida show how far the system can vary: there, a bakery that bakes and sells to go is licensed by the state agriculture department, not the health department. In New York, that's an Article 20-C food processing establishment license from the Department of Agriculture and Markets, which names "retail in-store bakery operations, including bake-off operations" outright; add seating and serve food, and the local health department comes in. Agriculture and Markets doesn't describe a plan review of the space the way a health department does, so ask before you build. New York City is a case of its own: the city's health department lists bakeries among food service establishments, and for mixed shops it looks at revenue (more than half from prepared food means the city's food service establishment permit; less, the state license). In Florida, bakeries fall under the Department of Agriculture and Consumer Services (FDACS), while what's eaten on site is licensed by the Department of Business and Professional Regulation (DBPR); for a bakery-café we couldn't confirm which one takes the lead, so ask both. FDACS's plan review is voluntary ($55.10: $25 plus $30.10 for the first hour), you apply 21 days before opening, the inspector calls within 3 to 5 business days, and the inspection typically happens within two weeks.

Finding your own agency takes five minutes at the computer. Search for "[your county] environmental health food facility plan check" (or "[your city] food establishment plan review"), and check your state department of agriculture as well, because in some states, as in New York and Florida, that's who licenses a bakery that bakes and sells to go. Once you're on the agency's page, check three things before you take anything as settled: which agency permits your format (selling to go and adding seating can put you under different ones), whether plan review is required, what it costs and how long it takes, and which edition of the Food Code your state enforces, because that's what your inspector will hold you to. One warning that saves you a wasted trip: fees vary a lot, from a voluntary $55.10 review in Florida to several hundred dollars in a Texas county, so check the agency's own fee schedule or call before you go; don't assume it's the same everywhere. For scale, this pack's financial model budgets the health department plan review and food permit application at $120, below what Austin charges: a small line, but replace it with your county's fee so your cash doesn't come up short in the first month.

The Home Route: Cottage Food, State by State

If you're going to bake at home, the first change is legal before it's practical: your home kitchen becomes a cottage food operation under your state's law, and what it takes to get started depends on the state. In California it's a registration (Class A) or a permit (Class B) with your county environmental health department, plus a food safety course within three months; in Texas, a registration with DSHS, but only if you sell TCS items, and local authorities can't require a permit, license or fee; in New York, a home processor registration with Agriculture and Markets, free and with no expiration, though processing can take up to 16 weeks; and in Florida, no license or permit at all. Outside Florida, and outside Texas for items that don't need refrigeration, you register: you don't just assume you're covered.

What decides what you can sell from home is your state's list, and the four states write it in very different ways: California allows only foods on its Approved Cottage Food List (non-potentially hazardous foods); Texas allows any food that isn't on its exclusion list; New York has a closed list (breads, muffins, cookies, brownies, scones, double-crust fruit pies, simple cakes); and Florida allows cottage food products that don't need time and temperature control. The consequence of all this is the one that kills more orders than any other: by default, only shelf-stable baked goods qualify, and a strawberries & cream cake does NOT, because cream fillings need refrigeration. In California, New York and Florida it stays out; in Texas, since September 1, 2025, it can go in if you register with DSHS, label it with the production date and safe-handling instructions and deliver it at 41 °F or below. So it isn't a national ban on cream cakes from home: it's that, unless your state has opened that door, you're outside the list by default.

And that a state opens the door isn't a hypothesis: Texas did it with Senate Bill 541, in force since September 1, 2025, which widened cottage food to any food that isn't excluded, up to $150,000 a year, refrigerated items included with registration. With the same clarity, here's what Texas did NOT open: wholesale of TCS items, and online sales you don't deliver yourself. Opening up the product list isn't the same as opening up the channels, and that's why your state's own page, not a summary, is what you check every year.

The channel rules come in three, and it pays to keep all three in your head because they don't work the same way in each state. Wholesale to cafés, shops and restaurants is closed outright in Florida, allowed only for non-TCS items sold to a registered cottage food vendor in Texas, only with a Class B permit in California, and allowed within the state in New York. Shipping by mail or courier is fine in California and Florida; in Texas, only if you, an employee or a household member delivers; and in New York, only within the state. And selling across state lines is closed in New York; elsewhere, check your state's page before you ship. California adds a cap on staff: one full-time employee who isn't family.

The four states cap cottage food by annual sales in dollars, not by weight: in 2026, California $88,878 for Class A and $177,756 for Class B (adjusted every year), Texas $150,000 and Florida $250,000, where all sales count; New York's page lists no cap. On top of the law, the "Cottage Food Route" sheet adds two checks of its own: a weekly volume ceiling for a home kitchen of 100 kg (about 220 lb, or roughly 14 kg a day), and a volume-for-space house criterion in kilos per usable square foot a week. Neither one is a legal figure: they're ours, there to make you measure what the law doesn't. The pack's example helps you see how the three checks relate: 129 usable square feet dedicated to baking and 60 kg (132 lb) a week come to 0.46 kg per usable square foot a week, under the sheet's house criterion of 0.74. In practice, a normal home kitchen almost never reaches the volume ceiling; what trips people up is the third check, the one that is the law: sales records that prove you're under your state's cap. Without them you can't show it, whatever your volume, so keep them up to date; don't pull them together the day someone asks. And don't forget the label: in Texas, word for word, "THIS PRODUCT WAS PRODUCED IN A PRIVATE RESIDENCE THAT IS NOT SUBJECT TO GOVERNMENTAL LICENSING OR INSPECTION.", plus allergens, and for TCS items the production date and safe-handling instructions; in New York, "Made in a Home Kitchen"; in Florida, "Made in a cottage food operation that is not subject to Florida's food safety regulations." You outgrow cottage food when you pass your state's sales cap, want to sell items your state excludes, want to wholesale where your state forbids it, want to ship out of state or want a storefront with a display case and staff: then it's time for a licensed kitchen, and decision 10 in the bonus walks you through that jump.

The three cases, so you can see where the line falls (permits-and-licenses-checklist.xlsx, "Which Permit Do I Need" sheet)

Your situation	What you need	Why
You sell only to consumers, at your counter and on your website	A retail food permit from your local (or state) food agency	You're a retail food establishment, exempt from FDA registration. Selling online to consumers, shipped to their door, generally keeps you retail while consumers take more than half of your food sales by value.
You also sell to cafés or stores, consumers still take more than half of your sales, and you pass the three wholesale checks	The same retail food permit, PLUS full labels or allergen sheets for every account and a cold chain you can show	Still outside FDA registration, with more paperwork. The "Selling Wholesale" sheet runs the three checks one by one.
You sell to businesses and fail one of the three checks	FDA registration if businesses take half or more of your food sales; otherwise, fix what fails	Failing the 50% line is what triggers FDA registration; failing cold chain or labels is a fix before your next delivery. Watch the line when one account grows: a single hotel or chain can tip it.

Checked October 2026 · 21 CFR 1.226(c) and 1.227 (FDA food facility registration and the retail food establishment definition), FDA Food Code 2022, §8-201.11 and Part 8-3, and the state agencies named in this chapter (links in the Regulatory Appendix).

What you can sell from home: four example states and the rest (permits-and-licenses-checklist.xlsx, "Cottage Food Route" sheet)

State and what you can sell	What's out
California (CFO): only foods on the Approved Cottage Food List (non-potentially hazardous foods)	Anything off the list: cream fillings, custards, cheesecake. Class A sells direct only; Class B also through shops and restaurants.
Texas (CFPO): any food not excluded; cream cakes and cheesecake (TCS) with DSHS registration since September 1, 2025	Meat and poultry, fish and shellfish, ice, ice cream and frozen custard or gelato, low-acid canned foods, CBD or THC products, raw milk.
New York (home processor): a closed list: breads, muffins, cookies, brownies, scones, double-crust fruit pies, simple cakes	Cheesecake, cream-filled pastries, cream and meringue pies, custard, single-crust pies, homemade buttercream or cream cheese frosting.

State and what you can sell	What's out
Florida (§500.80): cottage food products that don't need time and temperature control (non-TCS)	Foods that need refrigeration (TCS); check the FDACS guidance item by item.
Other states: cottage food is legal in all 50 states, each with its own list	Nothing by default: this row stays empty until you look up YOUR state's cottage food page, before you bake to sell.

Checked October 2026 · California CDPH (2026 sales caps), Texas DSHS (Cottage Food Production Operations, SB 541, in force since September 1, 2025), New York Agriculture and Markets (home processing) and the 2026 Florida Statutes, §500.80 (links in the Regulatory Appendix).

Where you can sell from home: three channel rules, and the one Florida closes outright (permits-and-licenses-checklist.xlsx, "Cottage Food Route" sheet)

Channel	What it covers	The four states
Wholesale	Selling to cafés, shops and restaurants	Florida: no, with no exceptions. Texas: non-TCS only, to a registered cottage food vendor. California: Class B only. New York: yes, within New York.
Shipping	Online orders sent by mail or courier	California and Florida: yes. Texas: only if you, an employee or a household member delivers. New York: within the state only.
Out of state	Selling or shipping across state lines	New York: not allowed. Elsewhere, check your state's page before you ship.

Checked October 2026 · California CDPH, Texas DSHS, New York Agriculture and Markets (home processing) and the 2026 Florida Statutes, §500.80 (links in the Regulatory Appendix).

10. Food Safety Plan, Allergens and Training: What to Have Ready on Inspection Day

A Simple Food Safety Plan Is Enough, but It Needs a Certified Person in Charge

Let's start with the good news, because in this area good news rarely arrives with the section number attached: nobody expects a pastry shop to run the paperwork of a food plant. What you do need is a food safety plan built on HACCP principles for what you actually make: which hazards your products carry, which steps control them (cooling, cold holding at 41 °F or below, date marking, allergens), what limit each step has to hit, who checks it and where it gets written down. It doesn't have to be the full documentation system of a manufacturing plant, but it does have to exist, on paper, before you open. And it follows the edition of the Food Code your state enforces, not necessarily the 2022 model: per FDA's 2024 adoption list, Texas and Florida enforce the 2017 edition, New York's retail food stores the 2001 one, and California has its own code. The 2022 rules are the direction of travel, so building to them is the safe choice.

The condition that trips people up is this one: under the 2022 Food Code, the person in charge must be a certified food protection manager, someone who has shown what they know by passing a test that's part of an accredited program (2-102.12, checked in October 2026). The only exception is for establishments your regulatory authority decides are minimal risk, and a production kitchen full of cream fillings shouldn't count on being one. A generic line like "the team handles food safety" doesn't work: what the inspector wants to see is a name, that person's certificate and a plan that names them. Texas already asks for a certified food manager, and New York City requires a supervisor with a Food Protection Certificate on site whenever food is received, prepared, stored or served, or the place is open. It's the first document in the file and the easiest one to forget, because it doesn't involve buying or installing anything: it involves booking the exam, sitting down and writing a name into the plan.

On the templates and sample plans that circulate online and through trade groups, the status is clear, and it's worth having it straight before the inspector explains it to you: they're optional. They help, they point you in the right direction and they save you writing time, but adopting one doesn't excuse you from having your own plan, built around your production kitchen, your display case and the way you really make things. A generic template doesn't replace a named, certified person in charge or a plan with your own products in it; at most, it's the outline you build yours on.

In the case modeled for this guide, the food safety plan is budgeted at $800, and the P5 phase (food permit, food safety and training) brings together 6 steps in all. That figure covers writing the plan, naming the person in charge and the other pieces you'll see in the table below; it doesn't cover the day-to-day logs, which are a different thing and come with a different product. The temperature logs, the daily traceability and the cleaning records that feed the plan once the shop is running are in the HACCP Food Safety Kit Pro, and this guide doesn't rebuild them: here you'll find what you need to have written and signed before you open, not how to fill it in every morning.

Keep two layers apart in your head from the start, because they come back throughout the chapter: one is the regulatory map, with the rule and the section that require each document, and this guide builds it; the other is the daily routine once your shop is up and running, and that's your daily checklists and logs, which the HACCP Food Safety Kit Pro has ready. Mixing them up is what leads people to buy the same thing twice or, worse, to buy neither, because it feels like everything's done once the plan is signed.

The Food Handler Card Is a State Rule: What You Always Need Is a Training Log

Here's a confusion to clear up with the law, not with an opinion, and in the US it comes in two pieces. The first piece: there's no national food handler card. What the Food Code asks is that employees be properly trained in food safety, food allergy awareness included, as it relates to their assigned duties, and it makes seeing to that part of the person in charge's job (2-103.11(O)). The second piece: whether each employee also needs a card is a state rule, sometimes a city one, and the four example states show how far apart they sit. California requires a food handler card within 30 days of hire, valid for 3 years even if the employee changes jobs (Health and Safety Code §113948); Texas requires an accredited food handler course, and a city can't charge for or demand its own card when you present an accredited one (Health and Safety Code §438.046(c)); New York State has no card, though New York City has its Food Protection Certificate for supervisors; and in Florida you check FDACS (retail) or DBPR (food service) for the training rules. Put the two pieces together and it's clear that the card, where it exists, is the floor, not the whole job.

What applies everywhere, and this is what has to replace "the card" in your head, is the employer's side: staff who handle food have to be trained for what they do, and that responsibility sits with you and your person in charge, not with each employee on their own. A card in someone's wallet isn't the point; the point is that you, as the owner of the kitchen, can show that everyone who handles product is trained for the work they do.

Translated into what you'll face on inspection day, the deliverable is a training log, person by person, with three minimum data points: what the training covered, how many hours and the date. A certificate or card from whichever accredited provider works perfectly as evidence inside that log; what doesn't work, because it isn't what the rules ask for, is a pile of cards with nothing that ties them to each person, their duties and a date. If you have the certificates but not the log that organizes them by person, content, hours and date, the file is still incomplete.

In the modeled case, the training log covers 5 people with training on file and 0 overdue at the check date; food safety training is budgeted at $240. Each certificate or card is given a validity of 730 days in this case, and it needs saying plainly: that figure is a house criterion, not a deadline any rule sets for you. Validity comes from your state or the issuing program (a California food handler card lasts 3 years), and two years is simply a reasonable, shorter pace to refresh training and keep proof current. What the rules ask is that training be in place and that you can show it, so 730 days is a sensible management decision, not a legal obligation you can quote to an inspector as if it came from a regulation.

The table below shows that training log person by person, with the certificate or course and its hours, the way you need to have it set up before you open the door of your production kitchen.

Kitchen Allergens Versus Display-Case Allergens

Two things need separating once and for all here, because in practice they get mixed up and on inspection day they never are: at the display case you have a duty to inform the customer, and in the production kitchen you have a production job, which is not to use the same equipment, containers or surfaces with an allergen and then with a food that doesn't contain it unless they've been fully cleaned in between and you've checked nothing is left. They're two different layers, and each has its own basis.

The first layer, the display case, is set by the 2022 Food Code: the permit holder has to notify customers, in writing, of the presence of major food allergens as ingredients in unpackaged food (3-602.12(C), checked in October 2026). In the US there are 9 major allergens: milk, eggs, fish, crustacean shellfish, tree nuts, peanuts, wheat, soybeans and, since January 1, 2023, sesame (FDA). For unpackaged food, declaring them isn't optional, and a spoken answer at the counter isn't the format the rule asks for: what you need is a written notice that your staff, the inspector and any customer can see, such as an allergen chart for the case or a card next to each item. If you package a product yourself in the shop, its label carries the common name, ingredients by weight, net quantity, your name and address and the source of each major allergen (3-602.11(B)), with nutrition facts unless an exemption applies; and New York signed a law in November 2025 on allergen notices for food packaged and sold in the same store, bakeries included, so check when it applies to you. If you open in the UK, the list is 14 allergens, food you prepack for direct sale needs a full ingredient list, and for unpackaged food the information can be given in any form, even orally, as long as a notice tells customers how to get it.

That's the last we'll say about the display case in this chapter, and for a specific reason: the item-by-item allergen declaration for your display case is built and kept in the HACCP Food Safety Kit Pro, where the day-to-day of your menu lives. What this guide builds is a different piece, one that usually doesn't exist in any kitchen before it opens: the kitchen allergen matrix, which crosses every ingredient with every allergen and with the day's production order, so you know at what point in the process the tree nuts come in, when the wheat comes in, and which surface or container has to be clean before the next batch touches it. That matrix is yours, it comes out of your menu and your process, and it doesn't duplicate the display-case one: you'll never have two full allergen declarations for the same product list, because each one answers a different question.

That line between kitchen and display case is also what decides which display case you buy. Of the items on your menu, 15 need a refrigerated display case, and the reason isn't flavor or presentation: it's whether the filling or the topping is stable at room temperature. In Food Code terms, it's whether the item is TCS, a food that needs time and temperature control for safety, which is decided by its pH and water activity (1-201.10); if it is, it's held at 41 °F or below (3-501.16). A cake with pastry cream, whipped cream or a filling that can't sit out falls into those 15 items; a dry pastry or an unfilled dough doesn't. That same line, filling versus room-temperature stable, is what organizes your production kitchen: it decides when in the day you make each batch and how long it can sit out before it has to go into the cold. The "Egg & TCS Decision" sheet in opening-menu-and-recipe-costing.xlsx works it through item by item. It isn't a decorative fact: it sets the size of the case you're going to buy and the order of your daily production.

And all of this rests on a production basis that many small kitchens ignore until the inspector points it out: allergen cross-contact travels through equipment, containers and surfaces. FDA tested it in retail settings with peanut, milk and egg: full cleaning, meaning wash, rinse, sanitize and air-dry as the Food Code recommends, was effective at removing allergens and limiting their transfer; scraping surfaces before cleaning helped; and dry wipes did worse than wet cloths or sanitizing wipes (FDA, allergen removal and transfer study, page current as of April 7, 2026). It's a production job, separate from the display-case notice: you can have a perfectly labeled display case and still put a customer at risk if the rolling pin you used with nuts goes unwashed into the dough you're going to sell as nut-free.

Gluten-Free Is a Lab Threshold, Not a Free Claim

The words "gluten-free" don't depend on which flour you use or on your good intentions: they depend on a number. Federal labeling rules (21 CFR 101.91, checked in October 2026) allow "gluten-free" only if the food has no ingredient that is a gluten-containing grain (wheat, rye, barley or their crossbred hybrids), or that is derived from one and hasn't been processed to remove the gluten, and if any unavoidable presence of gluten in the food is below 20 parts per million, that is, under 20 milligrams per kilo. There's no softer version to fall back on: "no gluten," "free of gluten" and "without gluten" are held to the same standard, and a food that carries any of them without meeting it is misbranded. The nuance people forget is in the words "in the food": it isn't measured in the ingredient, it's measured in the finished piece, after everything your production kitchen has put it through, its air, its surfaces and its utensils.

The consequence for a pastry kitchen is direct and has no shortcut: if you work with wheat flour in the same space, even at a different bench and on a different shift, you have gluten in the air and in the dust that settles on every surface. You can't call any item made in that kitchen gluten-free without first confirming, with a lab test, that it's below 20 ppm. Swapping the flour in a recipe for rice flour or any other gluten-free flour isn't enough: if the kitchen is the same and the air is the same, the cross-contact risk is still there, and it's that risk the test has to rule out, not the recipe.

A word, too, on the private seals offered by gluten-free associations and certification programs: they're voluntary and additional. They can help you commercially and give you a working protocol, but they don't replace the federal rule or excuse you from testing. You can have the seal and still fall short if you don't hold the threshold, and you can meet the threshold without any seal at all. They're two different things, and one doesn't cover the other.

The business decision that follows from all this is the most expensive one in the chapter, so here it is without hedging: if your kitchen can't sustain gluten-free with an area separated from the rest of production and with lab tests that prove it, then you sell something else and you don't advertise gluten-free. You don't need to invent a selling point to fill that gap on the menu: you leave it out. Advertising "gluten-free" when you can't prove it with a test below the threshold is, of everything this chapter covers, the risk that costs the most, because it isn't a missing page in a binder: it's a public statement about a product that can do real harm to someone who trusts it. The same goes for your display-case cards and your website: if you say it, you have to be able to back it. When inspection day comes, what they'll ask you for on this point is in the table below, along with the rest of the documents and where each one lives.

The modeled case's training log, person by person (permits-and-licenses-checklist.xlsx, "Training Log" sheet)

Person	Area	Certificate or course	Hours
P1 · Head Pastry Chef	PRODUCTION KITCHEN	Certified food protection manager (CFPM) exam	6
P2 · Pastry Cook	PRODUCTION KITCHEN	Food handler card + allergen awareness	6
P3 · Bakery Assistant	PRODUCTION KITCHEN	Food handler card	6
P4 · Counter Associate A	FRONT COUNTER	Food handler card + allergens at the counter	6
P5 · Counter Associate B	FRONT COUNTER	Food handler card + allergens at the counter	6

Checked October 2026 · FDA Food Code 2022, §2-102.12 (the person in charge is a certified food protection manager) and §2-103.11(O) (employees trained in food safety, food allergy awareness included); California Health and Safety Code §113948; Texas Health and Safety Code §438.046 (links in the Regulatory Appendix). Course content and hours are the house's assumptions: the accredited provider sets them. What the rules ask is that the training be in place and that you can show it, with each certificate or card on file under each person's full name.

The food permit, food safety and training steps, in order (permits-and-licenses-checklist.xlsx, "Permits Checklist (P1-P6)" sheet)

Phase	Step	Who does it	Lead time (days)	Budgeted cost	Varies by state?
P5	Apply for the food establishment permit and pass the pre-opening inspection	Owner	5	$120	Yes
P5	Check whether your wholesale accounts make you register with FDA	Owner	5	Get a quote	No
P5	Write the food safety plan and name a certified food protection manager as person in charge	Owner	20	$800	No
P5	Train the team in food safety and allergens, and log it person by person	Owner	10	$240	No
P5	Post the written allergen notice for the display case before you open	Owner	5	Get a quote	No
P5	Set up timekeeping: records of hours worked for everyone on payroll	Attorney or CPA	5	Get a quote	No

Lead times are planning assumptions, not legal processing times: they're there to build your timeline. "Get a quote" means the amount depends on your city or county or on your vendor. "Varies by state?" flags the steps whose agency or process changes with where you open; training is the same step everywhere, but whether your staff also need a food handler card is a state rule (see above).

What each inspection will ask you for, and where it lives

What they ask for	Where it lives	Basis
Your food establishment permit, or the application and the pre-opening inspection until it's issued	Permit file, phase P5	Food Code 2022, 8-201.11 and Part 8-3, as adopted by your state
The food safety plan, with the person in charge named and their CFPM certificate	Permit file; the daily logs, in the HACCP Food Safety Kit Pro	Food Code 2022, 2-102.12
Each person's training record, with content, hours and date, and their card where your state requires one	"Training Log" sheet of the permits workbook	Food Code 2022, 2-103.11(O), plus your state's food handler rules
Written notice of the major allergens in every unpackaged item, visible to customers	HACCP Food Safety Kit Pro, display-case allergen matrix	Food Code 2022, 3-602.12(C)
Kitchen allergen matrix, by ingredient and production order	This pack	Food Code 2022, 2-103.11(O) (allergen awareness for each person's duties)
Temperature and receiving logs	HACCP Food Safety Kit Pro	Food Code 2022, 3-501.16 and 3-501.14 (cold holding and cooling)
Date marking on ready-to-eat TCS items held more than 24 hours	"Egg & TCS Decision" sheet of this pack	Food Code 2022, 3-501.17
Labels on food you package in the shop for sale	This pack, chapter on channels	Food Code 2022, 3-602.11(B)

Checked October 2026. None of these rows is a closed list of what an inspection can ask for: it's what always gets asked for, and that's why you set it up before you open. Your inspector enforces your state's adopted edition of the Food Code, so check the section numbers against it.

11. Suppliers: Ingredients, Packaging and Lead Times

The Nine Verified Suppliers, by Category

In the table below you'll find nine suppliers, not thirty. It isn't a short list out of laziness: it's the list of companies whose official website we could check, with a link that works and with what they sell to US bakeries, as of this edition (October 2026). Anyone we couldn't verify stays out on purpose. This is a starting point so you can begin asking for quotes next week, not a buying recommendation or a quality ranking.

The nine fall into seven categories, and that way of splitting them is the logic you should copy when you expand your own supplier sheet. Specialty pastry ingredients: AUI Fine Foods, headquartered in Gaithersburg, Maryland, sells chocolate, fruit, fillings and flavorings, nuts, mixes, fondant and cake design, decorations, frozen desserts and what it calls molecular and pastry essentials, with prices shown once you log in ("AUI Fine Foods", 2026). Bakery ingredients: Puratos, which presents its US business as dedicated to bakers, pastry chefs and chocolatiers, and covers sourdough, improvers and mixes for bread and pastry, fillings, icings and glazes, and chocolate ("Puratos U.S.", 2026); you get no price figure for it here, because none is verified, and that's how it stays. Alongside it, BakeMark, a bakery manufacturer and distributor based in Pico Rivera, California, with mixes, fillings, icings and glazes, toppings and flavors ("BakeMark", 2026). Chocolate and couverture: Callebaut, from the Barry Callebaut group, which also owns Cacao Barry, with Chocolate Academy courses in Chicago ("Callebaut", 2026); and Valrhona, with its own US site and expert-led classes at its Brooklyn school, L'Ecole Valrhona ("Valrhona USA", 2026). Butter: Plugrà, the European-style butter from Dairy Farmers of America, at 82% butterfat, with a professional kitchen line sold through distributors ("Plugrà", 2026); that's the figure you need when you compare one spec sheet against another. Flour: King Arthur Baking, whose bakery flour line has a professional sales team for bakery and pastry shops, pizzerias and foodservice, plus a distributor network ("King Arthur Baking, Bakery Flour", 2026). Broadline distribution: Sysco, the foodservice distributor that solves the order when you need several product families on one truck; opening a business account takes your Tax ID or EIN ("Sysco", 2026). And packaging: WebstaurantStore, whose catalog sells cake and bakery boxes by the case ("WebstaurantStore", 2026).

With two or three suppliers from this list you can open: it's enough to fill the display case on day one. With all nine you can negotiate, because every category covered by more than one name gives you someone to compare against when the first one raises prices or misses a delivery. If you ask all nine for quotes at once, the combined minimum order climbs to $2,700, and the average committed lead time is 7 days. That figure isn't advice on how much to buy: it's a warning that if you open accounts with all nine in the same month, that $2,700 is money sitting on your shelves the day you open, and it has to go into your startup cash just like the rent or the security deposit.

And a warning about the pace of the work itself: in the case modeled for this guide, 13 equipment lines still have no supplier assigned in equipment-and-suppliers-checklist.xlsx (the "Counter" sheet counts them). That's normal at this stage of the process: that sheet doesn't get filled in one afternoon, it gets completed over the weeks before opening, as you close quotes and rule out options. If you still have blank lines when you reach this chapter, you're not behind: it just means you keep making calls.

When you've worked through these nine and need to keep searching by category or by area, start from the brands themselves: Plugrà has a find-a-distributor link, Callebaut a where-to-buy map and AUI Fine Foods a distributors page, King Arthur Baking sells through a distributor network, and your broadline sales rep can usually quote several ingredient families on the same order.

How to Get Three Comparable Quotes

The most expensive mistake isn't picking the wrong supplier: it's comparing quotes that can't be compared. If you ask one for a price per pound and another per case, if you ask one about lead time and not the other, if one quotes with delivery included and the other doesn't, what you end up with isn't three prices, it's three impressions, and you decide blind.

The method is mechanical and allows no shortcuts: ask all three for the same pack size, the same unit, the same lead time and the same payment terms. If you're comparing butter, have all three quote the same block or sheet format, in the same unit of sale, with the same lead time and the same payment terms; if you're comparing flour, the same bag, the same quantity and the same delivery frequency. The moment you break that symmetry, the comparison stops being worth anything.

What you always ask for in writing, without exception, from the three suppliers in each category:

- Price per purchase unit.
- Minimum order.
- Lead time.
- Delivery charges: whether they're included, above what order value, and what they cost if you fall short of that minimum.
- Payment terms: cash on delivery, net 30 or net 60, and the early-payment discount, if there is one.
- Who the sales rep is who answers for your account, with a name and a direct phone number, not a generic email address.

Keep those six answers on the same sheet, one row per supplier, and the comparison takes care of itself at a glance. It's the same discipline you'll apply in the recipe costing chapter when you compare the cost of a batch: if the inputs aren't consistent, the result is worthless, whatever the spreadsheet says.

Packaging Is a Cost Line, Not a Detail

Packaging adds 10% to product cost in the case modeled for this guide, and that figure comes from the "Settings" sheet of opening-menu-and-recipe-costing.xlsx. It isn't a garnish on the receipt: it's a cost line that competes in weight with ingredients you do keep in mind from day one, like butter or chocolate, and yet it gets forgotten in most opening plans put together by hand.

Within your startup costs, the first packaging order comes to $2,500, on the "Startup Costs by Block" sheet of startup-cost-calculator.xlsx (the "Opening packaging" block). It's one of the lines most often underestimated when you work out how much capital you need to open, because it isn't bought the way kitchen ingredients are: packaging is bought by supplier minimums, by the case or by the print run, not by what you'll use in the first month. If the minimum run for your boxes, bags or labels is bigger than what you need to get started, your first order will be larger than your real production justifies, and that difference has to be in your startup cash, not discovered the day the pallet arrives.

On what packaging weighs across the industry, there's no single figure we can give you with a verified source for this chapter, so here it is in qualitative terms: in pastry, packaging tends to move within a wide range of total product cost, which is why it has to be treated from the first budget as a cost line in its own right, with its own supplier, its own minimum and its own lead time, instead of being left for the end of the shopping list. And before you order, check what your state bans: foam (EPS) containers are out in New York and California, and so is paper packaging with intentionally added PFAS; paper-based cake boxes and boards work everywhere, and chapter 19 has the details.

How to Model Butter and Cocoa Price Swings

Setting a butter or cocoa price in a document today and calling it done guarantees that, a few months from now, the document will be lying. Both trade on volatile commodity markets, and what's worth teaching you isn't what they cost today, but where to find the public reference price and how often to check it so your recipe costing doesn't fall out of date.

For butter there is a public reference you can cite: the CME (Chicago Mercantile Exchange) spot price for bulk Grade AA butter, which USDA's Dairy Market News reports every week. In the week of October 12-16, 2026, it closed at $1.3650 a pound (about $3.01/kg) on October 16, with a weekly average of $1.3110, up $0.0230 on the week before (USDA AMS, Dairy Market News, Volume 93, Report 42). And the range of movement isn't anecdotal: the same report shows producer prices for butter in August 32.5% lower than a year earlier.

And here's the warning that can save you the most money: that quote is for bulk Grade AA butter, a commodity, not the price of the high-butterfat European-style butter you buy for laminating, like Plugrà at 82% butterfat. They're two different products and two different markets (USDA's own report comments on 80% and 82% butterfat butter separately), and putting them on the same sheet gives you a number that's no use to anyone. Use the CME price as a trend gauge (up, down, flat) and ask your supplier for the real price of your pack size every time you reorder.

For cocoa, on the other hand, this chapter gives no single figure, and that's not an oversight: for the same year, several different values circulate depending on the source, and none of them can be cited with the confidence a paid product demands. What you do with cocoa is the same as with butter in method, though not in numbers: ask your supplier for an updated price at every contract renewal, and don't trust any figure you saw months ago somewhere else.

The practical mechanism that holds all this up is simple and already built into your templates: the purchase price lives in a green cell in the menu workbook, opening-menu-and-recipe-costing.xlsx, and so does the target trim loss (5% in the modeled case), and reviewing those two cells every quarter is what keeps your recipe costing alive instead of leaving it as a snapshot of the day you set it up. In the modeled case, the ingredient cost of one batch of each of the thirty items comes to $375.60, a figure that only stays true as long as you review those green cells on schedule. The full costing method and the quarterly review are in chapter 12, on recipe costing, which is where those two cells come into their own.

The nine verified suppliers, with category, minimum order and lead time (equipment-and-suppliers-checklist.xlsx, "Suppliers" sheet)

No.	Supplier	What it sells you	Link	Minimum order ($)	Lead time (days)
1	AUI Fine Foods	Specialty pastry ingredients, decorations and frozen desserts	https://www.auifinefoods.com/	$300	7
2	Puratos	Sourdough, improvers, mixes, fillings and chocolate	https://www.puratos.us/	$300	7
3	BakeMark	Bakery mixes, fillings, icings and glazes	https://bakemark.com/	$300	7
4	Barry Callebaut (Callebaut)	Chocolate and couverture	https://www.callebaut.com/en-US	$300	7
5	Valrhona	Premium chocolate and training	https://valrhona.us/	$300	7
6	Plugrà (Dairy Farmers of America)	European-style butter, 82% butterfat	https://www.plugra.com/	$300	7

No.	Supplier	What it sells you	Link	Minimum order ($)	Lead time (days)
7	King Arthur Baking	Bakery flour	https://www.kingarthurbaking.com/pro	$300	7
8	Sysco	Broadline foodservice distribution	https://www.sysco.com/	$300	7
9	WebstaurantStore	Packaging: cake and bakery boxes	https://www.webstaurantstore.com/	$300	7

The minimum orders, lead times and payment terms in this table are STARTING ASSUMPTIONS so you can budget: replace them with what each sales rep tells you. What's verified is who each supplier is and what it sells (official websites, checked October 2026).

12. Recipe Costing and Pricing: Why Labor Rules

The Costing Unit Is the Batch, Not the Piece

In a pastry shop you don't cook one at a time. Nobody bakes a single croissant or whips a cream for one slice of cake: you work in batches, and that one detail completely changes how you have to work out what each piece costs. The classic mistake is to take the recipe, add up the cost of the ingredients and divide by the number of units that come out. That per-piece recipe costing gives you a clean, reassuring number, but it hides the very thing that weighs the most on your income statement: labor. If you only count raw materials, you're giving away every minute the production kitchen spends weighing, mixing, shaping, baking and decorating that batch.

Batch costing is built in four steps, always in this order. First, the units the batch yields: how many finished pieces that amount of dough or cream produces with your oven format and your molds. Second, the materials for the batch: what the ingredients cost for that specific quantity, not for a theoretical single unit. Third, the labor minutes the whole batch takes, from the moment you weigh the first ingredient until the last piece is ready for the display case: weighing, mixing, shaping, baking, cooling if needed, and finishing. And fourth, with those three figures in hand, you spread the total across the units to get the cost per piece, with labor inside it and not as a footnote.

The table below shows the recipe costing for the thirty items in the modeled case, batch by batch, using this method. What you need to keep in mind before you look at it is the aggregate result: the labor cost of those thirty batches comes to $542.62. That figure doesn't come from a table of percentages or from a general industry rule: it comes from multiplying the real minutes each batch takes by the production kitchen's cost per hour, batch by batch, and adding them up. Three of those thirty items are taken from the Food Cost Kit Pro, so the numbers match between the two products if you use them together; the rest are example data built so the model has something to calculate with, not a real menu.

This way of costing has a second use that per-piece costing never gives you: it lets you decide production, not just learn the cost. If you change the batch size (a bigger mixer, double the cream, twice as many pieces shaped at once), the time in the production kitchen doesn't grow in the same proportion as the units, because a good share of those minutes go to setup and cleanup for the process itself, not to repeating the motion piece by piece. The result is that labor cost per piece falls when you make the batch bigger, without touching a single gram of the recipe. It's the lever you hold before you sit down to set prices, and per-piece costing simply never shows it to you, because it can't tell the difference between what the batch costs and what the piece costs.

The Production Kitchen's Cost per Hour, Charged per Piece

Everything above depends on one number: what an hour of work costs in your production kitchen. That hourly cost isn't the pay you see on a paycheck, and it isn't a guess either. It's built in four layers, and all four count.

- The base pay of the roles that work in the production kitchen, taken from the case's wage table: what each pay grade earns before any withholding.
- The pay periods that go with each role: in the case the annual pay is spread over 12 pay periods, so there are no extra payments to add, and the annual total stays the same.
- The payroll taxes, workers' comp and benefits the employer pays on top of base pay: what you pay above the gross wage, not what gets withheld from the employee.
- The hours of the year the employee is actually paid for and, within them, the part that is truly productive.

Adding up the first three layers for the case's production kitchen team, the annual employer cost of the production kitchen staff comes to $67,850. That amount has to be spread across hours, and this is where most people go wrong: you don't divide it by the contracted hours alone, you divide it by the productive hours in the year, which in the modeled case are 3,782. The result of that division is the production kitchen's cost per hour: $17.94. That's the number you multiply by the minutes of each batch to get the labor cost you've already seen across the thirty items.

The productive part of the workday isn't one hundred percent of the paid hours, and it's worth understanding why before you push that figure up to make the hourly cost come down. The production kitchen cleans its work area several times a day, receives deliveries from suppliers and puts them away, and stocks the display case with what it has produced: all of that takes time out of the workday and doesn't produce pieces. Inflating the percentage of productive hours is the easiest way to fool yourself, because the hourly cost drops on paper without a single minute of real work going away; all you end up with is an optimistic recipe costing that doesn't hold up when the payroll tax bill or the year-end payroll arrives.

With this method on the table, the number to look at before you set any price is how much labor weighs against total cost. Across the thirty items in the modeled case, labor is 63.3% of the total production cost. Let that number speak for itself: in pastry, it's almost never the sugar, the butter or the chocolate that decides whether a piece is profitable, but the production kitchen hours baked into it. How to turn this cost per piece into a selling price with a margin is the next rule in the chapter; for going deeper to the level of each preparation with full unit costing, the Food Cost + Menu Engineering Guide and the Food Cost Kit Pro cover it in more detail than needs repeating here.

Gross Margin and Food Cost Are the Same Rule, but Watch the Base

Let's get this out of the way early: gross margin on selling price and food cost are the same number seen from opposite ends. If your food cost is 32%, your gross margin is 68%, and there's no decision in between: it's one calculation told twice. The trouble is that almost nobody explains it this way, and the new pastry chef ends up chasing two targets that are really one, trying to bring food cost down on one side and push margin up on the other, as if they were two separate levers. They aren't. Move one and the other moves on its own.

In this guide's modeled case the target food cost is 32%, and from that comes, without you touching anything else, a target gross margin of 68%. Notice the verb: comes. You aren't asked for the two separately: you set ONE of them, whichever you prefer to work with, and the second is calculated for you. We work by entering through food cost because it's the number your supplier hands you first when an invoice goes up, but you could enter through margin and land in exactly the same place.

Now comes the part nobody tells you, and it will throw you the first time you cost a single item: that food cost is going to come out well below what the industry rule asks for an artisan pastry shop, which sets the target for ingredient cost at 30% to 35% of the selling price (Toast, a restaurant POS vendor, publishes 28% to 35% for bakeries; both are third-party estimates, not official figures). It isn't that your recipe costing is wrong. It's that the industry rule is counting things a single item's recipe costing doesn't see: the third-party products your front counter resells without you making them, the real waste in the display case that doesn't show up on any paper until you throw it out at the end of the day, the packaging that goes with every custom order, and the raw material increase that reaches you mid-quarter without warning. That's why this guide's financial plan isn't projected with the food cost of the single item: it's projected with the industry rule, which is stricter, and the gap between the two numbers, between what your recipe costing says and what the rule says, is your cushion. Don't spend it in the first month thinking you have margin to spare.

Be careful, though, with sources that publish "65-70% margin" without saying on what base: on selling price it equals that 30-35% food cost, but on cost it would be something else, and a much weaker one. That the 32% in this guide falls inside that band is no coincidence and no textbook whim: it's the same cushion from the previous paragraph, seen from the other side of the counter.

The Price per Serving of a Custom Cake, and the Fear of Raising Prices

A custom cake is quoted per serving, never per cake, and that changes the conversation with the customer from top to bottom. A whole cake isn't comparable from one shop to another: each one cuts it to a different size and a different number of servings, so if you quote "the cake" with nothing else, the customer can only put one absolute price next to another without knowing what's being compared. The serving is comparable from one shop to the next: you tell them what a serving costs and your price enters the conversation in a way that makes sense. Quoting per serving also forces you, before you say a number, to be clear on how many servings that specific cake yields, which is exactly what you need to know for the price to cover what it costs.

Let's go through the full example, with an item from the modeled case: the butter croissant. The total cost per unit, with labor already included, is $1.06. Of that total, the labor cost per unit is $0.82, so labor takes the big share of this piece's cost; the rest, up to the total, is the raw material and whatever packaging belongs to it. And the margin each unit leaves, at the price this guide works with, is $0.40. With those three numbers in front of you (total cost, labor cost and margin per unit) you see at a glance where your money goes on a piece that looks like "just flour and butter."

And here comes the antidote to the fear of raising prices, the fear that freezes anyone the first time they have to touch the menu board. The question that matters isn't "how many customers will I lose if I raise it?", but "how many units can I afford to lose without losing total margin?". With the margin per unit in front of you and the sales mix of your items (the weight each piece has in what you sell overall), that question stops being an opinion or a hunch from the night before and becomes a calculation. The guide gives it to you already built in the pack's spreadsheets, the "Mix and Average Ticket" and "Menu Decision" sheets, so you don't have to set it up from scratch every time you doubt whether to raise a price.

What you won't find in this chapter is how that recipe costing is built piece by piece beyond the example above, or the menu engineering that decides which items to push in the display case: that lives in the Food Cost + Menu Engineering Guide and in the Food Cost Kit Pro, which brings the unit costing of three pastry preparations.

The Three Routes for Eggs, and Why You Decide One per Preparation

With eggs, what you decide for each preparation is a food safety route, and the "Egg & TCS Decision" sheet in this pack runs it item by item (checked October 2026 against the FDA Food Code 2022, the model code each state adopts in its own edition). There are three routes. The first is baking or cooking the egg all the way through, so the finished product no longer carries raw egg: it's the route for almost all pastry that comes out of an oven. The second is serving the product as-is with raw or barely cooked egg, which in the Food Code brings a consumer advisory with it, and it isn't yours, because in a display case that's one more risk to explain at the register and it adds nothing to the piece. The third is replacing raw shell egg with pasteurized egg product, which is what solves the preparations that never see heat: mousses, cold whipped creams, uncooked meringues. Anything that doesn't go through one of the three isn't made with raw egg.

The route you choose carries consequences, and that's the part people look at too late, when the menu is already written. Whether a finished item needs temperature control isn't decided by the egg alone: the

Food Code calls it TCS (time/temperature control for safety), and whether a pastry counts as TCS depends on its pH and water activity (Food Code 1-201.10), which is why a plain croissant and a custard-filled one, even coming out of the same oven, don't behave the same. The TCS items go in the display case and the walk-in at 41 °F or below (Food Code 3-501.16), and if you keep them for more than 24 hours, ready-to-eat TCS food has to be date marked: 7 days at most at 41 °F or below, with the day you made it counting as day 1 (3-501.17). That's why you have to decide the route item by item and not once for the whole menu: the custard napolitana and the croissant come out of the same oven, and only one of the two drags cold storage and a clock along with it.

And that's why the egg and temperature decision sheet in this pack returns two separate outputs and not one: the legal limit, which the Food Code sets (41 °F and the 7-day date mark) and which you don't get to choose, and the shelf life you declare, which you set in your own food safety plan with your own tests and which the Food Code doesn't establish anywhere. Confusing the two is what leads to stamping the 7-day maximum on everything filled, which is neither what the code says nor what's good for you.

Batch costing for the thirty items, with labor included (opening-menu-and-recipe-costing.xlsx, "Labor Cost per Hour" sheet)

Ref	Item	Units per batch	Labor minutes per batch	Labor per unit ($)	Materials per unit ($)	Total cost per unit ($)	Food cost (%)
B1	Butter croissant	20	55	$0.82	$0.24	$1.06	16.2%
B2	Pain au chocolat (chocolate croissant)	20	55	$0.82	$0.42	$1.24	24.9%
B3	Custard *napolitana*	20	65	$0.97	$0.35	$1.32	21.0%
B4	Palmier	24	40	$0.50	$0.22	$0.72	14.2%
B5	Raisin snail (pain aux raisins)	20	60	$0.90	$0.31	$1.20	18.2%
B6	*Ensaïmada*	16	70	$1.31	$0.18	$1.49	10.2%
PI1	Napoleon (mille-feuille)	18	75	$1.25	$0.45	$1.69	13.7%
PI2	Éclair	24	65	$0.81	$0.34	$1.15	11.6%
PI3	Raspberry macarons	30	80	$0.80	$0.20	$0.99	10.3%
PI4	Fruit tart	20	85	$1.27	$0.52	$1.80	15.2%
PI5	Cream puff (profiterole)	40	60	$0.45	$0.20	$0.65	9.5%
PI6	Individual entremet (mousse cake)	16	95	$1.78	$0.82	$2.60	20.2%
T1	70% dark chocolate cake	12	45	$1.12	$1.15	$2.27	35.2%
T2	Cheesecake	12	30	$0.75	$0.91	$1.66	29.5%
T3	Apple tart	12	40	$1.00	$0.43	$1.43	14.7%
T4	Carrot cake	12	45	$1.12	$0.75	$1.87	25.1%
T5	Sachertorte	12	55	$1.37	$0.89	$2.26	25.8%
T6	Strawberries & cream cake	12	50	$1.25	$0.76	$2.00	23.8%
PA1	Baguette	40	35	$0.26	$0.17	$0.43	14.9%
PA2	Ciabatta	24	30	$0.37	$0.21	$0.59	13.9%
PA3	Sourdough boule	12	40	$1.00	$0.59	$1.59	15.8%
PA4	Sandwich loaf (pullman)	10	30	$0.90	$0.81	$1.71	26.4%

Ref	Item	Units per batch	Labor minutes per batch	Labor per unit ($)	Materials per unit ($)	Total cost per unit ($)	Food cost (%)
TP1	Rosca de Reyes (Three Kings bread)	12	90	$2.24	$2.60	$4.84	17.3%
TP2	*Torrijas* (Spanish Easter French toast)	30	70	$0.70	$0.26	$0.96	11.9%
TP3	*Buñuelos de viento* (Spanish cream-filled fritters)	60	75	$0.37	$0.17	$0.54	11.7%
TP4	*Huesos de santo* (marzipan "saints' bones")	40	85	$0.64	$0.32	$0.96	18.8%
TP5	*Panellets* (almond and pine-nut cookies)	60	90	$0.45	$0.69	$1.14	41.0%
TP6	Polvorones (Spanish shortbread)	50	55	$0.33	$0.16	$0.49	14.4%
TP7	Almond turrón (nougat)	20	65	$0.97	$3.10	$4.07	32.4%
TP8	*Mona de Pascua* (Catalan Easter cake)	14	80	$1.71	$2.01	$3.72	16.4%

The labor minutes and the weights are example data. Three items are copied from the Food Cost Kit Pro so that a customer who owns both products doesn't see two different costs for the same croissant.

Where the production kitchen's cost per hour comes from, parameter by parameter (opening-menu-and-recipe-costing.xlsx, "Settings" sheet)

Parameter	Value	Unit	Where it comes from	Annual employer cost ($)
TOTAL PRODUCTION KITCHEN	2.50	FTEs	sum of the three roles	$67,850.15
Annual hours actually worked	1,780.00	hours/year	assumption	
Productive hours as a share of the workday	0.85	of the workday	assumption	
Productive hours of the production kitchen per year	3,782.50	hours/year	calculated	
PRODUCTIVE HOURLY COST OF THE PRODUCTION KITCHEN	17.94	$/hour	calculated	

You can follow the chain from top to bottom: the 2.5 full-time equivalents of the production kitchen (Head Pastry Chef 1.0 + Pastry Cook 1.0 + Bakery Assistant 0.5), times the annual hours actually worked (after paid time off and holidays) and times the productive share of the workday, give the productive hours of the year; the annual employer cost of those 2.5 FTEs divided by those hours gives the hourly cost. Without the FTE row, the multiplication doesn't add up. The employer cost is the base pay from the wage table for the year, spread over 12 pay periods, plus the payroll taxes, workers' comp and benefits the employer pays (33% in the example), and it comes from the staff sheet in the same workbook. The *productive share of the workday is an assumption and is the most sensitive lever on the whole sheet: raise it and the hourly cost falls and the menu looks more profitable than it is.*

13. Your Team: How Many, Which Roles and What They Cost

The Six Pay Grades in the Case's Wage Table and Their Areas

Before you make the first job offer, you have to take on board an idea almost nobody arrives with: in the US there's no industry-wide agreement that tells you what to pay a pastry cook. The floor is set by law, at up to three levels (federal, state and, in many places, city), and above that floor what you pay is set by the local market you're hiring in. If you budget payroll with the federal minimum wage because it's the number you know, you're looking at the wrong figure from day one.

So this chapter can give real figures instead of generalities, the modeled case uses a wage table of its own: six pay grades, each with its monthly base pay. It's the case's EXAMPLE, not a legal schedule and not a survey of what US bakeries pay, and it lives in a green cell in staff-schedule-and-labor-cost.xlsx: the first thing you do when you open the file is replace it with what you'll actually pay where you're opening.

The case's wage table sorts the team into six pay grades, and each one carries its monthly base pay over 12 pay periods:

- Office and administration (degree-level): $2,167.35 a month.
- Management and supervisors, which is where the person who runs the production kitchen and answers for everything it produces belongs: $1,784.86 a month.
- Skilled specialists, the band for someone who already runs a production section or the main counter: $1,721.14 a month.
- Qualified staff, with production, packing, counter and delivery roles: $1,561.78 a month.
- Support staff: $1,490.53 a month.
- Auxiliary services: $1,490.53 a month.

The table also groups these six grades into three functional areas: PRODUCTION KITCHEN, FRONT COUNTER and ADMINISTRATION. For this guide's modeled case, with its four roles (Head Pastry Chef, Pastry Cook, Bakery Assistant and Counter Associate, with two people in that last role), the reading is straightforward: the Head Pastry Chef belongs in the production kitchen area, in management and supervisors or in skilled specialists depending on the real size of your team; the Pastry Cook, in the production kitchen, in skilled specialists or qualified staff; the Bakery Assistant, in the production kitchen, in support staff; and the two Counter Associates, at the front counter, somewhere between qualified staff and support staff, depending on whether they handle the register and custom orders or only serve customers. The table below shows this full crosswalk, person by person.

We don't publish a wage table city by city or state by state here, because there's no official figure at that level we could check for this edition, and printing a number without checking it is worse than not giving one. The method for finding yours is always the same: look up the minimum wage that applies where you'll open (federal, state and city, and you pay the highest), see what the bakeries, cafés and grocery-store bakeries around you are offering for the same role, and put the monthly pay you'll really offer for each grade, with the number of pay periods you'll really use, into the green cell of the workbook.

Who Sets the Floor: Federal, State and City Minimum Wages

The lowest pay grade in the case's table comes to $17,886.30 a year, which is $8.60 an hour over a 2,080-hour full-time year. The federal minimum wage, which Texas applies as its own, is $7.25 an hour: $15,080 a year working full time (Department of Labor, 2026). In Texas, the case's lowest grade clears that minimum, and the whole table, from $8.60 to $12.50 an hour, sits above it.

The conclusion to take from those two figures is simple and, even so, it gets missed all the time when people plan a business: in the US the minimum isn't one number. Federal law sets a floor, your state can set a higher one, and many cities set their own above that, and you pay whichever is highest. According to the Department of Labor's state table updated July 1, 2026, the minimum is $16.90 an hour in California; $17.00 in New York City, Long Island and Westchester and $16.00 in the rest of New York State; and $14.00 in Florida until September 29, 2026 (the rate was scheduled to rise on September 30, so check FloridaCommerce for the current one). Put the case's table next to those numbers and the answer is plain: every grade, from $8.60 to $12.50 an hour, would be below the legal minimum in California, New York and Florida. Paying it there wouldn't be cheap; it would be illegal. And check your city's minimum wage too, because it may be higher than your state's.

The legal floor isn't the market either, and that matters for a very concrete reason when you're opening. Nationally, the median pay in May 2025 was $17.86 an hour for bakers and $15.00 for fast food and counter workers (BLS, May 2025): even in Texas, the case's $9.93 for a Pastry Cook and $9.01 for a Counter Associate sit well below what half the country's bakers and counter staff earn. Whoever budgets the future team's payroll with the minimum wage, or with the case's figures, and then has to pay the local market to actually hire someone, comes up short from the first month in business. And that gap doesn't stay in payroll: it runs through the entire financial plan, because staff cost is one of the lines that weighs most on break-even, and a mistake here contaminates the cash flow forecast for the next twelve months.

One last warning, and it's about expiry. Minimum wages are revised, at the state and the city level, and what the market pays moves with them, so the figures you've just read have a shelf life: the state and city minimums, every time a new rate takes effect where you are; the market pay, every time the bakery down the street raises what it offers. That's why they live in editable cells in the workbook and not as fixed text in this book. Before you make a job offer, check the Regulatory Appendix for where to look up the current rate, and confirm that nothing has changed since the figures cited here.

From Gross Pay to Employer Cost: the Number That Surprises People Most

The wage table says what each person earns. What you need, to build a budget, is something else: what it costs you to have them on your payroll, and that gap is the one that surprises anyone opening a first pastry shop who budgets by eye with gross pay.

The modeled case in this guide staffs five people across four roles: a Head Pastry Chef, a Pastry Cook, a Bakery Assistant and two people in the Counter Associate role, who take turns at the counter. Not all five work full time: added up, the team's full-time equivalents (FTEs) come to 3.5, because the counter shifts are covered with part-time schedules that fit the opening hours. The job description for each of those four roles isn't written here: once you're open, your daily task checklists cover it, and what this guide builds is the sizing (how many people, in which role and on what schedule) and the hiring plan that comes out of it.

The chain that turns a wage into a real cost is always the same, person by person: you start from the monthly pay of that person's grade in the case's wage table, adjust it to their FTE if they don't work full time, and on that adjusted monthly pay you add the 33 percent the case budgets for payroll taxes, workers' comp and benefits. That pay plus the 33 percent, multiplied by the months of the year, is that person's employer cost. The table below runs this calculation for the five real roles in the modeled case, one by one, so there's no need to repeat it here line by line; what you do need to pin down are the three numbers that sum up the whole chapter, because they're the ones you'll compare with your own sales forecast.

The first is the sum of annual pay for the whole team: $69,756.45. The second is what payroll taxes, workers' comp and benefits cost per year on top of that: $23,019.63. And the third is the annual staff cost at cruising speed: $92,776.08. That 33 percent is exactly what gets forgotten by anyone who budgets with gross pay, so here's what's inside it in the US: the employer's share of FICA (6.2% Social Security plus 1.45% Medicare, 7.65% in all, IRS 2026), federal unemployment tax (FUTA, 6.0% on the first $7,000 of each employee's pay, which drops to 0.6% with the credit for state unemployment tax), state unemployment tax (SUTA, whose rate for a new employer is set by your state workforce agency: in California, for example, 3.4% on the first $7,000 plus a 0.1% training tax, EDD 2026) and workers' compensation insurance. Those payroll taxes and workers' comp come to roughly 10 percent of pay; the rest of the case's 33 percent is benefits, and it depends on whether you offer health insurance and paid time off: without health insurance, the figure comes down. Workers' comp is required in almost every state; Texas is the exception, since private employers there can choose not to carry it, but a non-subscriber has to report that to the state and report any work injury that causes more than one day of lost time (Texas Department of Insurance, 2026), and the case keeps it inside its 33 percent. You pay all of this on top of the paycheck, even though the employee never sees it on their pay stub.

Per month, the modeled case's staff cost is $7,731.34. That's the number you have to hold up against your monthly sales forecast, not the gross payroll: the ratio of staff cost to sales is the one that sinks a pastry shop's plan most often, because a production kitchen with expensive equipment and long hours needs more hands than a pass-through shop, and in the case those hands cost a third more than their paychecks once payroll taxes, workers' comp and benefits come in. When you build your own financial plan, this is the first ratio to watch month by month, not at year-end.

The Structural Problem: You Can't Find People

Everything above assumes you find those five people. The part that doesn't show up in any wage table is that this is also a hard trade to staff. You work weekends, you work holidays and you get up before dawn precisely on the days when everyone else is asleep or celebrating: that's the structure of the business, not one bad shift, and anyone who's been in the trade for years tells it the same way, in the same words.

A European example sums it up well, and the logic travels: Matias, who owns a pastry business in Spain, said in an interview published there in November 2025 that his team has grown to 47 people, 10 of them family. That one in five positions in a production operation that size is filled by the family itself is no accident: in a trade where it's hard to find people willing to work weekends and early mornings, the inner circle ends up being the first reserve team, even in businesses that have grown far beyond the size of this guide's modeled case.

Federal wage data show the same tension from another angle: the national median runs from $17.86 an hour for bakers to $21.19 for first-line supervisors of food preparation and serving workers and $30.03 for chefs and head cooks (BLS, May 2025), and on top of that national figure each market adds its own range by experience, from the helper who just arrived to the pastry chef with years at the bench. That spread is the other face of the same problem: when skilled labor is scarce, the price you have to pay for each role climbs and varies a lot depending on who you manage to convince.

That's where the opening decision you have to make before your first hire, not after, comes from: if you don't have the production kitchen craft yourself, there are only two paths, hire it or learn it, and neither is free or immediate. Hiring a Head Pastry Chef with real experience takes time to find and carries a payroll cost you've already seen in this chapter, which, judging by the national figures above, will likely be well above the case's. Learning it yourself has a different cost, in months and in training, before you can open the doors. Both routes have a date and a cost, and both have to go into your opening timeline, not stay as a loose task for "we'll see": in the timeline chapter (chapter 20) you'll see where each one fits, depending on the path you choose.

From Pay Grade to Employer Cost, Person by Person (staff-schedule-and-labor-cost.xlsx, "Hours and Cost" sheet)

Id	Person	Area	Pay grade	Monthly pay for the grade ($)	FTE	Annual pay ($)	Annual employer cost ($)	Employer cost per hour worked ($)
P1	Head Pastry Chef	PRODUCTION KITCHEN	Management and supervisors	$1,784.86	1.0	$21,418	$28,486	$16.00
P2	Pastry Cook	PRODUCTION KITCHEN	Skilled specialists	$1,721.14	1.0	$20,654	$27,469	$15.43
P3	Bakery Assistant	PRODUCTION KITCHEN	Support staff	$1,490.53	0.5	$8,943	$11,894	$13.36
P4	Counter Associate A	FRONT COUNTER	Qualified staff	$1,561.78	0.5	$9,371	$12,463	$14.00
P5	Counter Associate B	FRONT COUNTER	Qualified staff	$1,561.78	0.5	$9,371	$12,463	$14.00
TOTAL for the team					3.5	$69,756	$92,776	

The wage table is the modeled case's example, not a legal schedule or a survey of US pay: it clears the $7.25 federal minimum that applies in Texas, and it would be below the state minimum in California, New York and Florida. Replace it with what you'll really pay. The gap between the annual pay column and the employer cost column is the 33% the case budgets for payroll taxes, workers' comp and benefits, and it's the number that surprises people most when they run their first payroll. The cost per hour divides the employer cost by 1,780 hours actually worked a year (after paid time off and holidays) for each full-time position.

The Six Pay Grades in the Case's Wage Table and Their Areas (3-year-financial-plan.xlsx, "Staff" sheet)

Group	Name	Monthly pay ($)	Annual pay ($)	Functional areas	Roles the table lists
Group 1	Office and administration (degree-level)	$2,167.35	$26,008	ADMINISTRATION	-
Group 2	Management and supervisors	$1,784.86	$21,418	PRODUCTION KITCHEN / FRONT COUNTER / ADMINISTRATION	head of the production kitchen
Group 3	Skilled specialists	$1,721.14	$20,654	PRODUCTION KITCHEN / FRONT COUNTER	lead production baker, section lead, head counter associate
Group 4	Qualified staff	$1,561.78	$18,741	PRODUCTION KITCHEN / FRONT COUNTER	production baker, lead packer, counter associate, delivery driver
Group 5	Support staff	$1,490.53	$17,886	PRODUCTION KITCHEN / FRONT COUNTER	production assistant, finisher, counter assistant
Group 6	Auxiliary services	$1,490.53	$17,886	PRODUCTION KITCHEN / FRONT COUNTER	general laborer, cleaner, stock clerk

Monthly pay over 12 pay periods; per hour, over a 2,080-hour full-time year, the six grades come to $12.50 · $10.30 · $9.93 · $9.01 · $8.60 · $8.60. This is the modeled case's table, not a legal schedule: check it against your state and city minimum wage before you use it, and update it whenever the minimum or the local market moves. It lives in an editable cell for that reason.

14. Early-Morning Shifts and Wage-and-Hour Law

Records of Hours Worked: Paper or a Spreadsheet Will Do

The obligation is written down, and you need it clear before you look at schedules: under the Fair Labor Standards Act (FLSA), you have to keep a record of the hours each nonexempt employee (in practice, everyone you pay by the hour) works each day and the total for each workweek, keep payroll records for at least three years and the time records your pay is calculated from for two, and pay overtime, at least one and a half times the regular rate, for every hour over 40 in a workweek (Department of Labor, Fact Sheet #21 and overtime rules). Federal law has no daily overtime and no extra pay for weekends, holidays or night work as such: what counts is the 40 hours in the week. It isn't trade gossip: it's the letter of the law, and that's why the schedule you design for your production kitchen has to be born ready to be documented this way from day one.

Now the part whoever's trying to sell you a system won't mention: federal law doesn't require any particular timekeeping method. In the Department of Labor's own words, "Employers may use any timekeeping method they choose": a time clock, a timekeeper who tracks hours, or workers writing down their own times, and "any timekeeping plan is acceptable as long as it is complete and accurate." Translated to a production kitchen of four or five people: the decision is yours, and a paper timesheet signed every day, or a shared spreadsheet with clock-in and clock-out times, complies just as well as a paid app, as long as it's reliable and you can produce it when it has to be shown. Before you put that expense in your startup budget, ask yourself whether you need it or whether it's a defensive purchase against something that doesn't exist yet.

And here's the warning without a date, because giving one would mean making it up: states and cities add their own wage-and-hour rules on top of the FLSA, and they change. California, for example, requires a 30-minute meal period once the workday passes five hours and a 10-minute rest break for every four hours worked or major fraction, with one hour's pay as the penalty for each day a break is missed (California Labor Commissioner); federal law doesn't require breaks at all. So an eight-hour early bake shift that works as written in Texas has to make room for its breaks in California. The sensible move is to check your state labor department's rules before you commit money to specific software or lock in your shifts: what the FLSA asks of you is the floor, not the whole picture, and by the time you open, the rules where you are may have changed. The Regulatory Appendix of this guide lists where to check them; here it's enough not to rush into buying something the law isn't asking you for yet.

The Production Kitchen Shift vs. the Counter Shift, and How They Overlap at Peak

A pastry shop's schedule runs to two rhythms that almost never line up, and you have to design them as if they were two businesses that share the wall behind the counter. The production kitchen starts before dawn, because everything has to be made, cooled and ready before the doors open: puff pastry, sponge cakes, creams and everything that needs the oven and resting time gets produced while the street is still empty. The front counter, on the other hand, lives in the morning and afternoon, which is when customers come in, custom orders get taken and the display case gets restocked as it sells. The critical point of the schedule isn't either shift on its own but the stretch where they overlap: the production kitchen person is still finishing the last bake while the counter person has already opened the door, and that overlap is what keeps any moment of the open day from having nobody behind the counter.

In this guide's modeled case, that design comes down to concrete figures you can copy into your own schedule. The planned hours per week for the whole team are 140, spread across 3.5 full-time equivalents: that's not 3.5 people working full time, but the sum of the whole team's hours divided by what a full-time position weighs, which in this model is 40 hours a week and 1,780 hours actually worked a year (after paid time off and holidays). Notice that 40 is also where federal overtime starts: any week a full-timer goes over it, the extra hours cost you time and a half. The business opens 6 days a week, and the number that really matters is this one: days open with nobody at the counter, 0. That zero isn't a nice figure to show off in a meeting; it's the condition that has to be met before you make a single job offer. If that number comes out different from zero on any day of the week when you build your own schedule, the schedule is wrong, not the business.

Within those 140 hours, the roles carry very different weight. The Head Pastry Chef has 40 hours a week planned, a whole full-time week, because that's the person holding up production in the kitchen from start to finish. The afternoon Counter Associate, on the other hand, has 20 hours a week planned: a part-time schedule designed to cover exactly the busiest stretch at the counter without paying for a full-time position that stretch doesn't need. That's the rule to apply in any schedule: every contracted hour answers to a specific stretch of coverage, not to a round number that sounds good.

And the schedule isn't fixed all year. During peak season (the days you already know will send custom orders through the roof, with Christmas as the most obvious example) the split of hours between production kitchen and counter changes, and extra staff are planned weeks ahead, never the day before: hiring temporary help in a rush means training someone in the middle of the peak, which is the worst possible moment to do it. If you open in a city with a predictive scheduling law, which governs how far ahead you post schedules and how you change them (San Francisco, Los Angeles, Chicago, Seattle, Philadelphia and New York City have one, and Oregon has a statewide law), planning ahead stops being only good practice; most of these laws only cover large employers or chains, so an independent pastry shop usually falls outside them, but check your city's thresholds. The chapter on the six peaks of the year (chapter 15) goes into the detail of how to size that extra staff; what has to be settled here is that the base schedule (the one for a normal day) and the peak schedule are two different exercises, and that the second one is closed in advance, not improvised on top of the first.

Workplace Safety in the Production Kitchen, and the Rules for Minors

This is a section this edition treats with honesty about its limits: workplace safety rules aren't covered here in depth, and that's why you won't find exposure limits, thresholds or regulation numbers, with one exception, the federal rules on minors, which are clear-cut. What you can take with you is the list of what to ask your workers' comp carrier or your insurer about safety training before you open, and what to bring to OSHA's On-Site Consultation Program, a no-cost, confidential service for small and midsize businesses that is separate from OSHA enforcement (OSHA). These are the risks that come with a production kitchen, and nobody should discover them by accident:

- Continuous exposure to flour dust in the air of the production kitchen, especially in the mixing and sifting areas.
- Manual handling of loads, specifically the 50 lb bags of flour and other bulk ingredients that have to be moved, lifted and stored every week.
- Constant work next to hot surfaces (ovens, griddles, fryers if you have them) and next to machinery with moving parts, such as mixers and dough sheeters.
- The early bake shift and who can work it: no one under 16 may do any baking or work before 7:00 a.m. (14- and 15-year-olds can only work outside school hours and between 7:00 a.m. and 7:00 p.m., or 9:00 p.m. from June 1 to Labor Day), and no one under 18 may operate, set up, adjust or clean a power-driven mixer, dough sheeter or cookie machine, with narrow exceptions such as light countertop mixers (Hazardous Occupations Order No. 11, Department of Labor Fact Sheet #43), so in practice the early bake shift is adults only.

Solving this isn't your job as the reader of a chapter in a book: it's the job of your insurer, of the consultation service and of whoever trains your team, and this list is exactly what you have to put on the table before your first hire. What can be said without any figure at all is that these four points aren't a paperwork formality: they're the real conditions your team will work in every day, and they deserve the same attention as the rest of the project.

The Owner's Hours Are a Life Decision

There's a subject the trade rarely talks about, and it's worth putting it on the table here without dressing it up: getting up at four in the morning isn't a charming anecdote about the craft, it's the variable that pushes the most people out of the business over time. You don't solve it by toughing it out; you solve it when you design the schedule, before the business itself imposes hours on you that you never chose. If you let the schedule build itself as you go, you end up being the one who covers every gap, and the gap that comes up most often is always the one at four or five in the morning.

There's a documented case that serves exactly this purpose, and although it's European, the lesson isn't: Matias, owner of a fourth-generation family bakery founded in 1902 on the Spanish island of Mallorca, explains in an interview published in the Spanish press (November 21, 2025) how sizing the structure to what the business really needed, and not to the maximum the space could hold, improved the profitability of the whole. Today that business spreads 47 employees across its production kitchen and shops, 10 of them family. The figure to keep isn't the number of people itself but the idea it illustrates: the size of the team isn't the goal; the goal is the balance between what you produce, what you sell and the life that business lets you lead.

Brought down to your own schedule, that balance comes down to three very concrete decisions, and they're yours, nobody else's:

- Which day of the week the counter closes. With 6 opening days planned in the modeled case, the missing day matters as much as the six that are there: it's the one that gives you back time for your life without touching a single one of the 140 planned hours of production and sales.
- Which part of production gets done ahead with cold. Freezing or refrigerating doughs and bases in advance is what keeps the early bake shift from always depending on the same person working the same hours seven days a week.
- Who opens when the owner isn't there. If the answer to that question is "nobody, because I always open," you don't have a schedule: you have total dependence on your own physical presence, and that's the first thing to solve before you make the first job offer.

These three decisions are what turn the schedule from a sheet of hours into a sustainable way of life. And this section has to close with the exact border of what belongs to each tool: here you decide the size of the team and the design of the shift (how many people, on what hours, with what overlap); the split of work inside the production kitchen once it's open, day by day, with its weekly production plan, belongs to your daily task checklists. What this chapter builds is the decision that comes first; the daily sheet of who does what inside that schedule, once it's in place, comes later, and it comes from another tool.

The Modeled Case's Weekly Schedule (staff-schedule-and-labor-cost.xlsx, "Weekly Schedule" sheet)

Person	Area	Shift	Planned hours per week	Contracted hours per week	Difference
Head Pastry Chef	PRODUCTION KITCHEN	Early bake (04:30-12:30)	40	40	0

Person	Area	Shift	Planned hours per week	Contracted hours per week	Difference
Pastry Cook	PRODUCTION KITCHEN	Early bake (05:00-13:00)	40	40	0
Bakery Assistant	PRODUCTION KITCHEN	Morning (07:00-11:00)	20	20	0
Counter Associate A	FRONT COUNTER	Morning (08:00-12:00)	20	20	0
Counter Associate B	FRONT COUNTER	Afternoon (16:30-20:30)	20	20	0
			140	140	

The difference column has to be zero before you make any job offer: if it comes out positive, you're planning more hours than you're hiring for.

Production Kitchen and Counter Coverage, Day by Day (staff-schedule-and-labor-cost.xlsx, "Weekly Schedule" sheet)

Item	Monday	Tuesday	Wednesday	Thursday	Friday	Saturday	Sunday
TOTAL for the team	16	28	28	28	28	12	0
PRODUCTION KITCHEN hours per day	12	20	20	20	20	8	0
FRONT COUNTER hours per day	4	8	8	8	8	4	0
Counter coverage	Covered	Covered	Covered	Covered	Covered	Covered	Closed

The counter's closing day is an assumption of the modeled case. The coverage row is the one to check before you close the schedule: no open day can be left with nobody at the counter.

15. The Six Peaks of the Year

The Peak Multiplies Production with the Same Equipment

Matias, the Mallorca baker you met in chapters 13 and 14, put numbers on it in an interview published in Spain on November 21, 2025: his *ensaïmadas* (Mallorcan spiral pastries) go from 25-30 a day to 150-200 in high season, individual pastries go from 50-60 to 500-600, and at Christmas the same production kitchen, with the same equipment, turns out between 7,000 and 8,000 bars of turrón (almond nougat). The rule that testimony leaves you matters more than any single figure in it: a peak multiplies production by 5 to 10 times, not by 1.5. It isn't an anecdote about one particular kitchen; it's the shape of the year in pastry, and anyone who sets up the business with an ordinary day in mind is getting ready to fail on exactly the days that bring in the most money.

In this guide's modeled case, the Three Kings Day campaign (Día de Reyes, January 2-6) calls for 2,856 pieces a day. The set of equipment that makes up the case can turn out 1,200 a day during the campaign, which leaves a daily deficit of 1,656 pieces: that's the gap between what the market asks for on a Three Kings Day and what the kitchen, sized the way it is, can produce on its own that same day.

That's where the buying consequence comes from, and it's the one that changes how you choose the oven, the blast chiller or the mixer: equipment isn't sized for the ordinary day, but by knowing exactly how much deficit you're willing to accept in each campaign and what you'll cover that gap with. Buy equipment to cover the whole peak with no help and the production kitchen sits oversized most of the year; buy only for the ordinary day and the business is knocked out of the game in exactly the week that pays for the rest of the calendar. The right call sits in between, and you make it knowing the deficit number, not eyeballing it once the campaign has already started.

How Much Each Campaign Weighs on the Year

The six campaigns on the calendar weigh 7.0% of the year's sales in the modeled case and add up to $22,479 in sales before sales tax. From that figure you have to separate out what the campaign adds: the incremental sales, $21,270. And here you need to be clear about what they're measured against, because it's the reading people get wrong most often: incremental sales subtract what that same star product would sell OUTSIDE the campaign, not the total sales of an average day. That's why for Three Kings Day the incremental figure equals the total (the Rosca de Reyes isn't sold the rest of the year), while for Valentine's Day you do subtract the macarons you sell on any given Tuesday. The gap between the two figures is small because almost everything sold during a campaign is business that wouldn't exist without it; spreading that money across twelve months isn't the same as concentrating it into a few weeks, and that's why the share of the year doesn't tell the whole story.

The Three Kings Day campaign alone weighs 3.7% of the year's sales in five days (1.7% of the days you're open), and a Three Kings Day campaign day brings in 2.2 times what an ordinary day does. Added to the rest of the month, it's what makes January the highest month on the calendar, with 11.2% of the year. That's why those five days hold up the rest of the calendar: the margin you make or lose on those days can't be made up later, because there's no other moment in the year with that much demand waiting. And the size of the occasion isn't a quirk of this shop. In the US the rosca shares its season with the king cake, which runs from Epiphany (January 6) to Mardi Gras, and US searches average about 90,500 a month for "rosca de reyes" and 110,000 for "king cake" (DataForSEO, October 2026). That's interest, not units sold, but it tells you the occasion is big and that customers go looking for it. Expect the supermarket in-store bakeries and the chains near you to chase the same occasion, and check what they charge before you set your own price: that's the price you're up against when you sell to someone who doesn't care who baked it.

And here's the opposite case, the one that surprises anyone who plans without looking at the numbers: some campaigns with a big name on the calendar weigh very little on the year. Valentine's Day and Mother's Day are record-spending holidays nationally, with $29.1 billion and $38 billion expected in 2026 (NRF), and in the case they come to 0.3% and 0.4% of the year: a national headline isn't your counter's sales. Treating them the same as Three Kings Day (with the same ingredient order, the same extra staff, the same strain on cash) is what throws off purchasing for the rest of the year: you spend ammunition where it isn't needed and run short where things get tight. The same reading works the other way for the two big US holiday rushes. Thanksgiving and Christmas aren't campaigns in this model, because the case already counts them in its monthly curve (November at 1.08 and December at 1.24 times an average month, chapter 2); if they weigh more than that where you are, put them in place of the campaign that weighs least on your year.

The Capacity Deficit and the Extra Staff

The modeled case's production kitchen can't handle any of the six campaigns with its base equipment: that's the number you have to read correctly. It doesn't mean the business doesn't work or that the plan is badly built: it means that in each of the six you have to decide which lever closes the gap between what you sell and what the kitchen turns out on its own.

The levers, from least to most expensive, are these:

- Get ahead on production with cold: freeze, as early as possible, whatever the recipe allows, so that on peak day all that's left is to finish and sell.
- Lengthen the shift: add hours to the same team before you add people.
- Bring in extra staff: add hands for the tasks you can't get ahead on or freeze.
- Cap custom orders: the last lever, and the only one that gives up sales instead of spending money to produce them.

Which lever to use in each campaign depends on what you can freeze of what you sell in it: a product that holds up well frozen pulls the first lever and saves on extra staff; one that has to be assembled or finished the same day pulls the last two. That decision, campaign by campaign, is what separates a realistic purchasing plan from one built on gut feeling. And if your extra hands are high school students on winter or spring break, remember chapter 14: under 16 they can't bake, and under 18 they can't run the mixers or the dough sheeter.

The cost of extra staff for the whole year, adding up the six campaigns, is $3,795.51. That figure comes from multiplying the extra hours each peak requires by the employer cost per hour, not by the gross wage the worker sees: it includes payroll taxes, workers' comp and benefits and the rest of the costs that come with every hour you hire, which is the number that really has to go into your cash plan. In the case, that's $13.36 per hour worked, the employer cost of a support-staff hire (the same as the Bakery Assistant's), across 284 extra hours in the year. The breakdown of that cost by role and by hour is in the team chapter, chapter 13.

The Cash Tied Up in Seasonal Stock

There's a part of the big campaign that never makes a headline, and it's the one that squeezes your cash: the flour, the butter, the almonds and everything you need to produce in volume doesn't arrive the day before you sell, it arrives weeks before. You order from your supplier early enough to be delivered on time, you pay or commit to paying on the agreed terms, and those goods sit waiting in storage while you build up production bit by bit. That money is idle at exactly the worst moment: when you still haven't made the campaign's sales and your day-to-day cash is still that of a normal month. It isn't a profitability problem, it's a cash flow problem, and they're different things: you can have a campaign that makes money and still run out of cash to meet a payroll if your ingredient purchase got too far ahead of the calendar.

In this guide's modeled case, the cash tied up in campaign ingredients comes to $3,856.99. It's money that leaves the account before the first dollar of the campaign comes in, and it stays out of play for as long as seasonal production lasts: you can't use it for anything else in that stretch of the year, not even to cover a surprise in another line. The further ahead of your first campaign sale you buy, the longer that money is out of your pocket and the more days of idle cash you pile up before you see the first dollar come back. For Three Kings Day, which the case buys six weeks ahead, that's 47 days; for First Communions and graduations, 55.

Here's the decision, and it's the one almost nobody looks at: each campaign's purchase lead time is an editable cell in your planning (the purchase lead time column, in weeks, on the "6-Peak Calendar" sheet), not a fixed fact of the calendar. You can buy the big campaign's ingredients with more lead time or with less, and that decision doesn't change a single sale, a single customer or a single cake that goes out the door. All it changes is how long your money sits idle in storage instead of in your account. Cutting the purchase lead time by a whole week, as long as your supplier's logistics allow it, takes seven days off the idle cash and directly reduces the cash tied up, without touching a dollar of the campaign's sales or of the incremental sales it really adds over what you'd sell in a normal month. It's the cheapest lever you have: it costs no money, it costs a call to your supplier to renegotiate the delivery schedule.

Put another way: two pastry shops with exactly the same Three Kings Day sales can have completely different cash needs just because of when they placed their ingredient order. The one that buys further ahead than it needs to gains nothing in return: it just ties up more money for longer. Reviewing that date campaign by campaign, before you sign the order, costs nothing, and it's the first question to ask when you prepare each of the year's six peaks.

De-seasonalizing: What You Can Move and What You Can't

De-seasonalizing sounds as if you could flatten the whole year, and you can't: there are three things you can move and one that never moves. The first thing you can work on is the advance order: the earlier a customer's order goes into the book, the sooner you know how much you'll need to produce and the less you have to rely on an eyeballed forecast the day before (Thanksgiving pie pre-orders run on exactly that logic). The second front is selling the seasonal product outside its season: in the US the rosca already has a wider window than its date, since the king cake season runs from Epiphany to Mardi Gras, and smaller sizes and gluten-free or dairy-free versions are worth testing before and after the exact date, although we have no US figure for how big that demand is. You don't have to wait for the peak to sell something the customer associates with that date; part of that demand can be pulled forward or stretched out if you have the product ready before and after the exact day. The third front is selling wholesale: if your production capacity lets you make more than you sell at your own counter during the campaign, supplying cafés and other shops spreads that volume across more selling days and makes steadier use of the same equipment you already bought for the peak. It comes with its own rules (a full label on what you package for them, and the 50% line past which you need an FDA registration), which chapter 17 covers.

What you can't de-seasonalize, and there's no way around this, is the date on the calendar. Three Kings Day is Three Kings Day: the Rosca de Reyes belongs to January 6, and the king cake season can stretch the window around it, but the peak days don't move. That concentration of demand into a few days doesn't shift to another week of the year however much it would suit you for spreading the workload: your customers want their rosca on January 5 and 6, not in March.

So real de-seasonalizing isn't about fighting the calendar, it's about managing better what happens around it: taking orders ahead, stretching the selling window for the seasonal product and opening a wholesale channel. The calendar itself (which campaign is next, when to start each task and what has to be ready each week) belongs in your annual task calendar and your daily task checklists, and there's no need to repeat it here. What this guide brings is the other half of the equation: the dollars each campaign ties up, the dollars it earns you over what you'd sell without it, and the honest answer to whether your business, set up the way it is, can handle the peak or needs adjusting before it arrives.

What Each Campaign Weighs on the Year (seasonal-peaks-planner.xlsx, "Share of the Year" sheet)

Campaign	Campaign days	Campaign sales before sales tax ($)	Share of the year (%)	Incremental sales before sales tax ($)	Dollars per campaign day	Times a normal day's sales
Día de Reyes (Three Kings Day)	5	$12,000	3.7%	$12,000	$2,400	2.2
Valentine's Day	2	$993	0.3%	$630	$496	0.5
Mother's Day	4	$1,257	0.4%	$1,047	$314	0.3
Easter (Holy Week)	8	$4,015	1.2%	$4,015	$502	0.5
First Communions and graduations	20	$2,164	0.7%	$1,527	$108	0.1
All Saints' Day and Día de los Muertos	3	$2,051	0.6%	$2,051	$684	0.6
TOTAL FOR THE SIX CAMPAIGNS	42	$22,479	7.0%	$21,270		

Campaign sales include what you would have sold anyway; incremental sales are what the campaign adds. When you decide on extra staff and purchasing, incremental sales are what count. The Mother's Day row covers both Día de las Madres (May 10) and US Mother's Day (the second Sunday in May).

Capacity Against Demand, Campaign by Campaign (seasonal-peaks-planner.xlsx, "Peak Capacity vs Demand" sheet)

Campaign	Factor over a normal day	Pieces demanded per day	Capacity during the campaign	Daily deficit	Kitchen hours it would take	Can you handle it?	Extra people needed
Día de Reyes (Three Kings Day)	6.0	2,856	1,200	1,656	47.4	No	4
Valentine's Day	1.8	857	600	257	14.1	No	1
Mother's Day	1.9	904	600	304	15.0	No	1
Easter (Holy Week)	2.4	1,142	840	302	19.0	No	1
First Communions and graduations	1.6	762	600	162	12.7	No	1
All Saints' Day and Día de los Muertos	2.6	1,238	960	278	20.4	No	1

Capacity during the campaign already counts the longer shift. When the hours it would take go beyond the hours in a day, the campaign won't fit even if you work the whole day: you have to get ahead on production with cold or cap custom orders.

What Each Campaign Costs and What It Ties Up (seasonal-peaks-planner.xlsx, "Extra Staff and Cash" sheet)

Campaign	Extra staff	People the deficit would call for	Does the extra staff cover it?	Total extra-staff hours	Extra staff cost ($)	Campaign ingredient purchase ($)	Days the cash sits idle	Incremental result ($)
Día de Reyes (Three Kings Day)	3	4	No	120	$1,603.74	$2,079.04	47	$8,300.62
Valentine's Day	0	1	No	0	$0.00	$102.18	23	$564.76
Mother's Day	1	1	Yes	16	$213.83	$442.48	25	$462.83
Easter (Holy Week)	1	1	Yes	40	$534.58	$478.58	36	$2,998.46
First Communions and graduations	1	1	Yes	60	$801.87	$515.71	55	$356.55
All Saints' Day and Día de los Muertos	2	1	Yes	48	$641.50	$239.00	31	$1,169.16

Extra staff is the people you HIRE; the people the deficit would call for are the ones you'd need to close it completely. When the two don't match it isn't an error, it's a decision: on Valentine's Day you cover it with the base team, and for Three Kings Day you accept being one person short and make up for it by getting ahead on production with cold. The hourly cost of extra staff is EMPLOYER cost, with payroll taxes, workers' comp and benefits included, not gross pay. And the incremental result subtracts the extra staff, the ingredients for the incremental units and the financing cost of the idle cash.

16. Custom Orders, First Communions and Graduations as a Business Line

Bringing In Orders and Validated Demand

The custom order is the best-margin line in the whole pastry shop and, at the same time, the worst planned. Nobody designs it: it just shows up. One customer asks about a birthday cake, another wants sweets for a First Communion or a graduation party because they saw a photo on social media, a third comes in because a neighbor recommended you. It comes in by word of mouth and through social media, almost never through a planned campaign, and that's why almost nobody measures it for what it is: a sales channel with its own weight, its own margin and its own risk. In this guide's modeled case, custom orders make up 14% of sales, with $45,108 in annual sales and a contribution margin of $30,673. It isn't a sideline to the counter: it's a part of the business that deserves its own P&L. And the demand is out there: US searches average about 49,500 a month for "custom cakes" and 18,100 for "graduation cake", which peaks at about 90,500 in May, while "first communion cake" peaks at about 18,100 in April (DataForSEO, October 2026).

And that P&L is clear about margin. The custom-order channel's gross margin is 70%, and its contribution margin, once you take off the cost to serve, comes to 68%. The gap between the two, barely 2 points of cost to serve, is what makes custom orders such a profitable channel in the modeled case: almost everything the gross margin brings in reaches the bottom line, because there's no display case to restock, no display waste and nobody standing idle waiting for a customer. The counter carries those costs by its very nature (a display case stocked all day, product on show that may not sell, someone always at the register), but in the model they don't sit in a cost-to-serve line: the display waste is already inside its lower gross margin, 68%, and the case and the staff are fixed costs. That's why, at the contribution line, the two channels come out even, at 68% each. That's exactly what you have to look at before you repeat the stock line that "custom orders leave more margin." In this specific case they do at the gross line, because they're made to order with no display waste, and they hold on to it because their cost to serve is low; they don't by definition, and you need the numbers worked out before you build your sales pitch on that idea.

Before you build out the production kitchen, it's worth asking whether that demand already exists or whether you have to create it from scratch. Anyone who's been taking custom orders from home for a while (under their state's cottage food law, chapter 9, baking in their own kitchen for a circle of people that kept growing) doesn't come to this business with a hypothesis: they come with demand already validated and a list of customers who have paid for their work before. That's an asset, and it belongs in the plan just as the furniture or the ingredients do. Opening a production kitchen trusting that custom orders will show up because the neighborhood has foot traffic isn't the same as opening it with forty families who already know what you make and how you make it. The first situation is a bet; the second is a book of business already won, even if the orders don't have delivery dates yet.

That earlier list also changes how you work out the first year. Without that history, you'll build your custom-order curve on a promise; with it, you build it on a real pattern of what people order, when they order it and how much they're willing to pay. That pattern, even if it's homemade, kept by hand in a notebook or on your phone, is worth more than any optimistic projection, and it's the first thing to bring to the table when the question is whether the custom-order channel will carry a real share of sales from the first month or take a while to get going.

Deposits and Down Payments

The operating rule is simple to state and hard to hold to if it isn't explained well: a custom order is booked with a deposit, and the deposit isn't a sign of distrust toward the customer. It's what pays for the ingredients for that specific order. When someone orders a large cake for three weeks from now, that cake needs chocolate, fruit, couverture and kitchen hours booked in advance, and all of that has to be bought and planned before the customer picks anything up. Asking for a deposit isn't putting up a barrier for the customer: it's passing on to them part of the risk of that advance purchase, which otherwise the business carries alone.

And that's where the real effect on cash shows. With a deposit, the custom-order channel gets paid before it produces: the customer's money comes in, the ingredients are bought with that money and the order is produced with its margin already secured. Without a deposit, exactly the opposite happens: you produce with the business's own money, tie it up in ingredients and kitchen hours, and only get it back when the customer pays at pickup, if they pick up at all. The difference between those two scenarios is what holds up (or sinks) the cash of an entire campaign, not just of a single order. You have to look at it with the campaign's cash forecast in front of you, because a month of First Communion and graduation orders without deposits gets financed entirely out of day-to-day cash, and that cash has other bills to pay in the meantime.

It's true that most of a pastry shop's business is direct sales: the customer comes in, chooses, pays and leaves, with no payment terms and no invoices outstanding. Matias, the European example from chapter 15, describes it well in the same interview: collections in his trade split into 95% direct sales to the customer and barely 5% sold on credit at 30 or 60 days. The large custom order breaks that pay-on-the-spot logic a little, because there's a wait between the commitment and the delivery, and that's precisely why it needs its own payment rule: it can't be treated as just a counter sale paid later, because then the business would be financing on credit an operation its own collection structure isn't built to support.

The deposit percentage isn't a figure handed down from outside: it's a house rule, and each business sets it by the size of the order and how far ahead it's placed. A small order with little notice can carry a token deposit or none; a large order with weeks of lead time (the kind of piece that requires buying ingredients you don't use the rest of the year) needs a deposit that covers that purchase. The modeled case assumes a 30% deposit at booking (it's noted on the custom-orders row of the "Channels and Break-Even" sheet in 3-year-financial-plan.xlsx): that's the model's assumption, not a standard. Many US bakeries that publish their policies ask 50% to hold the date, often non-refundable; that's common practice, not law. What matters isn't copying someone else's number but having yours in writing before you accept your first large order, and checking your state's consumer rules on non-refundable deposits before you print it.

Delivery Calendar and Cancellation Risk

The real risk of a custom order isn't the customer haggling over price: it's the customer canceling a few days before delivery, when the ingredients are already bought and kitchen hours are already booked that can't go to anything else. A late cancellation doesn't cost the same at any time of year: the more concentrated that period's production is, the more it costs, and the First Communion and graduation season is the longest and most exposed to this risk on the whole peak calendar. It runs 20 campaign days, spread from mid-April to mid-June, and the money put into it sits idle for 55 full days until it comes back. Those are 55 days in which the ingredients you bought, the kitchen hours you booked and the margin you expect depend on those orders being confirmed and picked up as agreed.

That season's sales before sales tax, in the modeled case, come to $2,163.64, and that figure gives you the real measure of the problem: it isn't a huge number, but it's concentrated in a short window, and a single large cancellation within those 20 days weighs much more than the same cancellation spread over a normal year of counter sales. The shorter and more intense the campaign, the less room you have to absorb a customer who doesn't show up.

That's why the cancellation policy can't be improvised on the spot, arguing it out with an upset customer in front of you. There are three things you need in writing before you accept your first custom order: the cut-off after which a cancellation no longer gets a full refund, what part of the deposit comes back if the cancellation arrives inside that cut-off, and what happens if the customer simply doesn't pick up the order on the agreed date. That last situation is the most damaging of the three, because the business has already produced, has already spent the kitchen hours and is left with a piece that, with rare exceptions, can't be sold over the counter as it is. Putting these three rules in writing (even on a simple order form the customer signs or accepts when ordering) is what separates a managed custom-order channel from one that runs on each customer's good faith. For reference, many US bakeries that publish their policies ask for two to three weeks' notice on a standard order and one to two months on a custom design, charge a rush fee for less, and set their cancellation cut-off somewhere between 7 and 14 days before pickup: common practice, not law.

The same order form is where the allergen information goes: write down the customer's allergies, and tell them in writing which major food allergens the cake contains. Under the 2022 Food Code, the permit holder has to give customers written notice of the major food allergens that are ingredients in unpackaged food (3-602.12(C)), and there are nine of them since sesame was added in 2023; your inspector enforces your state's adopted edition, so check which one applies to you. Cakes you box ahead of time and sell ready-made from the display case are another matter: packaged food carries a full label (common name, ingredients by weight, net quantity, your name and address and the source of each major allergen, 3-602.11(B)), and your health department can tell you where it draws the line for a cake boxed at pickup.

What to Accept and What to Turn Down with No Track Record

All of these are business-model decisions, not tool decisions. The order form and the order log, with the day's schedule and its orders, belong with your daily task checklists: that's where each order gets written down, its date tracked and its payment followed up. Here, instead, you decide which policy applies before that log is even opened: how much deposit you ask for, when it's refunded and what you accept.

And the first-year criterion is just as concrete: you accept what fits in the production kitchen's real capacity that day, not what fits in the calendar. An empty calendar invites you to say yes to everything; the capacity of the equipment and the staff you've actually bought and hired says something else, and it's that capacity, worked out in detail in the peaks chapter (chapter 15), that should rule over any empty calendar.

With no track record, there are orders you should turn down from the start, because the risk of them going wrong far outweighs the margin they bring:

- Orders that require setup at the venue of the celebration, because they add transport logistics and staff away from the kitchen that a newly opened production kitchen hasn't tested or timed yet.
- Deliveries at a fixed time (an exact hour, with no slack) on a campaign day, when the rest of that day's production is already at the limit and any hitch in the delivery drags down the rest of the schedule.
- Volumes that force you to buy a size of ingredient or packaging you won't use again the rest of the year, because that purchase stops being an investment in the custom-order channel and becomes a sunk cost if the customer cancels or the order isn't repeated.

None of this is a list set in stone: it's the cautious first-year list, until you have your own data saying otherwise. And that's precisely the mechanism to set in motion from the first order you accept: write down the real hours it took to produce and any problem that came up, however small (a delay, a customer who changed the order at the last minute, a piece that didn't come out right the first time). After six months, those notes are no longer intuition: they're your own track record, and it's that track record, not the cautious starting list, that should start deciding which orders you accept and which you keep turning down. One more promise to be careful with in the meantime: "gluten-free" has a federal meaning (under 20 ppm of gluten, 21 CFR 101.91), so don't put it on a custom cake from a kitchen that works with wheat flour all day unless you can stand behind it.

Which Custom Orders to Accept and Which to Turn Down When You Have No Track Record Yet

Type of order	Accept it in year one?	Condition for accepting it
A cake from your regular menu, sized by servings	Yes	With a deposit and the item already costed
Custom cake with a new design	Yes, with a weekly limit	Count the real decorating time and charge it as labor
Order on a campaign day	Only up to the day's quota	The quota comes from the production kitchen's capacity that day, not from the calendar
Order with setup at the event venue	No	With no track record you can't estimate the time or the transport risk
Delivery at a fixed time on a campaign day	No	Committing to an exact time on your busiest production day is signing up to fail
A volume that forces you to buy a size you don't use	No	What's left of that size sits in storage all year
Order for an item that isn't on your menu	No	No cost card means no price, and no price means you're giving it away

It's a starting policy, not a rule: you review it after six months with the real hours you wrote down for each order you accepted.

The Custom-Order Channel Within the Channel Mix (3-year-financial-plan.xlsx, "Channels and Break-Even" sheet)

Channel	Cruising-year sales ($)	Share of sales (%)	Gross margin (%)	Cost to serve (%)	Contribution margin (%)	Contribution margin ($)	Days to collect
Counter	$251,314	78%	68%	0%	68%	$170,894	0
Custom orders	$45,108	14%	70%	2%	68%	$30,673	0
Wholesale (local cafés and restaurants)	$16,110	5%	52%	3%	49%	$7,894	45
Online and shipping	$9,666	3%	60%	9%	51%	$4,930	0
TOTAL	$322,198	100%			67%	$214,390	

The split between channels is an assumption of the modeled case, except the weight of wholesale, which comes from a published case (the European example above: 95% direct sales, 5% on credit). The custom-order deposit doesn't show up as margin: it shows up in days to collect, which are zero.

17. Channels: Counter, Custom Orders, Wholesale and Shipping

Cash at the Counter and Wholesale Terms: Two Different Businesses

Before you decide which channel to open, look at how the trade gets paid, not just how much it sells through each channel. The payment split documented for a pastry business is 95% sold directly to the customer over the counter and the rest on credit, at 30 to 60 days, to the shops it supplies (as Matias, who owns a pastry business in Spain, explained in an interview in the Spanish press on November 21, 2025). It's a European figure, but the logic travels. That proportion isn't an accounting detail: it's the reason two channels with the same margin aren't worth the same to your cash. The counter gets paid on the spot, the display case empties and the money is in the register that same afternoon. Wholesale, on the other hand, invoices and waits; what you baked has already left the kitchen, but the money arrives weeks later. If your cash plan treats both as if they came in the same day, you're going to have a month when the paper says you're making money and the bank says you can't make payroll.

In the case modeled for this guide, the weighted average days to collect across all channels together come to 2.25. It's a low number because the real weight of the business is carried by the counter, which gets paid on the spot, and only a small share moves on terms. The point isn't to memorize the number but to understand what happens when it goes up: if wholesale grows, or if one of your accounts starts paying you later than agreed, those weighted days to collect go up. That doesn't change a single figure in your P&L (the margin is still the same margin), but it does change how much working capital you need to keep running while the money is out on the street. It's the classic trap of the business that "sells a lot and has no cash": the margin doesn't fail, the payment terms do.

And speaking of margin, this is where you need to be precise about the word you use. The weighted average contribution margin across all of this case's channels is 66.5%. It isn't the menu's gross margin: it's what's left after taking out, on top of the cost of the product, what it costs to serve each order, collect the money and pay any commission the channel carries, which together weigh 1.5% of sales. That gap between gross margin and contribution margin is what really decides whether a channel is worth it: a channel can have exactly the same recipe costing as another and still leave you less real money, because it costs more to deliver, to collect or to pay whoever brings you the order. Judge each channel by that number, contribution, not by the margin on the recipe.

When Wholesale Brings FDA Registration Back Into Play

The gateway to this subject is always the same, and it's worth repeating here because this is the chapter where you decide whether to walk through it: the FDA line from chapter 9 (21 CFR 1.226(c) and 1.227; checked in October 2026) only comes into play if you sell food you make to other BUSINESSES, meaning cafés, restaurants, specialty food stores or caterers that aren't yours. If your shop only sells over its own counter and through custom orders to the end customer, it doesn't concern you yet; it starts to matter the day you sign up your first account that isn't your own. And wholesale takes a licensed kitchen: outside the cottage food exceptions a few states allow (chapter 9), you can't supply cafés from your home kitchen.

Once you're in, the "Selling Wholesale" sheet puts you through three checks (the FDA line, the cold chain and the labels), and only the first one decides whether you register with the FDA. That reasoning is already laid out in the permits chapter and there's no need to repeat it here; what matters at this point is applying it to the plan's actual number. In the modeled case, wholesale is 5% of sales by value and 4.1% by weight, and the FDA test counts value, not weight: either way, it sits far below both the legal 50% line and the cautious working line of 25% that the sheet uses, which is ours, not the law's. Watch the unit: the FDA measures the share of your food sales in dollars over the whole year, so check it with your POS figures and your invoices, not with kilos or with one good week. The book's reading is that this margin is comfortable: you can grow that share several times over before you get anywhere near the line. The alarm should go off when the percentage starts closing in on 25%, not when it reaches 50%, because by then the opening plan you're validating with these figures no longer describes your real business.

If you decide to open the channel, it comes with paperwork that isn't optional. Keep a record of each account (what you supplied, how much and when): it's your proof that you're still on the retail side of the line if anyone ever asks. Packaged items need the full label (common name, ingredients by weight, net quantity, your name and address, and the source of each major allergen, Food Code 3-602.11(B)), and unpackaged items need an allergen sheet so the café can give its own customers the written notice the Food Code asks for (3-602.12(C)); ask your CPA about resale certificates for what your accounts resell. The point that breaks most easily, in practice, is size: one account of a very different scale from the rest, a hotel or a chain, can tip the 50% line on its own. Before you open a new wholesale account, check exactly what it is and how much it will buy over a year, not just what this month's order looks like. And in Florida, ask FDACS whether your volume calls for its Wholesale/Manufactured Food Establishment Permit.

Selling Online and Shipping: Still Retail, With the Label in the Box

Here's the good news, with the reasoning behind it: the FDA test counts sales directly to consumers, and an online customer is a consumer. If more than half of your food sales, by value, go directly to consumers, at your counter or shipped to their door, you're generally still a retail food establishment (21 CFR 1.227; checked in October 2026). That means setting up an online store, an order form on your website or your own delivery doesn't take you out of your retail permit or put you on FDA's registration list. And the wholesale line from the previous section doesn't reach you here either: it only counts what you sell to other businesses, and your online customer is still the end consumer, not another business.

What does change when you sell at a distance isn't your permit, it's the information that has to travel with the product. Anything you package ahead of time and ship needs the full label: common name, ingredients by weight, net quantity, your name and address, and the source of each major allergen (Food Code 3-602.11(B)). For a cake you box to order, plan at least on the written notice of the nine major allergens that the Food Code asks for on unpackaged food (3-602.12(C)), and ask your health department which of the two your shipped items fall under. We didn't find a US rule that requires all of this on your product page before checkout, the way the EU does; put the ingredients and the major allergens on the page anyway, because an online customer can't ask at the counter. And what you write on that page and on the box is held to the same standard as your counter sign: "baked here every morning" or "made from scratch in our kitchen" only if it's true. Neither is a defined legal term; what applies is the general ban on false or misleading labeling (FD&C Act §403(a)), which is why "baked fresh daily" on product you only thaw and finish is a risk, not a slogan.

There's a second effect almost nobody sees coming when they open online sales with shipping: the moment you pack to ship, the box, the protective padding, the cold packs and the seal become packaging you choose and pay for, and in the US packaging rules are state rules. We're not talking about display-case trays or counter bags, but about what you use so the cake arrives in one piece. New York and California ban foam food containers and paper-based food packaging with intentionally added PFAS, while Florida keeps polystyrene rules at the state level; chapter 19 covers the details and how they fit into your cash. For now, it's enough to know this starts the instant you accept the first remote order, not before. Keep it in mind when you price shipping: the online and shipping channel's contribution margin is 51%, much tighter than the rest of the business, and the box, the cold packs and the courier are what explain most of it. If you sell through a delivery app instead of your own website, its commission comes on top: DoorDash's published merchant plans run 15%, 25% or 30% (6% on pickup orders; checked in October 2026).

What Travels and What Doesn't

What decides whether an item can leave your shop in a box isn't a legal label, it's the cold chain. The Food Code holds TCS food at 41 °F or below (3-501.16), and when you ship, keeping it there is on you, the seller, all the way until it reaches the customer's hands; it isn't enough for it to leave the kitchen in good shape if the cold chain breaks in the van, at the carrier's depot or on the customer's porch while the box waits for someone to bring it in. That's the only question that matters when you decide on a shipment: can you guarantee that temperature for the whole trip and within the time it takes to arrive? If the answer is no, the item doesn't ship, however well it sells at the counter.

On the modeled case's menu, that question splits into two groups, which is exactly what the table below shows: what lives in the refrigerated case and what lives in the room-temperature case. The temperature that rules the filled items on this menu, the ones that need cold to keep, is 41 °F, and that's the ceiling you have to hold from the moment it leaves the kitchen until the customer receives it at home. A cake from this group only travels if the shipment guarantees real cold for the whole trip and arrives within its window; if you can't guarantee both at once, that item stays in the refrigerated case and doesn't go on your shipping menu, however many customers ask for it online. Room-temperature items, on the other hand, don't carry that ceiling: they travel without needing continuous cold, and they're what can support a shipping channel that doesn't depend on specialized logistics or tight delivery windows.

This isn't generic caution: it's the same rule that already applies to you at the counter, now applied to the whole trip instead of just the display case. When you decide what goes on your shipping menu, the question isn't which item sells best online, it's which one survives the trip without leaving its temperature range from start to finish. If you're still under cottage food, your state also decides whether you can ship at all: New York doesn't allow out-of-state sales, and Texas only allows online sales that you, an employee or a household member deliver (chapter 9); with a licensed kitchen, check with your health department before your first out-of-state shipment. The table below lays that decision out item by item for the modeled case's menu, with the display case each one comes from.

The four channels, with their contribution margin and days to collect (3-year-financial-plan.xlsx, "Channels and Break-Even" sheet)

Channel	Steady-state year sales ($)	Share of sales (%)	Gross margin (%)	Cost to serve (%)	Platform fee (%)	Contribution margin (%)	Days to collect
Counter	$251,314	78%	68%	0%	0%	68%	0
Custom orders	$45,108	14%	70%	2%	0%	68%	0
Wholesale (local cafés and restaurants)	$16,110	5%	52%	3%	0%	49%	45
Online and shipping	$9,666	3%	60%	9%	0%	51%	0
TOTAL	$322,198	100%				67%	

The percentages on this sheet are assumptions of the modeled case, except the wholesale share, which comes from a published case (the Spanish payment split above). The platform fee is zero because the case's online channel is its own website; through a delivery app it would be that app's commission (DoorDash: 15%, 25% or 30% depending on the plan).

Which items can travel and which can't, by holding temperature and date marking (opening-menu-and-recipe-costing.xlsx, "Egg & TCS Decision" sheet)

Ref	Item	Egg route	Shelf-stable at room temperature?	Holding temperature (°F)	Date-mark if held over (hours)	Where it goes at the counter
B1	Butter croissant	Shelf-stable	Yes		N/A	Room-temperature case
B2	Pain au chocolat (chocolate croissant)	Shelf-stable	Yes		N/A	Room-temperature case
B3	Custard *napolitana* (cream-filled laminated pastry)	Cooked through	No	41	24	Refrigerated case
B4	Palmier	No egg	Yes		N/A	Room-temperature case
B5	Raisin snail (pain aux raisins)	Cooked through	No	41	24	Refrigerated case
B6	*Ensaïmada* (Mallorcan spiral pastry)	Shelf-stable	Yes		N/A	Room-temperature case
PI1	Napoleon (mille-feuille)	Cooked through	No	41	24	Refrigerated case
PI2	Éclair	Cooked through	No	41	24	Refrigerated case
PI3	Raspberry macarons	Cooked through	No	41	24	Refrigerated case
PI4	Fruit tart	Cooked through	No	41	24	Refrigerated case
PI5	Cream puff (profiterole)	Cooked through	No	41	24	Refrigerated case
PI6	Individual entremet (mousse cake)	Pasteurized egg product	No	41	24	Refrigerated case
T1	70% dark chocolate cake	Cooked through	No	41	24	Refrigerated case
T2	Cheesecake	Cooked through	No	41	24	Refrigerated case
T3	Apple tart	Shelf-stable	Yes		N/A	Room-temperature case
T4	Carrot cake	Cooked through	No	41	24	Refrigerated case
T5	Sachertorte	Shelf-stable	Yes		N/A	Room-temperature case
T6	Strawberries & cream cake	Cooked through	No	41	24	Refrigerated case
PA1	Baguette	No egg	Yes		N/A	Room-temperature case
PA2	Ciabatta	No egg	Yes		N/A	Room-temperature case
PA3	Sourdough boule	No egg	Yes		N/A	Room-temperature case
PA4	Sandwich loaf (pullman)	No egg	Yes		N/A	Room-temperature case
TP1	Rosca de Reyes (Three Kings bread)	Cooked through	No	41	24	Refrigerated case

Ref	**Item**	**Egg route**	**Shelf-stable at room temperature?**	**Holding temperature (°F)**	**Date-mark if held over (hours)**	**Where it goes at the counter**
TP2	*Torrijas* (Spanish Easter French toast)	Cooked through	No	41	24	Refrigerated case
TP3	*Buñuelos de viento* (Spanish cream-filled fritters)	Cooked through	No	41	24	Refrigerated case
TP4	*Huesos de santo* (marzipan "saints' bones")	Shelf-stable	Yes		N/A	Room-temperature case
TP5	*Panellets* (almond and pine-nut cookies)	Shelf-stable	Yes		N/A	Room-temperature case
TP6	Polvorones (Spanish shortbread)	No egg	Yes		N/A	Room-temperature case
TP7	Almond turrón (nougat)	Shelf-stable	Yes		N/A	Room-temperature case
TP8	*Mona de Pascua* (Catalan Easter cake)	Shelf-stable	Yes		N/A	Room-temperature case

Checked October 2026 · FDA Food Code 2022, 1-201.10 (TCS, decided by pH and water activity), 3-501.16 (cold holding at 41 °F or below) and 3-501.17 (date marking: ready-to-eat TCS food held more than 24 hours, 7 days at most, with the day you make it as day 1) · your state enforces its own edition (links in the Regulatory Appendix). The date mark is a ceiling for TCS items only; the shelf life of everything else is what you declare in your own food safety plan. What goes in the refrigerated case only travels with cold guaranteed for the whole trip.

18. The Financial Plan and the Cash You Need to Reach Break-Even

The 3-Year P&L, With Seasonality and a Ramp-Up

Your pastry shop's financial plan is projected over three years because a single year lies in two ways at once: it hides the ramp-up and it hides the business's own seasonality. Year one isn't a weak steady-state year, it's a different year: you open with your neighborhood customers still to win, with word of mouth not yet moving and with winter months when the display case sells less than in the holiday season or in First Communion and graduation season. Year two is the steady-state year, the one that shows what the business delivers once it's settled. Year three grows on that base, with loyal customers and custom orders coming back.

That's why year one isn't calculated as a fraction of year two, as if it were enough to shave a percentage off steady-state revenue. A shortcut like that ignores two things that are in the model: the ramp-up, which is the time a new production kitchen takes to fill its book of custom-order customers and its display-case traffic, and seasonality, which spreads sales very unevenly between the strong months and the weak ones. A business that opens in March doesn't live the same first year as one that opens in September, and you only see that difference by modeling month by month, not by splitting an annual total into equal parts.

In the steady-state year, the case modeled in the plan brings in $322,198 in revenue. From that, the gross margin (what's left after ingredients and packaging) is $219,095. Total fixed costs that same year come to $186,346. What surprises anyone who has never run a production kitchen with a retail counter is what that block of fixed costs is made of: the heaviest line isn't flour, or butter, or chocolate. It's people. A kitchen with a shop needs, at the very least, someone who bakes and someone who serves, and those two jobs can't be covered by one person, not even in the quiet months. The owner's annual pay, $28,800, goes into that account as a line of its own, not as a leftover calculated at the end: whichever way you read the bottom line of this plan, that pay always shows up separately, and we'll come back to it shortly.

The assumption that holds up the whole P&L is deliberately conservative: the projection uses the single margin rule, not the recipe costing of each cake, pastry or custom order one by one. The reason is simple, and it has to do with what each method leaves out. A product's recipe costing calculates the cost of the ingredients in one specific piece, but it doesn't load onto it the display-case waste, the idle production time, the packaging you don't bill separately or the swings in ingredient prices over the year. The single margin rule, on the other hand, is applied to sales as a whole and picks all of that up in one go, because it comes from the real relationship between revenue and cost of sales in the modeled case, not from adding up ideal pieces. If you want to drill down to each recipe and its cost per portion, that calculation lives in chapter 12 and in the Food Cost Kit Pro, with its own logic and its own templates; here, for the P&L, the criterion is different and it stays that way across all three years.

And one warning to keep in mind throughout this chapter: none of these figures is a forecast of the results you're going to get. They're the result of a modeled case, with its own assumptions about the space, the team and the prices, which you can and should replace with your own in the spreadsheet.

Break-Even With the Single Margin Rule

Break-even (the sales figure above which you stop losing money) isn't a single number, and this plan calculates two, because they measure different things. Accounting break-even is the one that matches revenue and expenses on the P&L, and depreciation goes into it: the accounting spread of the cost of the oven, the walk-in, the display cases and the rest of the equipment, split into annual amounts even though you've already paid for it. Cash break-even is something else: it ignores depreciation, which doesn't move money out of your account that month, and adds the loan principal you repay, which does. That principal isn't an expense in the accounting sense (it doesn't reduce your profit), but it physically leaves your bank account every month, so you have to cover it with sales just as if it were. That's why the two break-evens don't match, and why you need to calculate both, not just one.

Translated into tickets a day, which is how you really read it at the counter: accounting break-even calls for 155.6 tickets a day, and cash break-even for 148.9. That cash break-even asks for fewer tickets than the accounting one isn't a coincidence: in this particular case, depreciation weighs more on the P&L than principal repayment weighs on cash. In the steady-state year, the model's actual revenue leaves a cushion of 22.9% above cash break-even. Read that cushion like this: it's how far your revenue can fall before you start losing cash month after month. If a slow month leaves you selling 10% less than planned, you're still above break-even; if the drop gets close to that 22.9%, you're already standing on the line.

Break-even in this plan is always calculated with the single margin rule, the same one that holds up the whole P&L in the previous section. It's worth insisting on, because you'll find published examples of fixed costs and break-even sales that imply a different margin, and mixing them with this model gives numbers that don't reconcile. The test takes ten seconds: divide the fixed costs by the break-even sales and you have the margin the example assumes. The one published pair we found that passes it is European: a Spanish guide to starting a pastry business (July 12, 2026) pairs fixed costs of 5,000 a month with break-even sales of about 7,200 a month, in its own currency. Do the division and the margin it implies, roughly seven of every ten dollars of sales left over after cost of sales, is consistent with the rule this plan uses; that's why it's the only pair quoted here as a contrast. On the US side, the closest published reference is a food cost of 28% to 35% of sales for a typical bakery (Toast; third-party estimates, not official figures), which means a gross margin of 65% to 72%: the plan's 68% sits inside that range. The other pairs that circulate for small, mid-size and large shops imply margins that contradict each other and this rule, so you can't use them either to validate or to compare your own number: they only confuse.

The Owner's Pay Is a Line of Its Own

Let's not beat around the bush: if your pay isn't inside the P&L, the plan is lying. It's the most common mistake I see in the plans people bring me before they open: they calculate a profit that looks splendid because, without realizing it, that number includes the hours the owner puts in behind the bench without getting paid a dollar for them. In the case modeled for this guide, the owner's annual pay is set at $28,800, and it's an editable cell on the "3-Year P&L" sheet of 3-year-financial-plan.xlsx: raise it or lower it, and the rest of the plan recalculates on its own. While it's in there, change whatever you can; what you can't do is take it out of the account and pretend the business doesn't need it to run. And keep in mind what that line is in the US: if you're a sole proprietor, the IRS doesn't see a salary but your net earnings from self-employment, and you pay self-employment tax on them (15.3%: 12.4% for Social Security and 2.9% for Medicare); how your pay is taxed depends on how you set up the business, so settle it with your CPA before you open.

Pay and profit are two different things, and confusing them is exactly what produces the business that sells a lot and earns little. Pay is what the owner earns for working in their own business, exactly as a hired head pastry chef would earn it; it's a labor cost, not a share of the profits. Profit is what's left after paying that salary and every other cost, fixed and variable. When someone tells you their shop "does great numbers" without telling you whether that pay is inside or outside the account, the figure is useless: it may be comparing a business that pays its owner with one that doesn't, and the bottom line of the two looks alike on paper and nothing alike in the real life of the person running them.

The documented case that best illustrates this is a European one, and the lesson travels: Matias's family bakery on the Spanish island of Mallorca, founded in 1902 and now in its fourth generation, with 47 employees between family and staff (interview in the Spanish press, November 21, 2025). It isn't a small kitchen or a newly opened business: it's a large operation, with history and volume. And even so, its owner says the net profitability of a pastry business that's "doing well" moves within a specific band, not in double digits running high. That's the fact that matters here: margin doesn't grow with size. A pastry business with 47 employees and more than a century of history doesn't multiply its net profitability by being big; what changes with size is the volume of revenue, not the percentage that stays in the house. Inside that same business there are lines with much more generous margins seen on their own, like almond turrón (nougat), at a 40% margin (same source), but that product margin lives alongside structure, staff and rent costs that eat a good part of the way before you get to the net result. Looking only at the margin of one line without looking at the whole is the same trap in another form.

The Honest Number: 8% to 12% Net

The band Matias gives for a pastry business that's doing well is 8% to 12% net (interview in the Spanish press, November 21, 2025). The case modeled in this guide closes its steady-state year with a net margin of 8.6%, inside that same band and at its tight end. That isn't a coincidence: the plan is built not to promise more than a real business of this kind usually delivers, and that's the figure you'll see on the "3-Year P&L" sheet of your financial plan, not a brochure number. For a US reference, Toast's third-party estimates put the food sector's typical net margin at 3% to 5%, higher for specialty shops: next to that, the case's 8.6% is a demanding target, not a modest one.

Net results over the three years don't grow in a straight line, and the reason needs to be said clearly. Year one closes with a net result of $4,469, far below the steady-state year, which reaches $27,836. That big a gap between one year and the next isn't a flaw in the model: it's the ramp-up. From the first month you carry the full fixed costs (rent, staff, utilities, loan payments), while revenue is still climbing toward its steady-state speed, which you do reach in year two. It's the same reason, told from another angle, that the section on the 3-year P&L explains that year one isn't a simple fraction of year two: there's a start-up curve in between, and that curve lands squarely in the owner's pocket before the business finds its rhythm.

And here's the method warning, the one that matters for what you do with your own number: if your result comes out well above this band when you enter your own data in the template, the first thing to check isn't the business, it's what you put into the assumptions. An optimistic selling price, a display-case turnover you won't sustain all year or a labor cost below what you'll actually have to pay in your market (your state's minimum wage or the going rate) inflates the result in the spreadsheet long before it shows up in the real bank balance. Neither the 8% to 12% band Matias gives nor the net result of this guide's modeled case is a forecast of the results you'll get: one is a reference given by a working professional and the other an exercise built on conservative assumptions, and both serve the same purpose, so you know what to compare your own plan against before you sign a lease.

The modeled case's 3-year P&L (3-year-financial-plan.xlsx, "3-Year P&L" sheet)

Line	Year 1 (ramp-up)	Year 2 (steady state)	Year 3	Share of year-2 sales (%)
TOTAL REVENUE (before sales tax)	$282,374	$322,198	$335,086	100.0%
Pastry, viennoiserie and cake sales	$225,539	$257,347	$267,641	79.9%

Line	Year 1 (ramp-up)	Year 2 (steady state)	Year 3	Share of year-2 sales (%)
Bread sales	$56,835	$64,851	$67,445	20.1%
Cost of sales (ingredients, packaging and waste)	$90,360	$103,103	$107,227	32.0%
TOTAL VARIABLE COSTS	$90,360	$103,103	$107,227	32.0%
GROSS MARGIN	$192,014	$219,095	$227,858	68.0%
Staff (wages plus payroll taxes, workers' comp and benefits)	$92,776	$92,776	$92,776	28.8%
Owner's pay (before your own self-employment and income tax)	$28,800	$28,800	$28,800	8.9%
Rent	$14,400	$14,400	$14,400	4.5%
Utilities (electricity, gas and water)	$17,400	$17,400	$17,400	5.4%
Insurance (general liability and property)	$1,440	$1,440	$1,440	0.4%
Accounting and bookkeeping	$2,640	$2,640	$2,640	0.8%
Software, POS and payment processing	$720	$720	$720	0.2%
Phone and internet	$660	$660	$660	0.2%
Cleaning and supplies	$2,160	$2,160	$2,160	0.7%
Equipment maintenance	$1,800	$1,800	$1,800	0.6%
Advertising and social media	$2,400	$2,400	$2,400	0.7%
Other overhead	$1,800	$1,800	$1,800	0.6%
Depreciation	$16,090	$16,090	$16,090	5.0%
Loan interest	$3,671	$3,260	$2,751	1.0%
TOTAL FIXED COSTS	$186,757	$186,346	$185,837	57.8%
PRE-TAX PROFIT	$5,257	$32,749	$42,022	10.2%

All figures are before sales tax. Cost of sales is projected with the single margin rule, not with the recipe costing of each piece: it's the conservative assumption, and the gap between the two numbers is your cushion.

Two lines where the P&L and your cash disagree (3-year-financial-plan.xlsx, "3-Year P&L" and "Break-Even" sheets)

Line	Year 1 (ramp-up)	Year 2 (steady state)	Year 3
Depreciation (a P&L cost, but no cash leaves)	$16,090	$16,090	$16,090
Loan principal repaid (cash out, but not a P&L cost)	$3,808	$7,979	$8,488

Kept apart on purpose: depreciation is already inside the P&L above, and loan principal isn't in any of its lines. The cash break-even swaps one for the other, and year 1 repays less principal because the loan starts with six interest-only months. There's no VAT to front and recover in the US, so the workbook's two input VAT/GST memo rows read $0 here; they only fill in if you type a VAT or GST rate (UK, Canada, Australia).

The three scenarios, with the same team and the same fixed costs (3-year-financial-plan.xlsx, "Scenarios" sheet)

Metric	Pessimistic	Realistic	Optimistic
ANNUAL REVENUE (before sales tax)	$211,120	$322,198	$442,860
Cost of sales (single food cost rule)	$67,558	$103,103	$141,715
TOTAL VARIABLE COSTS	$67,558	$103,103	$141,715
GROSS MARGIN	$143,562	$219,095	$301,145
FIXED COSTS (the P&L's steady-state year)	$186,346	$186,346	$186,346
PRE-TAX PROFIT	-$42,784	$32,749	$114,799
Income tax (the workbook's illustrative rate)	$0	$4,912	$17,220
NET PROFIT	-$42,784	$27,836	$97,579
Net margin (%)	-20.3%	8.6%	22.0%

The two extremes are ASSUMPTIONS; the middle column reads the plan's steady-state year. Fixed costs don't change between scenarios because the team is the same: that's why the pessimistic one hurts so much. Income tax uses the workbook's illustrative rates (15% for the first two years with a profit, 25% after); by default a single-member LLC is reported on its owner's tax return and a multi-member LLC is classified as a partnership (IRS), so ask your CPA which rate is really yours.

19. Financing, Sales Tax, Packaging and Startup Cash

Financing and Debt Service

The case modeled in this guide borrows $60,000 at a 6.2% annual nominal interest rate. With those two figures, the monthly payment comes to $936.57. The 6.2% is an assumption of the case, not a quote: your rate depends on your lender, your credit and the market the week you sign. And here's where almost everyone goes wrong when they read their own financial plan: that payment isn't a pastry shop expense. Only the interest part is; the rest is principal repaid, and repaying principal doesn't reduce your profit, it reduces your debt. In year one, interest on this loan adds up to $3,671.10, and that's the figure that does go down into the P&L.

What a lender looks at when it studies your loan isn't the payment itself, but how much room the business leaves you to make it. That room is the debt service coverage ratio, or DSCR: the cash the pastry shop generates divided by what you have to pay in principal plus interest that year. In the modeled case's full schedule, the tightest year of the whole loan leaves a coverage of 3.24, which means you generate more than three times what you need to make that year's payments. A lender doesn't read only the three-year average: it reads the worst year, because that's the one that decides whether you can ride out a slow month without a cash squeeze.

And here's the decision almost nobody thinks about when they build the schedule: asking for an interest-only period, when you pay only interest and no principal, artificially improves the first year's coverage. The case's loan starts with six interest-only months. It sounds good on paper, but what it really does is push that principal into the following years, which arrive with a bigger payment just when you no longer have the opening cushion. That's why the number that matters isn't year one's coverage but the tightest year of the whole schedule: if the interest-only period moves the loan's worst moment from the first year to the second or the third, you have to review that year as strictly as you'd review the first, not relax because the start looks good.

Where does a loan like this come from? In the US the usual door is an SBA-backed loan, and two SBA programs fit a pastry shop. 7(a) loans go up to $5 million (SBA Express, up to $500,000), with terms of up to 10 years for equipment and working capital. The SBA Microloan program lends $50,000 or less, about $13,000 on average, for working capital, inventory, furniture and machinery, but not to pay off existing debt or buy real estate. The case's $60,000 is above the Microloan ceiling, so it would be a 7(a) loan or a conventional bank loan, and its seven-year term (84 monthly payments, the first six interest-only) sits inside the 7(a) limit for equipment and working capital. Equipment financing or leasing and community development lenders (CDFIs) are other doors worth knocking on for part of the kitchen; whichever you use, compare offers on the same basis: rate, term, interest-only months and fees.

There's one more cash front to settle before you sign anything with the bank, and in the US it works differently from the VAT that a European business fronts on its build-out and gets back months later. Here nothing comes back: the sales tax you pay on equipment, fixtures and taxable build-out is a cost (chapter 4). In the modeled case, the lines that can carry it add up to $161,480, which at Texas's maximum combined rate of 8.25% is about $13,322 more on the invoices, shown for illustration and not added to the case. So the case's startup cash need is its pre-tax total, $227,916: $60,000 from the loan and $167,916 of your own money. Of that, $62,115 is working capital, four months of fixed costs, within the three to six months of costs that industry guides suggest keeping in reserve (Toast, for coffee shops; a third-party estimate), and it's the balance you open with. The 12-month cash flow shows what it's for: the balance dips to its low of $61,346 in month 3, while sales are still ramping up and payroll goes out at $7,731.34 every month, and it closes month 12 at $87,811, a year-one cash flow of $25,696. That low point, not the year-end balance, is the number to cover with the same rigor as the loan payment: the first table below breaks the sales tax down block by block, so you can match it against your real payment calendar, not just against the plan's totals.

Sales Tax Follows How You Sell, Not What You Sell

In a pastry shop, bread, croissants and cakes share the same counter, and in a VAT country each family can carry its own rate. In the US it doesn't work that way, and getting this wrong at the register is the costliest mistake you can make in your first month. Sales tax isn't set by product family: it follows how you sell. In all four example states, pastries, cakes and bread sold to go are generally exempt; what you plate, heat or serve at your tables usually isn't. That comes from each state's own rules, as published by California's tax agency (CDTFA), New York's Department of Taxation and Finance, the Texas Comptroller and the Florida Department of Revenue, checked in October 2026.

The reasoning behind that statement, which you need to have straight in case anyone ever questions it, is that there's no national food tax rule: each state draws its own line, and the four example states draw it in different places. In California, bakery goods sold to go are exempt, even hot bakery goods, and what's eaten on your premises is taxable (CDTFA Regulation 1603). In New York, the bakery products a food store sells (bread, rolls, donuts, cakes, pies) are exempt unless they're eaten on the premises (TB-ST-283). In Texas, bakery items are exempt whatever their size, a whole cake or a single slice, unless you sell them with your own plates or utensils (34 TAC §3.293). In Florida, a shop with no place to eat sells them exempt, except anything kept hot. Put that way, state by state, it's accurate and defensible with anyone.

Then there's the fine print that most opening guides skip, and it's where the money is. In Texas, a napkin, wax paper or a clamshell box doesn't count as a utensil, and the exemption is written for a bakery, a business where more than half of sales are display-case bakery items to be eaten somewhere else. In Florida, once you have tables, five items or fewer are presumed to be eaten on site, so they're taxable unless you package them to go (taped, stapled, wrapped or sealed) and ring them up separately, on their own key or register; and hot prepared food kept on a heat source is always taxable. In California, a pastry and a hot drink sold together for one price make the whole combo taxable, a ham-and-cheese croissant isn't a bakery good, and the 80/80 rule can reach even cold food to go: if more than 80% of your sales are food and more than 80% of that food is taxable, you collect tax on cold to-go food too, unless you keep separate accounting. And in New York, a restaurant-type business, which a bakery-café with tables may be, collects tax on cold food to go unless it's sold in the form, quantity and packaging a food store would use: a dozen bagels stays exempt (TB-ST-806).

The third front, then, is where the customer eats, not what they buy. If the customer sits down at your tables and you serve the order there, you're selling food for consumption on your premises, and in the four example states that sale is generally taxable (in Texas, the trigger is your plates or utensils). If the same order goes out the door to go, the bakery item stays exempt: the same croissant changes its tax depending on whether it's eaten at your table or walks out with the customer. This isn't a fine point for your CPA, it's a setting that has to be built into your point of sale from opening day, with every menu line and every channel assigned the right treatment. The modeled case sells to go from a counter with no seating, so in Texas its counter sales are exempt and the workbook's tax layer reads zero; the table at the end of the chapter shows which treatment each kind of sale carries, so you can repeat the reasoning with your own menu and your own state.

Your Sales Tax Permit and the POS You Buy Today

Sales tax has a registration and a calendar, and you need to know both before you open. You register with your state's tax agency for a sales tax permit (also called a seller's permit) before your first sale, in the same round of paperwork as your EIN and your employer registration: it's phase P2 of permits-and-licenses-checklist.xlsx. And the state sets your filing schedule when it registers you. Said plainly: there's no single national date or frequency to memorize. Yours comes on the paper the state sends you, and that's the one that goes in your calendar.

What does matter to set up now, even though your first return is months away, is something that slips by unnoticed: your point of sale has to be able to do what the tax rules assume. Florida only exempts to-go items in a shop with tables if they're packaged to go and rung up separately; California's 80/80 rule only spares cold food to go if you keep separate accounting. That means the POS you buy for opening has to tag every sale as to-go or for-here and report the two separately from day one, and it has to do it before your first return, not after. Before you sign, ask the vendor to show you how it handles one item that's exempt to go and taxable for here, and what the report you'd file from looks like. The POS is one of the first purchases you make when you set up the pastry shop, and one of the most expensive to change once the register is ringing up sales, the menu is loaded and the staff is trained on that system.

And a calendar warning, because tax rules are among the few things in this guide that can move under your feet: local rates differ from one city to the next (in Texas, up to 2% on top of the state's 6.25%), and Florida has a proposed rewrite of its rule on food sales (Rule 12A-1.011) that we couldn't confirm had taken effect. Treat what you've just read as the picture in October 2026, something to check with your state's tax agency when you buy the POS and again before your first return, not something to take as fixed because it's in writing. This guide's Regulatory Appendix lists each state's tax agency; look there before you sign any point-of-sale contract.

Packaging: the Cake Box, Foam and PFAS, State by State

There's a question everyone who opens a pastry shop asks as soon as they start buying boxes: if I put the cake in its box at the counter, which rules am I under? The short answer is that in the US, the rules that reach your counter look at the material, not at who fills the box, and they're state rules (sometimes city ones), not a single national law. The cake box and board, the pastry tray, the cookie bag and the coffee cup are all packaging you choose to fill at your own counter, and that choice is exactly what those rules look at: what it's made of and what was added to it. That idea ties in with everything else in this section: any disposable item you use to hand over the product, or so the customer can take it home, falls in the same category, whether you buy it printed with your logo or plain.

Here's the nuance almost nobody explains well, and it's the one that really saves you a headache. In New York, food packaging with intentionally added PFAS (a family of grease- and water-repellent chemicals) has been banned since December 31, 2022. In California, plant-fiber packaging (paper and paperboard) with intentionally added PFAS, or with 100 parts per million or more of total organic fluorine, has been banned since January 1, 2023 (AB 1200, Health and Safety Code §109000 and following). Grease resistance is exactly what you ask of a croissant bag or a cake board, so this lands squarely on a pastry shop. Translated into what you have to do in your kitchen: you don't test anything yourself. What you do is ask your packaging supplier for written confirmation that the paper and board products they sell you have no intentionally added PFAS, and file it with the rest of your business papers, ready to show if anyone ever asks. Ask for it with the first invoice, not when you've been buying the same packaging for two years: it's a document you request once per product and file, not a recurring chore.

There are two obligations that are entirely yours, and both have to do with what you put the product in. The first is foam: expanded polystyrene (EPS) food containers have been banned in New York since January 1, 2022, for food service providers and stores, and in California, where CalRecycle announced on April 4, 2025 that the ban applies because foam food service ware never reached the 25% recycling rate that SB 54 requires, and the Attorney General reminded businesses on December 2, 2025 that administrative penalties can reach $50,000 a day. Florida goes the other way: for food businesses under its state food law, polystyrene rules belong to the state, not to your city (local ordinances adopted before 2016 are the exception), and in Texas we found no statewide ban, though your city may have its own. The second is the label on what you pack yourself: anything you package ahead of time in your own shop needs the full label (common name, ingredients by weight, net quantity, your name and address and the major allergens, Food Code 3-602.11(B)), and New York signed a law on November 12, 2025 that requires written notice of the nine major allergens on food prepared, packaged and sold on the same premises, bakeries included and food packed after the customer orders excluded. We couldn't confirm when it takes effect, so if you open in New York, ask your inspector before you print your labels, and choose your boxes and your label printer knowing it's coming.

Food Waste: What the Rules Ask of a Small Shop, Exactly

Food waste is the other subject that hits a newly opened pastry shop head-on, and here the usual mistake goes both ways: some say "those rules don't apply to me" and leave it there, and others assume they'll have to run a donation program like a supermarket's. Neither is right. In the US, the food waste rules with teeth are state and local, and the best-known one among the four example states, California's edible food recovery law (SB 1383), is written for big generators: grocery stores and supermarkets over 10,000 sq ft, restaurants over 5,000 sq ft or with 250 or more seats, hotels with an on-site food facility and 200 or more rooms, plus wholesale food vendors, food service providers and food distributors (CalRecycle, checked in October 2026). Those businesses have to donate the maximum amount of edible food that would otherwise be thrown away, under contracts or written agreements with food recovery organizations, and keep records of what they donate, pounds per month and per recipient included. A counter shop the size of the modeled case, 969 sq ft and no seating, falls in neither size band; if wholesale grows into a real business line, ask your city's recycling program which tier, if any, you fall in.

What stays out of the headline, and still reaches you even though that law doesn't, comes down to three things. California requires businesses to recycle their organic waste (AB 1826; in September 2020 CalRecycle lowered the threshold that triggers it to 2 cubic yards of solid waste, counting trash, recycling and organics together), and your trim, your sweepings and your unsold product are organic waste: ask your hauler what collection you need. The Food Code still decides how long you can keep what you didn't sell: a ready-to-eat TCS item held more than 24 hours needs a date mark and is out at 7 days, counting the day you make it as day 1 (3-501.17), and no discount stretches that. And if you donate, federal law has your back: the Bill Emerson Good Samaritan Food Donation Act protects a business that gives apparently wholesome food in good faith to a nonprofit for people in need, free or at a "good Samaritan reduced price", from liability for the food's nature, age, packaging or condition, except for gross negligence or intentional misconduct (42 U.S.C. §1791, amended on January 5, 2023 to also cover some businesses that donate directly to people in need, restaurants, caterers and retail grocers among them). It doesn't override your state or local health rules. These three are what press on a small kitchen day to day, far more than the donation program the big generators have to run.

And there's a commercial lever that leans on this same thinking and is worth real money in a pastry shop, where what doesn't sell today never sells. The federal donation law's own definition of apparently wholesome food covers food that "may not be readily marketable due to appearance, age, freshness, grade, size, surplus, or other conditions", and the same logic works at your counter: a cake that came out a little lopsided, a misprinted box, a batch of cookies that's a size off can all go out at a lower price, as long as you tell the customer what's wrong with them and stand behind the sale. And there's a second, finer detail that connects with your counter: a day-old rack, with its own sign and its own day-old discount, is standard practice in US bakeries, and what you can't do is move yesterday's croissants back into the case under a "baked this morning" sign (chapter 17: it's a misleading-claim risk). Give the day-old price its own key on your POS, so you can mark down whatever you need to without the discount blurring your real margin figures or the next promotion you plan.

With this you have the full map of packaging and waste, with its source behind each statement; what's left is to put it in dollars, and that's the job of the tables that follow.

Sales tax on the startup costs, block by block, and why it doesn't come back, with 8.25% for illustration (startup-cost-calculator.xlsx, "VAT-GST & Cash" sheet)

Block	Pre-tax cost ($)	Sales tax at 8.25% ($)	Cash out with sales tax ($)
Build-out and building systems	$81,000	$6,683	$87,683
Production kitchen equipment	$54,296	$4,479	$58,776
Storefront and display	$12,684	$1,046	$13,731
Permits, plans and fees	$7,920	$495	$8,415
Security deposit	$2,400	$0	$2,400
Opening packaging	$2,500	$206	$2,706
Opening marketing	$5,000	$413	$5,413
Working capital	$62,115	$0	$62,115
STARTUP COSTS TOTAL	$227,916	$13,322	$241,238

The security deposit, permit and plan-review fees and working capital carry no sales tax. The workbook ships with the tax rate at 0%, so out of the box this sheet reads $0 of tax and the case's $227,916; the figures here are what it returns with 8.25%, the Texas maximum combined rate, typed into "Settings" (rounded to the dollar), the same illustration as chapter 4, not added to the case. In the US that tax is cash out and a cost, and it never comes back: the sheet's rows on when the tax is recovered are for readers in the UK, Canada or Australia, who type their VAT or GST rate and get it back on their returns.

Debt service year by year and its coverage (3-year-financial-plan.xlsx, "Financing" sheet)

Year	Interest ($)	Principal repaid ($)	Total payment ($)	Cash flow available for debt service ($)	Debt service coverage ratio (DSCR)
1	$3,671.10	$3,808.33	$7,479.43	$24,229.77	3.24
2	$3,259.67	$7,979.20	$11,238.87	$47,186.16	4.20
3	$2,750.66	$8,488.21	$11,238.87	$50,356.87	4.48
4	$2,209.18	$9,029.69	$11,238.87	$49,815.38	4.43
5	$1,633.15	$9,605.72	$11,238.87	$49,239.35	4.38
6	$1,020.38	$10,218.49	$11,238.87	$48,626.58	4.33
7	$368.51	$10,870.36	$11,238.87	$47,974.72	4.27

Only the interest is a P&L expense; the principal repaid comes out of your cash and doesn't show up in your profit. In this case cash break-even sits BELOW accounting break-even, because the depreciation it takes out weighs more than the principal it adds.

Whether you collect sales tax, by what you sell and how you sell it, in the four example states

What you sell	Where or how	Sales tax	Legal basis
Bread, pastries and cakes	To go, from a shop with no seating	Generally exempt in all four states	CA Regulation 1603 · NY TB-ST-283 · TX 34 TAC §3.293 · FL TIP 10A01-22
Anything you plate or serve at your tables	Seating area	Generally taxable (in Texas, when served with your plates or utensils)	CA Regulation 1603 · NY TB-ST-283 and TB-ST-806 · FL TIP 10A01-22 · TX: served with your plates or utensils
Texas: bakery items, a whole cake or a single slice	To go, in a napkin, wax paper or a clamshell	Exempt	34 TAC §3.293: none of those counts as a plate or utensil
Florida: five items or fewer, in a shop with tables	Not packaged to go and rung up separately	Taxable (presumed eaten on site)	Florida Department of Revenue, TIP 10A01-22
California: a pastry and a hot drink for one price	Counter or to go	Taxable, the whole combo	CDTFA Regulation 1603
New York: food from a restaurant-type business (a bakery-café may be one)	To go	Taxable, unless sold in the form, quantity and packaging of a food store (a dozen bagels)	NY TB-ST-806

Checked October 2026 · California: CDTFA, Regulation 1603 · New York: Department of Taxation and Finance, TB-ST-283 and TB-ST-806 · Texas: Comptroller of Public Accounts, 34 TAC §3.293 · Florida: Department of Revenue, TIP 10A01-22 (links in the Regulatory Appendix) - the same croissant changes its tax depending on where the customer eats it, and that has to be set up in your point of sale from the first day.

20. Timeline, Opening Day and the First Ninety Days

The Critical Path and Your Opening Date

The critical path is the chain of milestones that can't slip: if any one of them moves a day, opening moves a full day, because everything after it depends on that milestone finishing first. It isn't the longest path by accident; it's the path that rules the whole calendar. In the case modeled for this guide, that chain has 11 milestones on the critical path, and the whole project, from the day you start looking for a space to the day you open the doors for the first time, takes 8.5 months. That number doesn't come from a hunch or from a deadline that sounds reasonable: it comes from adding up the duration of each milestone in the chain, one after another, with no slack between them. The milestones that aren't on the critical path do have room, and that room is exactly what lets you give them attention without the overall clock suffering.

Chaining those 11 milestones puts the modeled case's opening in month 9 of the calendar year, September. I insist on this because it's the idea that's hardest to take on board when you're setting up your own pastry shop: the opening month isn't a date you pick by looking at the calendar and saying "I want to be open by then." It's the result of a calculation. You start counting from the day the project starts, add the duration of each milestone on the critical path, and month 9 is where the last domino falls. If you want to open sooner, the only real lever is to shorten one of the milestones in that chain of 11 (not the others, because they already have room of their own and shortening them moves nothing up), and if you can't, month 9 is your date, whether you accept it or not.

Inside that chain there's one decision worth explaining on its own, because it's the one that can save you the most weeks in the whole calendar: ordering and delivering the production kitchen equipment doesn't wait for the build-out to finish. The two run in parallel. As soon as you know what you're buying (the oven, the blast chiller, the mixer, the roll-in retarder-proofer, the display case), you place the order, even if the space is still under construction. Those are critical pieces precisely because their manufacturing and delivery lead time is long and doesn't depend on you: it depends on the manufacturer, its order backlog and freight. If you wait until the build-out is finished to start calling dealers, that lead time gets added to the end of the calendar instead of overlapping with the build-out, and those weeks come straight off your opening date with nothing you can do to win them back. And it works because the order depends on your plans, not on your permit: your plans already list each piece by make and model for plan review (chapter 8). Ordering in parallel is the decision that saves the most real time in the whole project, more than any tweak to the paperwork.

What you do have to watch, and this goes for every duration in the timeline, is that they're planning assumptions, not legal processing times: how long your permits take depends on your county and your city, and no timeline can promise you how many weeks yours will take. The only legal clock anywhere near this chart is California's, where the health department has 20 working days to review your plans or they're deemed approved. What the timeline does give you is the logic of dependencies (what has to be finished before something else can start), and that logic is the same whether the permit process speeds up or slows down.

Opening Outside a Peak and Reaching Three Kings Day Already Broken In

There's one criterion that outweighs every other when you read the timeline: opening inside a big peak is the worst possible scenario. And it is for a very concrete reason, not superstition: it's the day you'd be breaking in the equipment, a brand-new team and your suppliers all at once, right when you have the most to produce. A production kitchen that hasn't run a single real shift, a team that hasn't worked together for one day and suppliers you haven't placed even a test order with, all converging on the busiest day of the year. That's why the timeline doesn't just give you a date: it warns you if that date falls inside a peak, because that alert is what lets you react in time, either by moving one of the milestones that do have room or by accepting, with your eyes open, that you're going to open under fire.

The strategy that holds up is the opposite one: open with enough room before the big peak to arrive with the production kitchen already broken in and the schedule already tested. Let the first peak, the one that decides whether your year starts well or badly, find you with machinery you know, a team that already knows where everything is and suppliers who have filled at least a couple of orders without surprises. Which peaks your calendar has, and how to plan them ahead, is the subject of chapter 15, on the six peaks of the year, and that's where you should cross your opening date with the full commercial calendar for the year.

The modeled case's timeline, opening in September, leaves a few weeks before All Saints' Day and Día de los Muertos (October 30 to November 1), a short peak that works as a dress rehearsal, with Thanksgiving and Christmas after it in the case's monthly curve, and more than three months before Three Kings Day (January 2-6), the peak behind the case's January, 11.2% of the year's sales (chapter 2). That gap is exactly what separates a calm opening from a blind one. The timeline itself, the table right below this text, is what warns you whether your real date, yours, falls inside or outside that window. It's the cheapest check you can run before you sign a construction contract: look at which month your planned opening falls in and compare it with the peak calendar before you commit to anything.

Your Hours and Your Sales Mix as First-Day Business Decisions

There's a commercial lever many new pastry shops don't use because they don't think of it as one: your days and hours. Before you print them, check the places that can limit them, and ask in writing: your lease (whether it, or the shopping center's rules and CC&Rs, says anything about the hours you keep), your city's zoning for that address, and its noise ordinance, which tends to matter more for a 4:30 a.m. early bake, its rooftop exhaust fan and its deliveries than for the counter (chapter 6). With those answers in hand, the hours you choose are a business decision, not a legal accident, and Sunday is where that decision matters most.

But in the US, the rule that really moves with your business model isn't about hours: it's about what your shop mainly is, and it's measured by your sales mix. Several of the rules in this guide draw their line at "more than half" or at a share of sales. Texas writes its sales tax exemption for a bakery, a business where more than half of sales are display-case bakery items to be eaten somewhere else, and those items stay exempt unless you sell them with your own plates or utensils; California's 80/80 rule can tax even cold food to go once more than 80% of your sales are food and more than 80% of that food is taxable, unless you keep separate accounts; in Florida, once you have seating, five items or fewer are presumed to be eaten on site; and New York City decides between its own food service permit and the state license by whether more than half of a mixed shop's revenue is prepared food. Open a bakery with a café and, over time, let the café outsell the counter of cakes and pastries, and your tax treatment, and in New York City even your permit, can change without your having touched the sign on the door. That's not a question of hours; it's a question of business model: how you design your menu, your sales floor and your revenue mix from day one decides which side of those lines you're on. Keep it in mind when you decide how much floor goes to café tables and how much to the display case, because that split isn't only a layout decision: it's what your sales tax setup rests on, and it's why your POS tags every sale as to-go or for-here from the first day (phase P6, chapter 9; chapter 19 for the details).

From there comes a business decision you make on day one, not after a year of being open: Sunday is cake day. It's the day with the most custom orders picked up and the most last-minute buying, and deciding whether you open that day, and with which staff (because opening on a Sunday without the right Counter Associate is worse than not opening), shapes your schedule from the first week. The modeled case keeps the counter closed on Sundays, and that's an assumption to test against this, not a recommendation. How that schedule is organized, which shifts cover Sunday and how it's split across the team is covered in chapter 14, on shifts; what belongs here is that the decision to open on Sunday, with what hours and with whom, is made before you open the door, not improvised when there's already a line at the display case.

What to Measure in Month Zero and Month Three

Without indicators there's no correcting anything. You can have the best production kitchen in town and lose money simply because nobody is looking at the numbers that would show where the business is bleeding. That's why this guide doesn't close with an opening date and nothing more: it closes with a startup dashboard, the one right below this text, which sets what gets measured from day one, how often it gets measured and who is responsible for taking that number. That last part isn't a minor detail: an indicator without an owner doesn't get measured, however well it's designed on paper. If nobody is assigned to write down display-case waste at closing, or the number of custom orders picked up against the ones promised, that figure simply doesn't exist three months later, and without it there's no adjustment possible.

Month zero starts on opening day and gives you the first real picture of the business, the one that replaces every assumption you've worked with on paper until now. Month three is the point where you have enough data to stop flying blind and start correcting with judgment: with three months of history you can adjust your menu mix (which items sell and which take up display space without turning over), the daily production of each item and the schedule itself, moving hours from where there are too many to where the counter falls short. That month-three adjustment isn't done by eye: it's done with the tools in this pack that are designed to be filled in with exactly the data you've been writing down since month zero, and it's in them that the adjustment turns into a concrete decision on staffing, production and menu.

And here's the border that closes this guide: from this point on, your business is open. Everything that comes after (the weekly production plan, tracking custom orders day by day, the daily display-case and kitchen logs) isn't this guide's job anymore: once you're open, your checklists and logs tell you what to do each day; this guide is everything you have to decide before. The engineering of your menu, with the costing method that decides which items you keep and at what price, is in the Food Cost + Menu Engineering Guide. And the food safety records your kitchen has to keep from the first day of real production (temperatures, traceability, cleaning) come in the HACCP Food Safety Kit Pro. This guide has brought you to the door with the regulatory map, the timeline and the numbers model; what happens inside, from now on, those other tools cover.

The twelve opening milestones, with their duration, slack and critical path (permits-and-licenses-checklist.xlsx, "Timeline and Critical Path" sheet)

ID	Milestone	Duration (months)	Depends on	Starts (project month)	Ends (project month)	Slack (months)	Critical path?	Calendar month it ends
M1	Site search and screening	2.0	-	0.0	2.0	0.0	Yes	March
M2	Lease signing and security deposit	0.5	M1	2.0	2.5	0.0	Yes	March
M3	Stamped plans and specifications	1.0	M2	2.5	3.5	0.0	Yes	April

ID	Milestone	Duration (months)	Depends on	Starts (project month)	Ends (project month)	Slack (months)	Critical path?	Calendar month it ends
M4	Plan review and building permit	1.5	M3	3.5	5.0	0.0	Yes	June
M5	Build-out and installations	2.0	M4	5.0	7.0	0.0	Yes	August
M6	Order and delivery of equipment	2.5	M3	3.5	6.0	1.0	No	July
M7	Equipment installation and start-up	0.5	M5	7.0	7.5	0.0	Yes	August
M8	Pre-opening inspection and food permit	0.5	M7	7.5	8.0	0.0	Yes	September
M9	CFPM, food handler cards and food safety plan	0.5	M7	7.5	8.0	0.0	Yes	September
M10	Hiring and payroll setup	0.5	M7	7.5	8.0	0.0	Yes	September
M11	Production trials and final opening menu	0.5	M8	8.0	8.5	0.0	Yes	September
M12	Opening	0.0	M11	8.5	8.5	0.0	Yes	September

Durations are planning assumptions. The only milestone with slack in the modeled case is the equipment order, because it runs in parallel with the build-out: all the others are on the critical path and push the opening back day for day.

What gets measured in month zero and month three, with owner and frequency

What gets measured	When	With which tool in the pack	Who answers for it
Pieces produced per day against the bottleneck's capacity	Daily from day one	kitchen-capacity-and-site.xlsx	Head Pastry Chef
Tickets per day and average ticket	Weekly from day one	3-year-financial-plan.xlsx	Owner
Actual menu mix against the planned mix	Monthly from month one	opening-menu-and-recipe-costing.xlsx	Owner
Planned hours against actual hours	Weekly from day one	staff-schedule-and-labor-cost.xlsx	Owner
Actual spending against the planned startup costs	When the build-out closes	startup-cost-calculator.xlsx	Owner
Cash balance against the monthly forecast	Monthly from month one	3-year-financial-plan.xlsx	Owner
Items with a "Drop" or "Review price" verdict	At the close of month three	opening-menu-and-recipe-costing.xlsx	Owner
Custom orders accepted, with their actual hours	Monthly from month one	Your daily task checklists (outside this pack)	Head Pastry Chef

With three months of data you can already correct the mix, the production per item and the schedule. Before that, any change is a hunch.

Regulatory Appendix (US), Updated October 2026

What's in Force and Which Edition Applies

Cut-off date for this appendix: October 2026. It's a snapshot of the rules on the day this edition closed, so that a year from now you can check for yourself what still stands of everything you've read. It doesn't explain each rule again (that's done in its chapter); it only says where the rule lives, which edition applies and where to check it. In the US the question is rarely whether a rule has been repealed outright: far more often it's which edition your state has adopted, which agency enforces it where you open, and whether a figure in it has been updated for the year.

The food safety pillar of the whole book is the FDA Food Code 2022, the federal model. It isn't law on its own: each state adopts an edition, and your inspector enforces that one. Per FDA's 2024 adoption report, California applies its own Retail Food Code (which FDA lists against the 2005 edition), Texas and Florida the 2017 edition, and New York's Department of Agriculture and Markets the 2001 edition for retail food stores; by 2024, seven states had adopted the 2022 edition (Colorado, Connecticut, Illinois, Mississippi, Ohio, Pennsylvania and Utah), with Hawaii and Virginia following in 2025. The section numbers this guide cites (2-102.12, 2-103.11(O), 3-501.14, 3-501.16, 3-501.17, 3-602.11(B), 3-602.12(C), 4-205.10, 8-201.11 and 8-201.12, among others) are the 2022 ones, and building to them is the safe choice. On the federal side, the exemption from FDA food facility registration for retail food establishments (21 CFR 1.226(c), with the definition in 1.227) stands as read in the eCFR, up to date as of October 14, 2026.

On packaging, the rules are state rules and their dates are already behind us. New York has banned expanded polystyrene (EPS) foam containers since January 1, 2022, and intentionally added PFAS in food packaging since December 31, 2022. California has banned EPS food service ware since CalRecycle announced on April 4, 2025 that the 25% recycling rate SB 54 requires hadn't been met (the Attorney General reminded businesses on December 2, 2025, with administrative penalties of up to $50,000 a day), and it has banned PFAS in plant-fiber packaging since January 1, 2023 (AB 1200). Florida reserves the regulation of polystyrene to the state (§500.90, read in its 2021 edition), and in Texas we found no statewide ban. On food waste, California's edible food recovery rules (SB 1383) reach only large generators, its commercial organics recycling law (AB 1826) has used a threshold of 2 cubic yards of solid waste since September 2020, and the federal Bill Emerson Good Samaritan Food Donation Act (42 U.S.C. §1791) protects good-faith donors, as amended on January 5, 2023 to cover some direct donations too. On accessibility, the sales counter follows ADA Standards 904.4.1. And on the hood, the International Mechanical Code sections were read through one state's adoption, Minnesota's, of an older edition, because the current IMC (2021 or 2024) wasn't open to us: the mechanical code your jurisdiction has adopted is the one that governs.

On taxes, there's no national food tax rule: each state draws its own line, and for a bakery it follows how you sell, not what you sell. California (CDTFA, Regulation 1603, with its 80/80 rule), Texas (34 TAC §3.293, as the Comptroller explains it, with a 6.25% state rate plus up to 2% local, 8.25% at most combined), New York (TB-ST-283 and TB-ST-806, plus advisory opinion TSB-A-24(19)S on production equipment) and Florida (TIP 10A01-22) are current as read; Florida has a proposed rewrite of Rule 12A-1.011 that we couldn't confirm had taken effect. On federal payroll and owner taxes, the IRS pages read in October 2026 give FICA at 7.65% (with a 2026 Social Security wage base of $184,500), FUTA at 0.6% after the credit on the first $7,000, self-employment tax at 15.3% and the default tax treatment of a one-member or multi-member LLC.

Labeling is federal and current: the nine major allergens, with sesame added on January 1, 2023 (FALCPA and the FASTER Act); "gluten-free" under 20 ppm (21 CFR 101.91); and the general ban on false or misleading labeling (FD&C Act §403(a)). We found no federal definition of "homemade" or "scratch-made" (nor did we confirm that none exists), which is why the guide asks you to say what you actually do. New York signed a law on November 12, 2025 on allergen notices for food packaged and sold in the same store, bakeries included; we couldn't confirm when it takes effect. And a scope warning you can't skip: only four example states have been checked, so the state rows in the table below can't be read as a census of all fifty. Check your own state's agencies.

Last, wages: there's no industry-wide pay agreement in the US, so what moves are the minimums. The Department of Labor's state table used here was updated on July 1, 2026; Florida's rate was scheduled to rise on September 30, 2026, which we couldn't confirm with FloridaCommerce, the state agency that publishes it. Texas applies the federal $7.25.

If you're opening in the UK, one block is enough here: the UK works with 14 allergens, food you prepack for direct sale needs a full ingredient list, and for unpackaged food the information can be given in any form, even orally, as long as a notice tells customers how to get it (gov.uk allergen guidance for food businesses, https://www.gov.uk/government/publications/allergen-guidance-for-food-businesses/allergen-guidance-for-food-businesses, checked October 2026). Your Equivalents Guide maps the rest of the terms.

The Dates We Already Know Will Move

There are five blocks here, with the seven rows of the table below, and all of them will move on their own without a word of the rest of the text changing, which is why they're grouped here instead of scattered across twenty chapters: when the time comes, you update this section and the rest of the guide stays true.

The first is the minimum wage, at every level, and it's renewed whenever your state or city sets a new rate. The case's reference, the federal $7.25 that Texas applies, $15,080 a year for a full-time position, lives in the "Settings" sheet of staff-schedule-and-labor-cost.xlsx (and in the "0. Assumptions" sheet of 3-year-financial-plan.xlsx) along with the rest of the payroll figures; when a new rate is published where you open, you change that cell and the sheets that depend on it recalculate on their own. Florida's own schedule set a step for September 30, 2026, which is why its rate needs checking now.

The second is California's cottage food law, which moves twice: its sales caps are adjusted every year for inflation (for 2026, $88,878 for Class A and $177,756 for Class B), and CDPH has given notice of an amendment to its Approved Cottage Food List that adds chocolate and nut spreads, with the new list expected around November 16, 2026. Both dates have to be checked together.

The third is New York's allergen notice for food packaged and sold in the same store: signed on November 12, 2025, with an effective date that one law firm puts around November 2026 and that we couldn't confirm in the law's text.

The fourth is the edition of the Food Code your state enforces: when it adopts the 2022 edition, as Hawaii and Virginia did in 2025, the section numbers and wording your inspector uses can change.

And the fifth is the calendar of the peaks that move every year: Easter Sunday 2027 falls on March 28, so Holy Week lands in March, and Mardi Gras 2027, the end of king cake season, falls on February 9.

The figures the workbooks calculate with (the minimum wage, the peak months) live in editable cells, never sewn into a paragraph of prose; the rest live in chapter text and sheet notes, and the table below tells you which ones to revisit. That's why changing a date or a rate doesn't force you to rewrite any other chapter, only this table.

The Old Rules Free Guides Still Quote

There's a concrete problem behind this section: free guides written before these changes are still online, and whoever reads one and plans a kitchen or a product line around it is leaning on a rule that has since changed. In some cases the old version is looser than the current one, so the mistake doesn't show until an inspection, a customer's reaction or an order you turned away for nothing.

Here are five, each with what replaced it:

- "Potentially hazardous food" is the old name for what the Food Code now calls TCS food, food that needs time and temperature control for safety (1-201.10). It's the same idea, decided by pH and water activity, and some state texts still use the old term (California's cottage food list speaks of "non-potentially hazardous" foods): what changed is the name, so don't let the two terms make you think there are two rules.
- The certified manager: older editions of the Food Code asked for at least one employee with supervisory responsibility to be a certified food protection manager; the 2022 edition makes the person in charge one (2-102.12). Your inspector enforces your state's edition, but building to the 2022 rule is the safe choice.
- Eight major allergens: since January 1, 2023 there are nine, with sesame (FASTER Act). An allergen chart without sesame is out of date, and so is any written notice built from it.
- Texas cottage food without cream fillings: since Senate Bill 541, in force since September 1, 2025, Texas allows TCS items such as cream cakes and cheesecake from home if you register with DSHS, label them with the production date and safe-handling instructions and deliver them at 41 °F or below, up to $150,000 a year. Guides written before then still say no.
- California's $75,000 and $150,000 cottage food caps: those are the base figures in the law, adjusted every year for inflation; for 2026 they're $88,878 (Class A) and $177,756 (Class B), per CDPH.

Outside this section, the rest of the guide uses the current version of all five: if you see the old one quoted as current somewhere else, that content hasn't been reviewed since the change.

How to Check a Rule's Current Version in One Minute

The procedure is always the same, and you don't need a screenshot to follow it. For a federal regulation, search its number ("21 CFR 1.227", "21 CFR 101.91") in the eCFR, the Electronic Code of Federal Regulations, which shows the date its text is up to date as of (October 14, 2026, when we read it). For the Food Code, open FDA's report on adoption by state (the fourth row of the table below) and find your state's agency and edition. For everything else (permits, cottage food, sales tax, wages), go straight to the state agency's own page in the table, not to a summary of it.

Every official page carries a line that tells you how fresh it is: the eCFR's "up to date as of", the IRS's "Page Last Reviewed or Updated" (October 10, 2026 on its LLC page), the Texas Department of Insurance's "Last updated" (June 8, 2026 on its page for employers) or FDA's "Content current as of" (April 7, 2026 on its allergen cleaning study). If that line is missing or very old, nobody has touched the page in a long time; that doesn't prove the rule changed, but it's a signal to call the agency. And below it, look at the section you need, not just the rule as a whole: a section can be amended, renumbered or moved while the rest stays in force, and the Food Code itself changes its wording between editions (the certified manager rule did, between the older editions and the 2022 one).

The advice that saves this edition's mistakes is exactly that: check the section, not the code, and check the edition your inspector enforces, not the newest model. A code can be current as a whole and the specific section you care about can read differently in your state's edition, or have moved, which is why this appendix, with its October 2026 cut-off, should be rechecked section by section and state by state when you come back to it in a year.

Rule by rule: what it says and where to check it, cut-off October 2026

Rule (official source)	What it says, in one line	Where to check it
FDA Food Code 2022: plans, sinks, equipment and finishes (FDA); Texas, 25 TAC §228.171	Plans before you build and the permit after the pre-opening inspection (8-201.11, 8-201.12, Part 8-3); hand, three-compartment and mop sinks; certified equipment (4-205.10); cleanable, coved finishes, light-colored in Texas. Ch. 4 to 10	https://www.fda.gov/media/164194/download · https://www.law.cornell.edu/regulations/texas/25-Tex-Admin-Code-SS-228-171 · checked October 2026
FDA Food Code 2022: cold chain (FDA)	TCS food at 41 °F or below (3-501.16), cooled from 135 to 70 °F in 2 hours and to 41 °F within 6 (3-501.14), date-marked past 24 hours, 7 days at most (3-501.17); TCS by pH and water activity (1-201.10). Ch. 5, 7, 9, 10, 12, 17, 19	https://www.fda.gov/media/164194/download · checked October 2026
FDA Food Code 2022: people and labels (FDA)	The person in charge is a certified food protection manager (2-102.12); staff trained for their duties, allergens included (2-103.11(O)); written allergen notice on unpackaged food (3-602.12(C)); full label on food packaged in the shop (3-602.11(B)). Ch. 2, 9, 10, 16, 17, 19	https://www.fda.gov/media/164194/download · checked October 2026
Adoption of the FDA Food Code by State and Territorial Agencies (FDA, 2024)	Editions in force: California its own code (listed against 2005), Texas and Florida 2017, New York 2001 for retail food stores; seven states on the 2022 edition by 2024. Ch. 9, 10	https://www.fda.gov/media/107543/download · checked October 2026
21 CFR 1.226(c) and 1.227: food facility registration (FDA)	Retail food establishments don't register with FDA; retail means more than half of annual food sales, by value, go directly to consumers, and businesses aren't consumers. Ch. 1, 9, 16, 17	eCFR, Title 21, up to date as of October 14, 2026: search "21 CFR 1.227" · checked October 2026
FALCPA and the FASTER Act (FDA); New York bill S5381B	Nine major food allergens, with sesame since January 1, 2023. New York: allergen notice on food packaged and sold in the same store, signed November 12, 2025, effective date not confirmed. Ch. 10, 16, 19	https://www.fda.gov/food/nutrition-food-labeling-and-critical-foods/food-allergies · New York: https://www.allergicliving.com/2025/11/13/ny-law-brings-allergen-labeling-to-deli-bakery-packaged-foods/ (news report; bill text at https://legislation.nysenate.gov/pdf/bills/2025/S5381B, not opened) · checked October 2026
21 CFR 101.91 and FD&C Act §403(a): labeling claims (FDA)	"Gluten-free" and its variants only under 20 ppm of gluten; false or misleading labels are banned, and 21 CFR 101.95 rules on "fresh" only where it suggests unprocessed food. Ch. 2, 7, 10, 16, 17	eCFR, Title 21, up to date as of October 14, 2026: search "21 CFR 101.91" · checked October 2026
Allergen removal and transfer in retail food establishments (FDA study)	Full cleaning (wash, rinse, sanitize, air-dry) removes allergens; dry wipes do worse than wet ones. A study, not a Food Code section. Ch. 10	https://www.fda.gov/food/retail-food-protection/allergen-removal-and-transfer-using-wiping-and-cleaning-methods-retail-food-establishments (content current as of April 7, 2026) · checked October 2026

Rule (official source)	What it says, in one line	Where to check it
Bill Emerson Good Samaritan Food Donation Act, 42 U.S.C. §1791 (Cornell LII)	Good-faith donors of apparently wholesome food are protected except for gross negligence or intentional misconduct; some direct donations covered since January 5, 2023; state and local health rules still apply. Ch. 19	https://www.law.cornell.edu/uscode/text/42/1791 · checked October 2026
Fair Labor Standards Act and Fact Sheet #21 (Department of Labor)	$7.25 federal minimum; overtime at 1.5 times over 40 hours a week; no federal break rule; hours on record by day and week, payroll kept 3 years and time cards 2, by any complete and accurate method. Ch. 9, 13, 14	https://www.dol.gov/agencies/whd/flsa · https://www.dol.gov/agencies/whd/overtime · https://www.dol.gov/general/topic/workhours/breaks · https://www.dol.gov/agencies/whd/fact-sheets/21-flsa-recordkeeping · checked October 2026
Fact Sheet #43 and Hazardous Occupations Order No. 11 (Department of Labor; 29 CFR 570.35)	Under 16: no baking, and work only from 7:00 a.m. to 7:00 p.m. (9:00 p.m. from June 1 to Labor Day); under 18: no power-driven mixers, sheeters or cookie machines, cleaning included. Ch. 14, 15	https://www.dol.gov/agencies/whd/fact-sheets/43-child-labor-non-agriculture · checked October 2026
State minimum wage table (Department of Labor, updated July 1, 2026)	California $16.90 · New York $17.00 (New York City, Long Island, Westchester) or $16.00 · Florida $14.00, scheduled to rise September 30, 2026 · Texas $7.25. Cities can set more. Ch. 1, 13	https://www.dol.gov/agencies/whd/minimum-wage/state · checked October 2026
Topics 751 and 759: FICA and FUTA (IRS)	Employer FICA 7.65% (2026 Social Security wage base $184,500); FUTA 6.0% on the first $7,000 of pay, 0.6% after the credit. Ch. 13	https://www.irs.gov/taxtopics/tc751 · https://www.irs.gov/taxtopics/tc759 · checked October 2026
EIN, LLC classification and self-employment tax (IRS)	A free EIN; a one-member LLC is disregarded, a multi-member one is a partnership unless Form 8832 elects otherwise; self-employment tax of 15.3% on net earnings of $400 or more. Ch. 9, 18, 19	https://www.irs.gov/businesses/small-businesses-self-employed/get-an-employer-identification-number · https://www.irs.gov/businesses/small-businesses-self-employed/limited-liability-company-llc · https://www.irs.gov/businesses/small-businesses-self-employed/self-employment-tax-social-security-and-medicare-taxes · checked October 2026
Business structure, licenses and loans (SBA)	Sole proprietorship or LLC, local business license, state seller's permit and DBA; 7(a) loans up to $5 million (SBA Express $500,000), Microloans up to $50,000, and 7(a) plus 504 combined up to $10 million since July 4, 2026. Ch. 4, 9, 19	https://www.sba.gov/business-guide/launch-your-business/choose-business-structure · https://www.sba.gov/business-guide/launch-your-business/apply-licenses-permits · https://www.sba.gov/funding-programs/loans · https://www.sba.gov/funding-programs/loans/microloans · https://legacy.sba.gov/article/2026/07/07/small-businesses-now-eligible-10-million-sba-financing · checked October 2026
On-Site Consultation Program (OSHA)	Free, confidential hazard consultations for small and midsize businesses, separate from enforcement. Ch. 14	https://www.osha.gov/consultation · checked October 2026
A Consumer's Guide to Buying a Franchise (FTC, 2020)	The FDD at least 14 days before you sign or pay; costs in Items 5 to 7, financial performance in Item 19, the system in Item 20, audited statements in Item 21. Ch. 6	https://www.ftc.gov/business-guidance/resources/consumers-guide-buying-franchise · checked October 2026

Rule (official source)	What it says, in one line	Where to check it
International Mechanical Code 507, hoods (read through Minnesota Rule 1346.0507, an older edition)	Type I for grease or smoke, Type II for heat and steam; exceptions for electric appliances listed to UL 710B (5 mg/m^3 of grease or less) and a single light-duty electric oven of 3.7 kW or less. Ch. 1, 5, 6, 8	https://www.revisor.mn.gov/rules/pdf/1346.0507/2015-01-28%2011:30:27+00:00 · https://revisor.mn.gov/rules/pdf/1346.0507/2014-01-18%2001:26:03+00:00 · checked October 2026
NFPA 96 and IMC 506, grease ducts (read through Minnesota Rule 1346.0506); fire marshal (a city example)	Type I grease ducts follow NFPA 96 and serve no other exhaust, normally one per hood (the section number varies by edition); the fire marshal checks suppression and the Class K extinguisher. Ch. 4, 6, 9	https://www.revisor.mn.gov/rules/1346.0506/ · checked October 2026 · city example: https://shakopeemn.gov/home/showpublisheddocument/5377/637708611310000000 (earlier research, not reopened)
ADA Standards for Accessible Design, 904.4.1 (U.S. Access Board; ada.gov)	A counter stretch at least 36 inches long and no more than 36 inches high, with clear floor space for a parallel approach. Ch. 5, 9	https://www.access-board.gov/ada/chapter/ch09/ · https://www.ada.gov/law-and-regs/design-standards/standards-guidance/ · checked October 2026
Food permit and plan review: California and Texas	California: environmental health reviews plans before the building permit, within 20 working days (Health and Safety Code §114380). Texas: local health department, or DSHS where there's none; Austin \$312 plan review and \$178 inspection, Williamson County \$882. Ch. 4, 6, 9	https://california.public.law/codes/ca_health_and_safety_code_section_114380 · https://publichealth.lacounty.gov/eh/inspection/construction-requirements-retail-food-facilities.htm · https://dshs.texas.gov/retail-food-establishments · https://www.dshs.texas.gov/sites/default/files/foodestablishments/pdf/Local%20Ordinance%20Registry/final-city-of-austin-adopted-fy25-26-food-permit-fee-schedule.pdf · checked October 2026
Food permit and plan review: New York and Florida	New York: Agriculture and Markets Article 20-C license for in-store bakeries; the health department with seating; the New York City permit if prepared food is over half of revenue. Florida: FDACS food permit (voluntary \$55.10 plan review) or its wholesale permit; DBPR for on-site dining. Ch. 6, 9, 17	https://agriculture.ny.gov/food-business-licensing · https://nyc-business.nyc.gov/nycbusiness/description/food-service-establishment-permit · https://www.fdacs.gov/Business-Services/Food/Food-Establishments/Retail-Food-Establishment-Permit · https://www.fdacs.gov/Business-Services/Food/Food-Establishments/Wholesale-Manufactured-Food-Establishment-Permit · https://www.floridahealth.gov/licensing-regulations/regulated-facilities/food-safety-and-sanitation/frequently-asked-questions/ · https://www2.myfloridalicense.com/hr/forms/documents/application_packet_for_food_service_license.pdf · checked October 2026
Cottage food in the four example states (CDPH; Texas DSHS; New York Agriculture and Markets; Florida Statutes §500.80)	California \$88,878 (Class A) and \$177,756 (Class B) in 2026, approved list only; Texas \$150,000, TCS with DSHS registration since September 1, 2025; New York closed list, in-state only; Florida \$250,000, no permit, no wholesale. Legal in all 50 states. Ch. 1, 9, 16, 17	https://www.cdph.ca.gov/Programs/CEH/DFDCS/CDPH%20Document%20Library/FDB/FoodSafetyProgram/CottageFood/CFOAdjustedGrossAnnualSalesLimit2026.pdf · https://www.dshs.texas.gov/foodestablishments/cfpo · https://agriculture.ny.gov/food-safety/home-processing · http://www.leg.state.fl.us/statutes/index.cfm?App_mode=Display_Statute&URL=0500-0599/0500/Sections/0500.80.html · checked October 2026 · all 50 states: https://ij.org/ij-works-wonders-ij-fights-half-baked-cottage-food-laws/ (Institute for Justice, earlier research)

Rule (official source)	What it says, in one line	Where to check it
Food handler and manager training in the four example states	California: card within 30 days, valid 3 years (Health and Safety Code §113948); Texas: accredited course, no city card (§438.046(c)), certified food manager (25 TAC §229.176); New York City: Food Protection Certificate ($114); Florida: check FDACS or DBPR. Ch. 10	https://www.fresnocountyca.gov/files/assets/county/public-health/environmental-health/food-safety/california-food-handler-card.pdf · https://california.public.law/codes/health_and_safety_code_section_113948 · https://texas.public.law/statutes/tex._health_and_safety_code_section_438.046 · https://law.cornell.edu/regulations/texas/25-Tex-Admin-Code-SS-229-176 · https://www.nyc.gov/assets/doh/downloads/pdf/rii/fpc-manual.pdf · https://nyc-business.nyc.gov/nycbusiness/description/food-protection-certificate · checked October 2026
Sales tax on bakery goods: California and Texas (CDTFA; Texas Comptroller)	California: exempt to go, taxable on site, with the 80/80 rule (Regulation 1603). Texas: exempt unless sold with your plates or utensils (34 TAC §3.293); 6.25% state plus up to 2% local, 8.25% at most. Ch. 2, 4, 8, 19	https://cdtfa.ca.gov/lawguides/vol1/sutr/1603.html · https://cdtfa.ca.gov/industry/grocery-stores/industry-topics.htm · https://cdtfa.ca.gov/lawguides/annotations/245-1292.pdf · https://comptroller.texas.gov/taxes/publications/94-117.php · https://comptroller.texas.gov/taxes/publications/96-280.php · https://comptroller.texas.gov/taxes/sales/ · checked October 2026
Sales tax on bakery goods: New York and Florida (New York Department of Taxation and Finance; Florida Department of Revenue)	New York: food-store bakery products exempt unless eaten on site (TB-ST-283), restaurant-type sales under TB-ST-806, production equipment in TSB-A-24(19)S. Florida: exempt without seating; with seating, five items or fewer presumed eaten there (TIP 10A01-22). Ch. 4, 19	https://www.tax.ny.gov/pubs_and_bulls/tg_bulletins/st/food_sold_by_food_stores.htm · https://www.tax.ny.gov/pubs_and_bulls/tg_bulletins/st/sales_by_restaurants.htm · https://www.tax.ny.gov/pubs_and_bulls/advisory_opinions/sales/24-19s.htm · https://floridarevenue.com/taxes/tips/documents/TIP_10A01-22.pdf · checked October 2026
Packaging in the four example states (NYSDEC; California Attorney General; Florida Statutes §500.90)	New York: EPS foam banned since January 1, 2022, added PFAS since December 31, 2022. California: EPS food service ware banned (SB 54, CalRecycle notice of April 4, 2025), PFAS in plant-fiber packaging since January 1, 2023 (AB 1200). Florida: polystyrene reserved to the state. Texas: no statewide ban found. Ch. 11, 17, 19	https://dec.ny.gov/environmental-protection/recycling-composting/go-foam-free · https://dec.ny.gov/environmental-protection/recycling-composting/businesses · https://www.oag.ca.gov/news/press-releases/attorney-general-bonta-issues-reminder-eps-foam-food-service-ware-ban-california · https://huntonak.com/the-nickel-report/california-attorney-general-issues-stark-warning-to-businesses-regarding-enforcement-of-pfas-in-food-packaging-and-cookware-laws (law-firm summary) · https://flsenate.gov/laws/statutes/2021/500.90 (2021 edition) · checked October 2026
Food waste in California: SB 1383 and AB 1826 (CalRecycle)	SB 1383 makes large generators (grocery stores over 10,000 sq ft, restaurants over 5,000 sq ft or with 250 or more seats) donate surplus edible food under written agreements; AB 1826 requires organics recycling above 2 cubic yards of solid waste. Ch. 19	https://calrecycle.ca.gov/organics/slcp/foodrecovery/donors/ · https://calrecycle.ca.gov/recycle/commercial/organics/ · checked October 2026

Rule (official source)	What it says, in one line	Where to check it
Wage-and-hour rules beyond the FLSA (California Labor Commissioner and EDD; Texas Department of Insurance; FloridaCommerce; city laws)	California meal and rest breaks, with one hour's pay per missed day, and new-employer unemployment tax of 3.4% plus 0.1%; Texas workers' comp optional, with notice to the state; Florida's current rate from FloridaCommerce; predictive scheduling in Oregon and some cities. Ch. 13, 14	https://www.dir.ca.gov/dlse/faq_mealperiods.htm · https://www.dir.ca.gov/dlse/faq_restperiods.htm · https://edd.ca.gov/en/payroll_taxes/rates_and_withholding/ · https://www.tdi.texas.gov/wc/employer/index.html (last updated June 8, 2026) · Florida: search "FloridaCommerce minimum wage" (no link checked) · https://joinhomebase.com/blog/predictive-scheduling-laws-2020-whats-changing/ · https://www.nory.ai/blog/predictive-scheduling-laws (industry summaries; city thresholds not checked) · checked October 2026

Checked in October 2026 against the official texts and agency pages listed, except where a row says otherwise. Only four example states have been checked, so the state rows aren't complete: check your own state's agencies. Market and price figures (BLS, NRF, CBRE, Toast, Zenind, DoorDash, WebstaurantStore, USDA Dairy Market News, DataForSEO and the published cost estimates) aren't rules: they're cited with their publisher and date in each chapter.

The dates we already know will move, and what to redo with each one

What changes	Known date	What to redo when it arrives
Federal, state and city minimum wages (the Department of Labor's state table)	Whenever your state or city sets a new rate (the table used here: July 1, 2026)	The minimum wage cell in "Settings" (staff-schedule-and-labor-cost.xlsx) and in "0. Assumptions" (3-year-financial-plan.xlsx), and the comparison in chapter 13
Florida's minimum wage, scheduled step	September 30, 2026 (not confirmed)	The Florida figure in chapters 1 and 13: check FloridaCommerce
California's cottage food sales caps, adjusted for inflation	Every year (2026: $88,878 Class A, $177,756 Class B)	The caps in chapter 9 and the notes on the "Cottage Food Route" sheet
California's Approved Cottage Food List, amendment adding chocolate and nut spreads	Around November 16, 2026	The California row of the "What you can sell from home" table in chapter 9
New York's allergen notice for food packaged and sold in the same store	Around November 2026, per one law firm (not confirmed)	The allergen section of chapter 10 and your labels, if you open in New York
The Food Code edition your state enforces	When your state adopts the 2022 edition (Hawaii and Virginia did in 2025)	The section numbers in chapter 10's inspection table, checked against your state's edition
Easter Sunday and Mardi Gras, 2027	March 28, 2027 (Holy Week in March) and February 9, 2027 (end of king cake season)	The Easter row in "6-Peak Calendar" (seasonal-peaks-planner.xlsx) and the peaks table in "Timeline and Critical Path"

The figures the workbooks calculate with live in editable cells, never sewn into the text; the rest live in chapter text and sheet notes. That's why a new edition is fixed by changing this block and those cells.

About the Author and Terms of Use

John Guerrero is CEO of AI Chef Pro and founder of ChefBusiness Group. He has worked in kitchens since he was 17 and has been a hospitality consultant since 2010, advising on the opening of more than 200 venues, including MICHELIN-starred restaurants in Spain and across Europe. More about his work at johnguerrero.es.

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This guide is a professional working document, not legal, tax, health or labor advice, and it doesn't replace the stamped plans and specifications your city, your county and your health department will ask you for. The regulatory framework it explains is the US one, and it was checked against official sources (FDA and the eCFR, the Department of Labor, the IRS, the SBA, and the state agencies of California, Texas, New York and Florida) in October 2026: every legal statement carries its rule and section so you can check it and know where to look when it changes. What depends on your city or county (zoning, the noise ordinance, the mechanical code it has adopted, fees) changes from one jurisdiction to the next and is treated here as a question you have to ask, never as a given. The four states in the tables are EXAMPLES: check your state, your county and your city. The square footage, amounts, prices, recipe weights, margins and lead times of the case that runs through this document are example values for a modeled pastry shop in Texas that comes with this pack, and they live in editable cells in the workbooks precisely so you can replace them with your own: none of them is a forecast of your results, an industry standard or a promise of profitability. Before you sign a lease, file for a permit, set the price of an item or hire anyone, check with your city or county, your health department, your CPA and an attorney.